JK Tyre & Industries Ltd. (JKTYRE)

Conference call transcripts, oldest-first. 11 call(s). Generated 2026-06-08.

Call: Aug 2023

JlQtYFpe
& INDUSTRIES LTD.
J KTIL:SECTL:SE:2023 Date:14tn August 2023
Dear Sir,
Re. Transcript of Earnings Conference Call held on 7rh August 2023- Regulation 30 of the sEBt (Listing obligations and Disclosure Requirements) Regulations, 2015
Further to our Letter dated 27th July 2023 re. intimation of scheduleof Results Conference Call, we enclose herewith transcript of the
Quarterl, financial yeat 2023-24 Earnings Conference Call held on
7tn August 2023 .
Thanking you,
Yours faithfully,
For JK Tyre & lndustries Ltd.
(PK Rustagi)
Vice President (Legal) & Company Secretary
Admin, Off.: 3, Bahadur Shah Zafar Marg, New Delhi-110 002, Fax: 91-11-23322059, Phone: 91.1'1.660011'12,66001122
Regd. Off.: Jaykaygram, P0 - Tyre Factory, Kankroli -313342 (Rajasthan), Fax:02952-2320'18, Ph. : 02952-233400 / 233000
Website : www jktyre.com CIN : 167120RJ1951 P1C045966BSE Ltd.
Phiroze Jeej
Dalal Street,
Mumbai-400
Scrip Code:eebhoy Towers,
001.
530007National Stock Exchange of lndia
Exchange Plaza, C -1, Block G,
Bandra -Kurla Complex,
Bandra (E), Mumbai -400 051.
Scrip Code: JKTYRELtd.
VIKRANT

"JK Tyre & Industries Limited
Q1 FY2024 Earnings Conference Call"

August 07, 2023

ANALYST : MR. BASUDEB BANERJEE - ICICI SECURITIES LIMITED

MANAGEMENT : MR. ANSHUMAN SINGHANIA – MANAGING DIRECTOR – JK TYRE & INDUSTRIES LIMITED
MR. ARUN K. BAJORIA – DIRECTOR AND PRESIDENT INTERNATIONAL BUSINESS – JK TYRE & INDUSTRIES LIMITED
MR. ANUJ KATHURIA – PRESIDENT INDIA BUSINESS – JK TYRE & INDUSTRIES LIMITED
MR. SANJEEV AGGARWAL – CHIEF FINANCIAL OFFICER – JK TYRE & INDUSTRIES LIMITED
MR. A. K. KINRA – FINANCIAL ADVISOR – JK TYRE & INDUSTRIES LIMITED

Moderator : Ladies and gentlemen, good day and welcome to the Q1 FY2024 Earnings Conference Call of JK Tyre and Industries Limited hosted by ICICI Securities. As a reminder, all participant lines will be in the listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch tone phone. Please note that this conference is being recorded. I now have the conference over Mr. Basudeb Banerjee from ICICI Securities. Thank you and over to you, Mr. Banerjee.

Basudeb Banerjee : Thanks Mitchell. Very good morning to all the participants and thanks to the management of JK Tyres and Industries for giving us the opportunity to host the call. We have with us the senior management of JK Ty res represented by Mr. Anshuman Singhania - Managing Director; Mr. Arun K Bajoria - Director & President (International) Business; Mr. Anuj Kathuria - President (India) Business; Mr. Sanjeev Aggarwal - Chief Financial Officer; and Mr. A K Kinra - Financial Advisor. So, without wasting any time, over to the management of JK Tyres for their initial comments. Thanks.

Anshuman Singhania : Thank you and good morning everyone. I hope you all are keeping well. We thank you for your participation in JK Tyre's Q1FY24 earnings call. I am Anshuman Singhania, Managing Director and I have with me Mr. Arun Bajoria, Director & President – International, Mr. Anuj Kathuria, President – India, Mr. A.K. Kinra, Financial Advisor and Mr. Sanjeev Aggarwal, CFO of the Company.

The financial year 2024 has started on a positive note. The Company's top -line has been growing consistently and has recorded consolidated net revenues of Rs.3,729 crore in Q1FY24, higher by 2% as compared to the corresponding quarter, led by continued robust demand.

The operating profit has grown from Rs.291 crore to Rs.465 crore over the corresponding quarter, which is an impressive increase of 60%. During the quarter, operating margin expanded by 450 basis po ints. This is a result of continuous focus on improving operational efficiencies, leveraging on product premiumization, digitalization and cost optimization, which are further aided by stable raw material prices.

Q1 continued with robust demand momentum i n the domestic market due to healthy macro -economic environment, resulting into volume growth of 3% over the

previous quarter. The momentum in demand is supported by strong replacement volumes, which grew by 8% over the previous quarter. Increasing freight movement, higher government infrastructure spending, rapid urbanization and rising economic activities are the key drivers to boost replacement growth. However, OEM witnessed de -growth of nearly 10% over the previous quarter on account of pre -buying effec t by CV OEMs prior to transition to OBD -2 emission norms. We believe this is a temporary phenomenon and the demand is expected to bounce back in coming quarters.

Passenger vehicle tyres continue to witness good volumes both in replacement and OEM segment , driven by increased automotive sales due to strong order book including new launches by PV manufacturers and improved supply chain environment. Farm segment is showing good signs of recovery in volumes due to increase in farm income with good monsoon cou pled with government incentive schemes on tractors. Demand across segments is expected to further improve with the onset of festive season.

Exports have started to improve in Q1FY24 with moderation in inflation and steady signs of economic growth in US an d other economies globally. Consolidated exports stood at Rs.587 crore, which is up by 23% over the previous quarter, primarily led by higher volu

mes. We believe the export demand to improve further.

On the overall outlook, we remain optimistic on automobile and tyre Industry growth path in line with robust GDP growth forecast and favorable macroeconomic factors. We are consistently strengthening our relationship with OEMs, recently we have won busine sses of new models launched by Hyundai and Kia. The fuel -efficient tyres (XF series) and extra - mileage (XM series) have been well received by CV OEMs. This signifies trust reposed by the OEMs in our products, which are backed by high quality standards, in novations across segments. Our R&D team tirelessly focusses on developing innovative and sustainable range of products including the emerging EV segment to meet and exceed customer expectations.

Our recently developed "UX Green" tyre in the PCR segment has the highest sustainable materials of 80% globally. This is a worthy demonstration of our serious commitment towards sustainable growth keeping ESG on the top of our agenda.

On channel development, we have recently marked our presence by opening JK Tyre's flagship Steel Wheels Centre in Leh, which is first in the region to offer enhanced customer experience. Our plans are to penetrate deeper into the domestic

markets and cover all white spaces with brand shops and dealerships across India.
Digitalizatio n: Digitalization has enabled us to automate the systems and processes

across the value chain resulting in superior customer experience.
JK Tyre is committed to continue the journey of digital transformation.

ESG: We aim to reduce carbon emission intensit y by 50% till 2030 and become carbon neutral by 2050. Demonstrating our commitment, we are sourcing 58% of our power requirement from renewable sources. We have attained a leadership position in energy usage, water management, and reducing carbon emissions . The Company is actively pursuing diverse domains, including health, safety and community development. At JK Tyre, a robust framework has been established to ensure transparent management practices to maximize long -term value for stakeholders.
To sum -up, we believe FY24 will be a good year with buoyant demand, improved revenue and profitability.
Now, I request Mr. Arun Bajoria to talk about the performance of JK Tornel, Mexico.

Arun K Bajoria: Thank you Anshuman ji. The performance of JK Tornel, Mexic o continued to be healthy in terms of overall revenue and profitability in Q1FY24. JK Tornel achieved turnover of Rs.683 crore as compared to Rs.671 crore in Q1FY23, up by 2% on y - o-y basis, this has been achieved despite headwinds faced from American con tinent on account of lower freight rates & influx of tyres from Asian countries and appreciation of Mexican pesos, which is impacting exports.
Operating profits (EBIDTA) stood at Rs.59 crore recorded an improvement by 40% over previous quarter.
Economic outlook in Mexico is improving with higher than expected GDP, moderating inflation, low unemployment rate supporting private consumption and increased investment from companies relocating to the LATAM countries. JK Tornel continued its efforts on new pro duct developments with new potential customers such as Mahindra Tractors (USA), Polaris (USA), Speedmax (Brazil), LimaCaucho (Peru) for gaining higher volumes. Going forward, our strategy is to maximize the radial capacity utilisation to gain market share and plans are under consideration to expand capacities in the radial product category, especially towards higher rim sizes tyres.
Continuous efforts are being made for achieving operational and cost efficiencies through fixed cost reduction, aggressive utilisation of Bias product capacities and

by way of digitalization & automation drives in various functions
for overa

ll productivity and profitability enhancement.

Now, I request Mr. Aggarwal to brief about the financial performance of the quarter .

Sanjeev Aggarwal : Thank you, sir. Let me briefly explain the key highlights for Q1FY24. Consolidated sales were recorded at Rs.3,726 crore, viz -a-viz Rs.3,650 crore in Q1FY23, up 2% on y-o-y basis.

Profitability at EBIDTA level in Q1FY24 was recorded at Rs.465 crore as against Rs.291 crore in Q1FY23, an increase of 60% on y -o-y basis. Operating profit margins were recorded at 12.5% on consolidated basis. Margins have expanded by 450 bps over the corresponding quarter. Cash profit for the quart er was Rs.343 crore.
Profit after tax (PAT) was Rs.159 crore, a multifold increase on y -o-y basis.
All the plants are running at high capacity utilisation level of about 85%.
Consolidated Exports stood at Rs.587 crore, up by 23% over the previous quarter .
Subsidiary companies, namely, Cavendish Industries Ltd. and JK Tornel, Mexico continued to perform well and contributed significantly to the revenues and

profitability on consolidated basis.
Cavendish (CIL) posted a topline of Rs.963 crore, with EBIDTA stood at Rs.121 crore registering a margin of 12.5%. Profit after tax stood at Rs.37 crore. Earnings per share (EPS) improved to Rs.5.93 per share as against Rs.1.51 per share in Q1FY23. ROCE and ROE have improved to double -digit level in Q1FY24.

The Cr edit rating has been upgraded to A+ from single A by India Ratings and have also revised outlook to Stable from Negative. Upgrade in rating reflects strong improvement in credit metrics. Net debt stood at Rs.4,265 crore as on June 30, 2023, a reduction of Rs.252 crore over the previous quarter led by improved working capital levels and scheduled long term debt repayments in line with our plan.

Leverage ratios improved further over March'23. Net debt to equity improved to 1.16x in Q1FY24 as against 1.29x at end of March 2023 and Net debt to EBIDTA improved significantly to 2.83x in Q1FY24 as against 3.39x at end of March 2023. Overall interest cost reduced by 3% over previous quarter with efforts focused on reducing the interest cost inspite of high intere st rate scenarios.

The Balance Sheet of the company is healthy with improved financial ratios. We remain committed to deleverage our balance sheet through reduction in long term borrowings and efficient working capital management going forward.

The already announced capacity expansion capex in TBR and PCR tyres are under implementation stage and progressing well and are expected to come on stream by Q3FY24 and Q4FY24 respectively.

We have already circulated our Earnings Presentation, which is available on our website as well as on the stock exchanges websites. Now, we open the forum for Questions and Answer.
Moderator : Thank you very much sir. We will now begin the question and an swer session. The first question is from the line of Mitul Shah from DAM capital. Please go ahead.
Mitul Shah : Thank you for giving opportunity. My first question is on EV tyre. Our presence is in two -wheeler, four -wheeler both or what is current status i n terms of market share or overall contribution of EV tyres in total volume.
Anshuman Singhania : We have developed complete range of EV tyre in commercial, passenger, 2 -3wheeler category. We are currently supplying EV tyres in the replacement market and a lso to the OEMs. EV market is growing and there is a definite push in the public transportation which is the bus segment wherein we are participating with the leading bus manufacturers namely JBM, Tata Motors, Olectra, Ashok Leyland and VECV.
Mitul Shah : Anything on the passenger vehicle side.
Anshuman Singhania : We have Ranger HPE brand in the EV and which caters to the SUV segment. At present, we are in talks with the PV OEMs and sup

plying the same in the replacement market.
Mitul Shah : Any two -wheel er EV OEMs as our major customer

Anshuman Singhania : In 2 -3-wheeler, we are supplying to multiple aggregators and OEMs to name a few which is Benling , CosBike, NEC power solutions etc. We are awaiting approval from Ather and Pure Electric and Ola Electric as well.
Mitul Shah : Second question is on export, wherein in our revenues declined by 11% on a Y -oY basis for standalone business and for consolidate roughly 8% decline. So, can you give some more detail in t erms of the decline coming across geographies or any particular geography where we have already started seeing some growth and few geographies only declining and related to that we have given a roughly 306 Crores

on a standalone basis 587 Crores on a conso le basis so this difference of nearly 280
Crores is it again from the Indian subsidiaries or it also include this Mexico thing
and all others.

Anshuman Singhania : Yes, consolidated export is stood at Rs.587 Crores in Q1FY24 which is higher by
23% in over the previous. There is a lot of positive news which is coming from
export market. We are seeing improved sentiments and customer confidence across
business sentiments. High inventory levels in the in the exporting countries are
coming down. With coolin g-off of inflation in critical markets. We expect
improvement in exports sales from H2 FY2024.
Mitul Shah : This difference of 270, 280 Crores is between standard console. Is it Cavendish or
is it a combination of Mexico Cavendish or can you give some breakup here and
again can you give some geography wise some color on the export side.
Anuj Kathuria : India o perations export stood at Rs.384 crore whereas consolidated exports stood
at Rs.587 crore. On Y -o-Y basis, North American markets ha ve actually seen
slowdown from Q3 of last year, but now we are seeing a steady recovery and we
expect that going forward the North American market as Anshumanji was saying
that with the inflation coming under control and with the revival of economy some
stocks that had piled up are now getting liquidated. So, North American market
should come back. The other markets of LATA M which includes Mexico, Brazil,
Colombia and even the Middle East and the other Asian markets there our
performance remains to be quite steady. We see that generally our consolidated

exports are somewhere around Rs. 650 Crores. So, we should see those lev els
coming back in the second half.
Sanjeev Aggarwal: To clarify your first point, the difference between the standalone and the
consolidated number is on account of the exports from Tornel and Cavendish.

Mitul Shah : Thank you very much for replying and really sir thanks for changing the investor
presentation in terms of giving more detail with more transparency and one more
request if you can provide more detail in terms of geography wise some color in
presentation it self and also the financials of either Cavendish or Mexico you can put
in that because every time this is the common question by analyst in terms of the
financial for both the subsidiaries. Thanks a lot, and all the best.
Moderator : Thank you. The next question is from the line of Shubham Agarwal from Aequitas.
Please go ahead.
Shubham Agarwal : Thank you for the opportunity Sir. My first question is related to the EV segment
again. Can you say what would be our market share currently across segment in EV
Tyres.
Anshuman Singhania : It is very difficult to say about the market share, but I would say that we are very
committed to capture the growth in the EV segment and we are m aking efforts in
terms of innovating products in across segments to increase EV participation.
Shubham Agarwal : My second question is related to the

other expenses this quarter. If we see our total
other expenses compared to last quarter, there is a sharp jump of 1% of total other
expense over turnover. So could you please explain what is the reason for such a
sharp increase and if you are taking any cost optimization measures going forward.
Sanjeev Aggarwal: The increase in expenses was on account of higher power & fuel, logistics and sales
promotion cost.
Subham Agarwal : I understand that. But typically, we would expect that the cost increase in
proportion to the turnover and overall, we have seen a scenario of cost going down
whether in terms of packaging or transportation etc., across industry. Whereas we
have increased our cost. Our cost has increased so that is why I wanted to understand
where is the difference.

Sanjeev Aggarwal: Kindly appreciate the fact that, this is primarily on account of power and fuel due to externa l factors as well. However, we are trying to control costs, reduce expenditure as much as possible. We have reduced interest cost despite rising interest rate scenario.

Subham Agarwal : Could you also give some light on the current raw material scenario and how do we expect the rest of the year basis the current prices?

Anshuman Singhania : Raw material costs has reduced by 1% on a Q -on-Q basis and we are expecting a stable raw material price scenario for the FY2024. We are closely monitori ng the movement in the raw material prices.

Subham Agarwal : Lastly on the growth. How do we expect the overall growth for rest of the FY2024 year?

Anshuman Singhania : On overall outlook, we are very optimistic on the automobile and tyre industry, which is largely led by the infrastructure push by the government and we are seeing that the CV market demand very strong. The farm market is also looking good on onset of monsoon. So, we are definitely hoping for good growth.

Subham Agarwal : Lastly on the Cape x side, so all the Capex are on track and what is the total investment that we are planning for the rest of the year?

Anshuman Singhania : Yes, all the capex were on track. We have total capex plans of Rs.1100 crore in addition to that Rs.250 Crores as nor mal capex. So, these all are on ground and getting commissioned on their respective dates.

Subham Agarwal : Thank you, Sir. That, is it from my side.

Moderator : Thank you. The next question is from the line of Abhishek Maheshwari from SkyRidge Wealth Management. Please go ahead.

Abhishek Maheshwari :Hi, thank you for taking my question. Just one question. China is the biggest tyre manufacturer with a good export m arket and the domestic demand of China is coming down as many reports are suggesting. So do you feel that the competitive intensity in the export markets are going to pick up significantly because there will be more supply in export markets now. So what se nse are you getting from this trend?

Anshuman Singhania : Right now, China is also getting a lot of internal consumption. Yes, there is export to the rest of the world from China and the competitiveness from China to India. But, there is a regulation in p lace for Chinese imports. So, all the Indian players including us are competing in different ways.

Abhishek Maheshwari :So, you are not expecting this trend to put a lot of pricing pressure in the export market.

Anuj Kathuria: Not really. See what happens that in certain markets, say the US market our truck and bus radial are generally performing better than the other products which are coming in from say China, Vietnam, Thailand. Our products are more in line with the Korean products. So therefore, there is a certain segment and the classification of tyres in that market and once the market demand over there picks up which is likely to pick up

I think so people would start going for the value products rather than only looking at the price point.

Abhishek Maheshwari :Thank you. My last question is you are saying that you have plan to premiumize your product portfolio. When you say premium is you mean more of EV tyres and usage of more sustainable materials. Something like that or maybe in terms of getting your tyre used in luxury cars like Audi, Mercedes.

Anuj Kathuria: Actually, when we talk about premiumization whether it is in TBR or in PCR. In TBR also we have premium SKUs like the energy efficient, fuel efficient series, the extra mileage serie s which are demanding a premium in the market place, similarly in PCR when we go for the 16 inch and above, those tyres are definitely selling at better premium and the realization of margins are better. So, over the years we have made a conscious effort i n increasing the overall volume in higher inch category. We are seeing that every quarter we are able to get at least a couple of percentage points up on these premium products. So, this overall enriches the entire product mix. We have launched the Levita s Ultra range of tyres which is in the luxury car segment that is also started selling in some numbers we are also going to have some more premium products that will be launched in the near future. So, all these are efforts towards our drive on premiumizat ion.

Anshuman Singhania: Our introduction of Levitas in the Ultra Luxury segment has also added to the premiumization which is on the 1 7 inch and above and we will be continuously introducing more products in that category.
Abhishek Maheshwari :Got it, Si r. Thank you very much for answering my questions. All the best.
Moderator : Thank you. We will take the next question from the line of Tushar, an individual investor. Please go ahead.
Tushar : Hi, Sir. My first question is can you give total exports fr om India and export from Tornel separately like in the first quarter and fourth quarter previous year.
Sanjeev Aggarwal: Overall exports stood at Rs.587 crore on consolidated basis. On standalone basis exports stood at Rs.306 crore. So, the balance is from Cavendish and Tornel. If, we have to divide between India and Mexico, India stood at Rs.384 Crores and the balance is from Tornel.
Tushar : Rs.384 crore from India and balance from Tornel.
Sanjeev Aggarwal: That is correct.
Tushar : My second question is on the demand side we have very good outlook over the demand. So, can we achieve 10% sales growth in this quarter and full year and because one report by Yes Securities dated 25th June quoted management that we aim to achieve 15% to 20% sales growth in this full year FY2024.
Anuj Kathuria: If you look at the overall growth in the demand, it will pan out differently for the different segments. So, for the commercial vehicles, we expect somewhere around a double -digit growth because of the infrastructure push. When it comes to the passenger vehicle, we expect that it would be in a high single digit and that is what is the forecast as of now, but we for JK Tyres are working, our growth in passenger vehicles is better tha n the industry and we continue to experience that in the times to come. While the industry will grow at a high single digit, we should be able to grow at a slightly higher rate than that. When it comes to 2 -3 wheelers, there the industry is expected to be more flattish as compared to the other segments. But, we are waiting for the rural economy to come back to see some good numbers coming in. So, we have to watch every segment closely. Farm as we know has not yet

recovered, but again with a good monsoon we are hoping that in the farm sector would have a smarter recovery that would happen, especially the second -h

alf of the financial year.
Tushar : Thank you so much. My next question is on the employee expenses side. As we can see that it has continuously grown up as percentage of sales. These are highest in the industry. So, do you think this will come down to normal levels in next two, three quarter.
Sanjeev Aggarwal: I can assure you that we have b een working aggressively in this area and we will definitely try and reduce the expenditure in line with the industry. So, we are trying to work out on efficiencies improvement across all our plants and in manufacturing as well. So, tech enabled manufactur ing is also underway, so we will improve upon it going forward.
Tushar : Do you expect other expenses also to come down in coming quarters like previous range 14.5% to 15% of total sales.
Sanjeev Aggarwal: As I said earlier, we are working on it and we are trying to reduce expenses all across, which is a part of our efforts to reduce the overall cost.
Tushar : My next question is on the raw material market side. How much raw material costs can go down for the incoming two qua rter, your expectations?
Anshuman Singhania : See the raw material prices had started to come down from third and fourth quarter of last year and Even, we saw reduction in quarter one as well. From here on it is going to be more range bound and should be stable. In our understanding, RM should be more stable in the next couple of quarters.
Tushar : Just a last question, Sir. We are paying 36% tax and even our current tax is more than 30%. So, when do we plan to shift to new tax regime ?
Sanjeev Aggarwal: Once we have consumed the MAT credit in JK Tyre, we will move into the new tax regime and will reduce our overall tax rate.
Tushar : Thank you so much. That is all from my side.

Moderator : Thank you. The next question is fr om the line of Bharat Bhagnani from Living Root

Capital. Please go ahead.

Bharat Bhagnani : I have a couple of questions primarily on the revenue front. You had reported sales growth of about 2% for this quarter, while we have seen the rest of the industry post better numbers. What is the reason for that?

Anuj Kathuria: See one of the things that we need to notice is that, we are supplying to the OEM's in the commercial vehicle segment in a big way, especially in the med ium and heavy commercial vehicle because of the new emission norms, i.e., OBD2 norms. There was reduced demand coming from the OEMs, but this is expected to come back in a big way from September onwards. The reports that we are getting from the OEM's, all the major M&HCV manufacturers is that the demand would be very good. Overall for the year they are expecting a double -digit growth. So, quarter one was actually very slow because of the new introduction of the emission norms. So that is one of the reasons why you saw the growth in our topline to be a little a bit muted, but in the passenger car if you see our numbers are much better than the industry growth.

Bharat Bhagnani : So, like you mentioned to the previous participant that the commercial vehicle growth is in double digit and passenger expecting in high single digit or mid single digit. So overall what are you expecting in terms of growth this year in terms of revenue, w hen I mean revenue, I mean any kind of price increases that you will take on the volumes as well?

Anuj Kathuria: We believe this year it will be more volume driven growth rather than price driven growth and definitely we would be targeting in the double -digit range.
Bharat Bhagnani : Can you give me some color on the tertiary sales that are happening currently because these numbers obviously represent the primary you giving it to the distributors, and distributors selling it or giving it to the retailers and retailers selling it. I am talking about the replacement side of t

hings. How are the tertiary going on at this point in time for you? We see demand coming from there.
Anshuman Singhania : In terms of the replace ment demand, it is looking very robust as there is a lot of high truck utilization and with the onset of monsoon and tapering down of inflation. Most of the regions, there is a robust pickup in the core sectors like cement, steel, mining. There is also a l ot of inventories which were piled up with the trade dealers. They are also sort of coming down and cleared. So, we are seeing a robust demand coming in from the trade for sure.

Bharat Bhagnani : You had mentioned in the presentation that you currently at 85% utilization. So, this is with the existing capacity for the PCR that was enhanced about a month ago that you have announced. So, at that level you are at 85%.
Anuj Kathuria: Yes, as we said that the capacity expansion programmes are ongoing. So as of now with our existing capacity, we are overall it is around 85% to 90%. But if you take PCR in specific in quarter one, it was near 90% - 95% and definitely we will be utilizing it even better. But as we speak, the new capacities are also getting set up. So, it will play out in a way that while the demand will be picking up, our capacities also will come in simultaneously and we would be able to utilize the capacities from practically day one.
Bharat Bhagnani : My final question is, when you look at the entire subset of the tyre industry in India and the major players, are only four or five players who are there and JK Tyre being one of the largest. But we see a very big discrepancy when it comes to the margins quarter -on-quarter, if you notice in the last eight quarters or the last twelve quarters. The operating margin differential between some of the major companies. It should not be so much, so high. What do you think is the reason for that? Is it like they are selling more premium products? We are not selling more premium products because raw material availability to everybody is the same?
Anshuman Singhania : Every company is playing out their own strategy. So here Anuj was also trying to say that in the commercial vehicle participation is very high. Then as export was

also a bit muted bec ause of the global recessionary scenario, However, we are constantly working on our efficiency parameters and cost control measures, which will add to the operating margins.

Bharat Bhagnani : So, I am seeing that efficiency measures, actually, like you m entioned in your opening remarks that you are industry -leading in terms of all efficiency margins when it comes to water and power, etc. But my point is that if raw material availability to everyone is the same in terms of pricing, then definitely the qual ity of the revenue is what will make the difference when it comes to the margin, I mean, at what price we are able to sell it at? Unless discounting for that matter.

Anuj Kathuria: We have to also see the participation in the various segments. So, when we speak about premiumization that is the entire effort to see how we can sell more premium products and one thing which I just like to add to what Anshuman said is that regarding the CV participation. The recovery in the CV has come at a lag and from the next quarter we could see almost full recovery happening, but it took some time because of the way the CV business is structured, whereas more on the PV side it is more indexed the raw material prices are indexed whereas on CV side the indexation is not there.

Bharat Bhagnani : Got it. Thank you so much.

Moderator : Thank you. The next question is from the line of Shashank Kanodia from ICICI Securities. Please go ahead.

Shashank Kanodia : Yes, Sir, firstly clarification on the Capex part. So, this Rs.1100 cro

re is spread over two years, right, the growth Capex.

Sanjeev Aggarwal: Firstly, debottlenecking capex Rs.300 crore has been already implemented and remaining Rs.800 crore is under implementation. Out of that some capex has happen last year on account of placement of orders and also giving some advances to the suppliers. So, the majority of the Capex outgo will be in this financial year. Therefore, Rs.800 crore is under implementation in this financ ial year and will be completed in this financial year and then of course some part of the expenses, payments will happen in next financial year.

Shashank Kanodia : So, sir is it safe to assume that this on a cash flow perspective, we spent something like 600 this year and 200 next year.

Sanjeev Aggarwal: Broadly, Rs.500 Crore will be this year and the balance will be in the next year.

Shashank Kanodia : What is your operational capex and then the Opex that we do earlier.

Sanjeev Aggarwal: Maintenance Capex will be Rs.250 crore for this financial year.

Shashank Kanodia : And this is recurring in its rate. So, every year will spend something like 200 Crores, 250 Cores each year.

Sanjeev Aggarwal: Yes, your understanding is correct.

Shashank Kanodia : Understood. Since, you mentioned that large part of RM benefits is already priced in our margins. So, going forward in the near to medium -terms what kind of sustainable margin profile are we looking at?

Sanjeev Aggarwal: So, we have discussed just now that there are efforts being made to improve upon margins and as Anuj ji just mentioned about the lag effect which is in there in the CV segment. So that will also be panning out in the coming quarters. I hope that there will be some improvement in margin going forward, but how much it will be, this is difficult to answer at this point.

Shashank Kanodia : But sustainable range for us can be roughly this 10% - 15% range or can it be even better than that.

Sanjeev Aggarwal: We do not want to give any guidance on margin as of now, but good margins are sustainable in this industry as long as the stability of the raw material prices continue.

Shashank Kanodia : Thirdly in the market place given the fact that all the tyre companie s are making good amount of profits. So, have there be any price correction by any of the competitors, has there been in the OEM side, or on the replacement market side.
Anuj Kathuria: Basically, on the OEM side as, I said, passenger vehicle is mostly indexed. Therefore, it will depend on how the raw material prices move. On the replacement side, it is a function of demand. So, if demand is robust and the overall volumes are there. So, we are not seeing any major pressure c oming on the pricing, although it is again more region specific and applications specific. But overall, I see that it is maintained as of now.
Shashank Kanodia : Lastly, if you can share what will be your debt reduction target for this year, next year?

Sanjeev Aggarwal: Debt reduction definitely is there on the cards with the efficient working capital management in the first quarter itself. We have reduced the overall debt by Rs. 252 Crores. Presently, we are at Rs.4250 Crore of net debt in June'23. As far as long-term debt is concerned we have a target to reduce the long -term debt by 25% till FY26, this is after considering the new debt which, we will be raising for the existing projects we are implementing. as of now. With the efficient working capital management overall debt will reduce.

Shashank Kanodia : And then last thing, if you can share the raw material basket numbers in terms of what was the procurement cost for natural rubber and carbon black in stock.

Sanjeev Aggarwal: Raw material basket definitely has remained cons

tant and there is a stability in terms of the raw material prices and there is not much of a difference. However, there is of course the high -priced inventory that has got liquidated which has resulted in good improvement in margins in the first quarter.
Shashank Kanodia : Thank you so much and wish you all the best.
Moderator : Thank you. The next question is from the line of Mitul Shah from DAM Capital. Please go ahead.
Mitul Shah : Thank you for the follow up opportunity. Sir, I have few more questions. First one is on the price increase, any price increase we have taken in India or Mexico during the quarter, and is it towards the end of the quarter or beginning?
Anshuman Singhania : We have taken from the corresponding quarter 5% in India and overall consolidated 3%.
Mitul Shah : This is you are talking last 12 months, right?
Anshuman Singhania : Yes, this is on year on year basis.
Mitul Shah : During the quarter anything taken.
Anuj Kathuria: If you compare with the previous quarter, actually we have been able to sustain the pricing levels despite there has been a slight reduction in the raw material cost.
Mitul Shah : Any geographies we required to rationalize like few of your competitors mentioned that we need to rationalize pricing also.

Anuj Kathuria: That is always, you have to see the geography, the region and the segment that you place and it is a continuous ex ercise. So, this is nothing specific to mention on it.

Mitul Shah : Second question is on volume growth. We have given many numbers on the Q -oQ basis, if you can give Y -o-Y numbers for various segments, which we give in our all the components in terms of segment wise OEM replacement Y -o-Y performance on volume terms.
Anuj Kathuria: The question was on Y -o-Y volume growth, right?
Mitul Shah : Right.

Anuj Kathuria: We have seen volume growth on Y -o-Y basis in the domestic market, the export market as you know was subdued as compared to the corresponding quarter. But we

saw growth over the previous quarter. However, over the corresponding quarter as
we mentioned, the recession had started setting in a little. So there we saw a drop in
the volumes, but in domestic we witnessed growth.

Mitul Shah : I am looking for numbers in terms of PCR, CV, TBR, two -wheeler, etc. The segment
wise volume numbers which we share in the concall.
Sanjeev Aggarwal: Mr. Shah, this information is quite confidential. We do not want to disclose this.
Mitul Shah : Can you share utilization segment wise?

Anuj Kathuria: On utilization broadly as we have said that both for the passenger radial and the
truck and bus radial it was upwards of 90% and for the bias it was in the range of
75% to 80%.
Mitul Shah : Sir the last question on this green tyre in terms of pricing, how different or how
much increase compared to normal tyres for the same size and category and any
sizeable or meaningful contribution is coming from this or this is very initial launch type ?

Anshuman Singhania : Right now, our green tyre is still undergoing testing. It is not commercially launched.
We are still yet to see the pricing, but definitely the pricing is going to be higher
than the normal tyres.
Mitul Shah : Okay, Sir. Thanks a lot. All the best.
Moderator : Thank you. Ladies and gentlemen, that was the last question for today. I would
now like to hand the conference over to the management of JK Tyres for closing
comments. Over to you.

Anshuman Singhania : I once again thank you for joining us today for the Q1FY24 investors call and we
hope we able to reply to your questions to your satisfaction. I on my behalf and on
behalf of JK Tyre Thank you.
Moderator : Thank you very much. Ladies and gentlemen, on beh alf of ICIC

I Securities, that
concludes this conference. We thank you for joining us and you may now disconnect
your lines. Thank you.

Call: Nov 2023

(no extractable text — likely a scanned image PDF)

Call: May 2024

4((JKTYRe
R & INDUSTRIES LTD.
JKTIL:SECTL:SE:2024 Date: 28th May 2024
BSE Ltd
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai-400 001National Stock Exchange of India Ltd
Exchange Plaza, C -1, Block G,
Bandra –Kurla Complex,
Bandra (E), Mumbai –400 051
Scrip Code: 530007 Symbol: JKTYRE
Dear Sir
ReTranscript of Results Conference Call held on 22"d May 2024
- Regulation 30 of the SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015
Further to our letter dated 16th May 2024 re. intimation of schedule of
Results Conference Call, we enclose herewith the transcript of the
Quarter 4, financial year 2023-24 Results Conference Call held on
22"d May 2024 at 16.00 Hrs (IST)
Thanking you,
O
(Yours faithfully,
For JK Tyre & Industries Ltd
Vice(PK Rustagi)
:resident (Legal) & Company Secretary
Encl: As Above
,$Admin. Off.: 3, Bahadur Shah Zafar Mary, New Delhi.110 002, Fax: 91.11.23322059, Phone: 91.11.66001112, 66001122
Regd. Off.: Jaykaygram. PO - Tyre Factory, Kankro ll . 313 342 (Rajasthan), Fax : 02952-232018, Ph. : 02952-233400 / 233000
Website : www.Jktyre.com CIN . L67120RJ1951PLC045966@
VIKRAN T

"JK Tyre & Industries Limited
Q4 FY 23-24 Results Conference Call "
May 22, 202 4

MANAGEMENT : MR. ANSHUMAN SINGHANIA – MANAGING DIRECTOR –
JK TYRE & INDUSTRIES LIMITED
MR. ARUN BAJORIA – DIRECTOR AND PRESIDENT
INTERNATIONAL BUSINESS – JK TYRE & INDUSTRIES
LIMITED
MR. ANUJ KATHURIA – PRESIDENT INDIA BUSINESS –
JK TYRE & INDUSTRIES LIMITED
MR. SANJEEV AGGARWAL – CHIEF FINANCIAL
OFFICER – JK TYRE & INDUSTRIES LIMITED
MR. A. K. KINRA – FINANCIAL ADVISOR – JK TYRE &
INDUSTRIES LIMITED

MODERATOR : MR. MITUL SHAH - DAM CAPITAL ADVISORS LIMITED

Moderator : Ladies and gentlemen, good day, and welcome to the JK Tyre & Industries Q4 FY '24 Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference

is being recorded.
I now hand the conference o ver to Mr. Mitul Shah from DAM Capital Advisors Limited. Thank you, and over to you.
Mitul Shah: Thanks, Mike. Good afternoon all. Thanks the management for providing us this opportunity. On behalf of DAM Capital, I would like to welcome you all to the Q4 and year ended FY '24 earnings conference call of JK Tyre. Today, we have with us from the management team, Mr. Anshuman Singhania , Managing Director; Mr. Arun K. Bajoria, Director and President, International Operations; Mr. Anuj Kathuria , President, Indi a Operations; Mr. Sanjeev Aggarwal, Chief Financial Officer; and Mr. A K. Kinra, Financial Adviser.
I shall now hand over the call to the management for their opening remarks, post which will open the floor for Q&A session. Over to you, sir.
Anshuman Sing hania: Very good afternoon to everyone, and I welcome you all for joining JK Tyre's Q4FY24 & FY24 earnings call. I am Anshuman Singhania, Managing Director and I have with me Mr. Arun Bajoria, Director & President – International, Mr. Anuj Kathuria, Presid ent – India, Mr. A.K. Kinra, Financial Advisor and Mr. Sanjeev Aggarwal, CFO of the Company.
I take this opportunity to record that the financial year 2024 was a year of many milestones and achievements - highest ever revenues; with record volumes and best ever profitability. We achieved new milestone of rolling out the 30 millionth truck bus radial tyre and becoming the only Indian tyre company. We rolled out the 10 millionth Steel King tyre, one of the premium SKUs in our portfolio, which has strengthened our leadership position in the LCV radial category. Our mobility solutions business (selling miles) a high growth segment has crossed Rs.100 crore mark in FY24. Our journey of launching innovative and high -performance products continues across all segment s including tyres for EV.
Talking about FY24 performance, revenues crossed Rs.15,000 crore mark with 3 times growth in net profits enabled by operating leverages, better product mix and favourable input costs. Operating margins improved by more than 500 bps to 14.1% over FY23, resulting in EBIDTA for the year at Rs.2,122 crore, the ever highest.
Our balance sheet has further strengthened by deleveraging measures and equity raise by way of QIP, which received overwhelming response from marquee invest ors, reinforcing confidence in our growth story. We remain committed to continuously deleverage the balance sheet. The net debt at the year -end stood at Rs.3,704 crore, lower by 18% as compared to March 2023. There has been a significant improvement in gen eration of free cash flows and return ratios touching high teens during FY24.

Coming to Q4FY24 performance, overall revenues were recorded at Rs.3,714 crore. EBIDTA margins were recorded at 13.4%, registering a growth of 28% on y -o-y basis, reaping the b enefits of product premiumization and efficiency improvements.
Pursuant to the regulations of the Government with respect to notification on Extended Producer Responsibility (EPR) for the tyre industry, we have made a provision of Rs.106 crore pertaining to FY23 and FY24 in Q4. In FY25, we have started recovering the EPR cost from customers.
Automotive sales in India continue to witnessed buoyancy in the fiscal year 2024, Passen

ger
vehicle segment recorded high single digit growth with yearly volumes crossing 4 million mark supported by strong growth in SUV sales and growing sales of alternate fuel powertrains.
Commercial Vehicle sales started with a positive trend in FY24 fuelled by government's infrastructure initiatives, expansion in core industries, and sustained growth in e -commerce, as evident through high frequency indicators such a GST collection, e -way bills and positive PMI. Though, the demand momentum has moderated in second half due to elections in the country, but the same is likely to pick up pace after the new Govt. takes charge and infra projects implementation work resumes.
On f ull year basis, JK Tyre has clocked a domestic volume growth of 6% contributed by replacement and OEM segment, which grew by 7% and 5% respectively over the last year. However, exports volumes were flat despite geo -political disturbances and supply chain disruptions on account of red sea crisis.
In Q4, we witnessed a volume growth of 7% in replacement segment. However, the OEM volumes were muted mainly owing to lower CV offtake. The exports grew at a healthy rate 43%.
On tyre sector outlook: We remain opti mistic in the medium to long term with passenger and 2/3 wheelers tyre to remain buoyant through the year. The replacement demand for CV tyres is stable, however demand from OEMs is expected to pick -up pace in the second half of the fiscal.
On Exports, dem and has started recovering since the last quarter of FY2024 and is likely to sustain going forward.
On channel development: During the year, we further strengthened our market presence in the

replacement segment by adding 130+ brand shops, 200+ fleet cu stomers and large accounts were added in mobility business.
The ongoing capacity expansion projects for TBR and PCR are nearing completion and full production will be achieved by Q1FY25. Further, earlier announced capacity expansions programs in TBR, PCR and All Steel Light Truck Radial (ASLTR) tyres for an aggregate cost of Rs.1,400 crore are under implementation and progressing well.
We continue to deliver strong performance across all ESG pillars. We are committed to become an environmentally responsibl e organization, focused on sustainable energy. Our usage of Biomass as an alternate fuel has reached to a level of 38%, which is reaping us benefits and underscoring our commitment. Today, we have achieved renewable energy consumption of

40%. We are amongs t the top 3 tyre manufactures globally for lowest energy and raw water consumption. With a clear goal, we are progressing towards our mission of reducing carbon intensity to 50% by 2030.
With immense pride, I would like to share that our Chairman & Managin g Director, Dr. Raghupati Singhania was featured as "Mega Icon" at National Geographic Channel, honouring his journey of dedication, determination and strong leadership to have nurtured JK Tyre to new highs.
Now, I request Mr. Arun Bajoria to talk about the performance of JK Tornel, Mexico.
Arun Bajoria: Thank you very much MD Sir. In financial year '24, JK Tornel Mexico, financial performance remained stable during the year despite increased competition from Chinese tyres and currency appreciation impact ing exports. The economic situation in Mexico is buoyant owing to increased FDI and tapering inflation. JK Tornel achieved revenues of about MXN 5,500 million equivalent to INR2,628 crores. Operating profit at EBITDA level remains similar at MXN 447 millio n, equivalent to INR212 crores.
For the quarter, JK Tornel Mexico registered sales of MXN 1,251 million, equivalent to INR612 crores, lower by about 9% on a year -on-year basis. Profitability at EBITDA level stood at MXN 96 million, equivalent to INR47 cro res, up by 10% on a year -on-year basis due to better product mix, further supported by input costs.

JK Tornel is continuously expanding the sales channel through new dealers' appointment and enhancing sales network in U.S.A. It is also pursuing launch of new sizes in radial tyre segment to bolster presence in U.S. markets. With these measures, we expect to scale higher revenues and better profitability in the financial year '25.
Now I request Mr. Sanjeev Aggarwal to brief about the financial performance o f the quarter.
Sanjeev Aggarwal: Thank you, sir. Let me briefly share the key highlights for FY24 and Q4FY24 . Consolidated revenues for FY24 were recorded at Rs. 15,046 crore which were up by 2.5% as compared to Rs. 14,681 crore in FY23. Consolidated reven ues for Q4FY24 were recorded at Rs.3,714 crore, viz-a-viz Rs.3,645 crore in Q4FY23, up by 2% on y -o-y basis.
Profitability at EBIDTA level was recorded at Rs.2,122 crore as against Rs.1,334 crore in FY23, growth of 59% on y -o-y basis. For the quarter, EBI DTA was recorded at Rs.497 crore as against Rs.389 crore in Q4FY23, a growth of 28% on y -o-y basis. EBIDTA margins improved by about 5% to 14.1% in FY24 as compared to 9.09% in FY23. EBIDTA margins during Q4FY24 were recorded at 13.4% viz -a-viz 10.7% in co rresponding quarter.
On full year basis, Cash profits almost doubled to Rs.1,675 crore as compared to Rs.879 crore in FY23. A provision of Rs.74.22 crore in JK Tyre and Rs.31.42 crore in CIL was made towards EPR liability. For FY24, the Profit after tax (PAT) increased to Rs.811 crore, 3 times jump as compared to Rs.265 crore in FY23.

Consolidated capacity utilization was about 89% in Q4FY24, which was 86% for the full year. Consolidated exports stood at Rs.663 crore, up by 39% on y -o-y basis. Subsidiary companies, namely, Cavendish Industries Ltd. and JK Tornel, Mexico continued to perform well and contributed significantly to the revenues and profitability on consolidated basis. Cavendish (CIL) posted a topline of Rs.3665 crore, with EBIDTA at Rs.513 cr ore registering an operating margin of 14.0% and Profits after tax stood at Rs.156 crore in FY24 as against Rs.9 crore last year, a significant multifold increase. Revenue for the quarter stood at Rs.873 crore, EBITDA stood at Rs.108 crore as compared to Rs.112 crore in Q4FY23. Profit after tax stood at Rs.19 crore for QYFY24.
Earnings per share (EPS) on a consolidated basis improved to Rs.29.84 per share in FY24 as

against Rs.10.64 per share in FY23 . Return ratios have significantly improved. ROCE (post -tax) and ROE are in high teens.
Net debt stood at Rs.3,704 crore as on March 2024 lower by 18% over March 2023 levels.
Leverage ratios improved significantly over March'23. Net debt to equity improved to 0.80x in FY24 as against 1.29x as at end of March 2023 and Net debt to EBIDTA improved significantly to 1.75x in FY24 as against 3.39x at end of March 2023.
The Board has recommended a final dividend @ 175% (Rs. 3.50 per share having face value of Rs.2/ - each) in addition to an interim dividend of Rs.1 p er share already paid.
I am happy to share that our MD, Mr. Anshuman Singhania was named as one of the Top 10 innovative CEOs in 2024 by Business Success Story.
The Balance Sheet of the company is much healthier with improved financial ratios. We have already circulated our Earnings Presentation, which is available on our website as well as on the stock exchange websites. Now, we open the forum for Q&A.
Moderator: We have the first question from the line of Bharat Bhagnani from Living Root Analytics.
Bharat Bhagnani: Yes. So my first question is with regard to the tax rate in FY '24, '25. So Sanjeev, to what tax rate are we going to target this year, current financial year?
Sanjeev Aggarwal: So this will be 25%. We will be moving into the new tax regime in JK Tyre from 1st of April '24.
Bharat Bhagnani: Including Cavendish, right?
Sanjeev Aggarwal: In Cave

ndish, the new regime is already applicable. We had adopted earlier. So , both the companies will be under 25% tax regime.
Bharat Bhagnani: Okay. And you had mentioned the net debt movement, net debt amount, but can you tell me the gross debt movement and how much was repaid during the year? And how much is scheduled for repayment in the current financial year?

Sanjeev Aggarwal: So, the gross debt was abou t INR4,800 crores last year. And we have paid almost about INR360 crores this year, and this has come down to INR4,450 crores.
Bharat Bhagnani: And current year also similar amount will be repayable?
Sanjeev Aggarwal: Yes. INR350 crores plus amount is repayable in this financial year '25.
Bharat Bhagnani: Okay. Anshuman ji, I just had a question regarding the sales growth in the current year that we managed to just do around 2% to 3% worth of sales growth. This is including some amount of pricing growth as well. So I mean, have you lost out on volumes in terms of volume growth?
Anshuman Singhania: No, on a year -on-year basis at consol idated level, we registered a growth of 3% wherein volume growth was 4%. So we have definitely not lost on the volume grow th. In fact, we have really inched up on all the categories .
Bharat Bhagnani: Okay. So, pricing, may be pricing has remained the same. So this year, I mean what kind of growth are we targeting this year in terms of sales, now that we have additional capaci ties also?
Anshuman Singhania: So we are targeting 8% to 10%.
Bharat Bhagnani: This is including volume and pricing, both?
Anshuman Singhania: Yes, this is 8% to 10%, will include both volume as well as price and the industry is expected to grow about 6%.
Bharat Bhagnani: Okay sir, in the light of recent key raw materials like rubber, and even crude being volatile, but rubber actually having increased to what it is right now at about INR182 per kg odd. So do you see that impacting margins for this year and next year, in an environment where we may not be able to increase the prices of the products?
Anshuman Singhania: No, you see that the average raw material basket has remained flat on a Q -on-Q basis and we are expecting the basket to rise about 3% to 4% in Q1. So , we are not looking at impact on margin.
Bharat Bhagnani: Which means you will pass on the price.
Anshuman Singhania: Yes. We are looking at taking a price increase in the range of 1.5% to 2% across categories in Q1 and rest, we are looking at improving our premiumization mix and operating efficiency.
Bharat Bhagnani: Sir, have we taken any price hike yet?
Anshuman Singhania: Yes. We have taken price hike in ongoing quarter in range of about 1.5% to 2%.
Bharat Bhagnani: Okay , in which category, sir? In which -- the tyre category or is this across?
Anshuman Singhania: Across the category.

Moderator: We have the next question from the line of Mumuksh Mandlesha from Anand Rathi.

Mumuksh Mandlesha: Congratulations on the good results and on the Chairman video and the MD award, sir. In terms of distribution, how do you see the expansion of the current 750 -plus exclusive stores and the reach of 1,300 fleet operators expansion ahead, as that is driving the outperformance over the industry for the company? Al so, what would be the volumes coming from the brand store currently? And in terms of profitability, how it would we be differing from the normal channel?
Anuj Kathuria: So, regarding the brand shops, especially the steel wheels and the truck wheels, we expanded the brand shops by almost 150 brand shops are added. We are now close to 800 -plus brand shops we have. In PCR segment, almost 50% of our sales are now coming through these brand shops and it also helps us to get better connect with the customers. We are offeri

ng the entire solutions through these brand shops . We further intend to add roughly around 200 -plus brand shops in the FY '25 which will further improve our brand salience and brand image. So we are working towards this. So that was the one question. What was the other question that you had?
Mumuksh Mandlesha: In terms of fleet operators, sir, how is that changing next year?
Anuj Kathuria: So, our engagement with t he fleet operators is improving year -on-year. In fact, this year also, we have added some of the marquee fleets to our account. Not only fleet , we are adding very large accounts in our mobility solutions business . Overall , there are around 1,800 plus fleet s with 100+ trucks and we are connected with almost 1,300 out of the se 1,800 fleets. So , we expect that further consolidation of fleets is likely to happen and therefore, th is will give us a definite advantage going forward .
Mumuksh Mandlesha: Okay and how would be the profitability of the brand store, sir? Would it be different from the normal channel or it's a similar margin profile of product sales we get from the brand shops?
Anuj Kathuria: Brand shops are definitely better in terms of profitability bec ause they are able to make a value sales pitch to the customers. They also provid e services, which is also a revenue stream for them. So overall, brand shops who are doing a consistent volume depending on the size of the store .
Mumuksh Mandlesha: Got it, s ir. Just a question to Sanjeev sir. In Q4, sir, what was the price hike taken? Any marginal price increases taken in Q4 quarter, sir?
Sanjeev Aggarwal: So as Anshuman ji just mentioned, there were some price hikes which was taken in Q4 in selective SKU's . But major price increase was taken again in Q1 of FY '25.
Mumuksh Mandlesha: Sir, continuing on this part, considering the further cost inflation, how much further price hike we will require to take to pass on the impact also the EPR impact? And any tho ught by when that price hike would come, sir?
Sanjeev Aggarwal: You are asking for the year as a whole or for the quarter 1?

Mumuksh Mandlesha: So, I mean there would be some inflation impact on the gross margin. And maybe there was further addition in Q2 also. So , on total, how much for the price hike we required to pass on the impact?
Anuj Kathuria: I would say that as I said that on a quarter -on-quarter basis, right now, there was a flat increase in raw material, but quarter, we are expecting that in the quarter 1 of FY '25, 3% to 4% increase. So there, we have already increased our price to 1.5% to 2% on the finished goods across the category for quarter 1. And we will be governed by the competitive prices as it plays out for the rest of the quarter.
The other thing which you, I think, asked was the EPR. So we have already started charging per tyre basis on the invoice to the customer. So this will be a recovery or charge to the customers, which we're going to recover.
Mumuksh Mandlesha: So that would co ver the all the impact for EPS for next year, right, sir?
Anuj Kathuria: Yes.
Anuj Kathuria : Yes, it will. And this was just calibrated depending on what is the cost of the certificates that we will be purchasing. So this will be a pass -through cost.
Mumuksh Mandlesha: Got it. And sir, is this phenomena across the industry, we are seeing? Or this is something JK has initiated in terms of pass -through the cost?
Anuj Kathuria : Under EPR?
Mumuksh Mandlesha: Yes.
Anuj Kathuria: So, the 2 companies have started , but it is applicable for across the industry.
Mumuksh Mandlesha: Got it, sir. Yes. And just lastly, on Mexico, can you share what kind of a revenue outlook for next year, sir?
A.K. Bajoria : As I said that we have taken some measures and we hope to better our revenue and also, therefore, our bottom line, the profitabil

ity.
Moderator: We have the next question from the line of Jaimin Desai from Emkay Global.
Jaimin Desai: Congratulations on maintaining profitability and the expansion and return ratio s. My first

question is around demand outlook. You mentioned 8% to 10% growth in top line expectation
for this year. Can you provide some color in terms of splitting it up in terms of volumes and
pricing? Earlier, I believe you indicated for double -digit g rowth in the India replacement
segment. Does that expectation still hold?
Anuj Kathuria: So, your voice is little shaky could you just repeat your question clearly.

Jaimin Desai: Okay. Yes. Sir, my question was regarding the domestic replacement demand. Ea rlier, we have indicated double -digit expectation from this category? Does that expectation continue to hold? Do we still expect double -digit volume growth in this segment for this year?
Anshuman Singhania: It will be varying from segment to segment. In PC R, definitely we expect a double digit in the replacement market . CV may be being a high single -digit growth. But overall, I think so it would be somewhere between that 8% to 10%.
Jaimin Desai: Understood and also just to check whether I've got the underst anding, right? So you mentioned that there were very marginal price hikes in the fourth quarter upon which you've taken a 1.5% to 2% increase already in the first quarter. And there will be some hikes going forward as well, and that would entirely cover th e higher EPR liability as well as the -- whatever RM cost increase has been there. Is this understanding correct, sir?
Anuj Kathuria : I'll clarify. See, when we said quarter 4, we have taken some price increases on select SKUs. In quarter 1, we have done 2 things. One is that we have taken a price increase of 1.5% to 2% on account of raw material increase . Secondly , we have also started recovering the cost of the EPR which is based on the per kg o n per tyre basis. The E PR will continue as a cost recovery measure.
Jaimin Desai: Understood. That is very clear. Just one final question. In this quarter, we have seen a decline in the EBIT margin for Cavendish on a quarter -on-quarter basis. Is this entirely because of the EPR provisioning? Or is there some other reason also?
Sanjeev Aggarwal : You are talking about the operating margin reduction?
Jaimin Desai: Yes, for Cavendish on quarter -on-quarter basis.
Anuj Kathuria : Okay. See, one is that, yes, there was a EPR charge that came in, in quarter 4, which was not there in quarter 3 or any of the other quarters. There was a slight reduction also in the top line. That was mainly on account of certain OEM in the CV space, where the demand has suddenly tapered off during March.
Moderator: We have the next question fr om the line of Krupashankar from Avendus Spark.
Krupashankar: So I have two questions. Just wanted to get a sense of what would be your total capacity in India across TBR, PCR 2 -wheeler, specifically in India?
Sanjeev Aggarwal : So, the total capacity, as w e have also shown in our investor presentation at 3.4 mn. for all the companies, including Tornel in Mexico and the Cavendish and JK Tyre. This is not readily available with me at the moment. Please refer investor presentation
Krupashankar: I understand. I'll refer to that. The second piece of it, just wanted to also get a sense on the market share across segments in India, across perhaps truck and bus PCR and 2 -wheeler?

Sanjeev Aggarwal : This is really difficult to calculate because the data from all the companies are not easily available. So we have not been calculating the market share, but we can tell you that we are the market leader in the TBR segment.
Sanjeev Aggarwal: On overall commercial vehicle tyres and also specifically on T

BR in the domestic market, we are the no.1.
Krupashankar: Okay. And this is across OE and replacement is what you're saying?
Sanjeev Aggarwal: Yes, domestic.
Krupashankar: Okay. All right, sir. On the outlook part of it, just wanted to quiz whether -- on the CV side, are you seeing the traction on replacement picking up primarily on the sentiment? Or is it more of a pricing -driven push to boost volume, sir?
Anuj Kathuria: Yes, in the CV market, we are seeing traction in the replacement market. But however, in the OEM, we are seeing some flattish trend. But we are expecting that this will also pick up by the second half of this fiscal year.
Moderator: We have the next question from the line of Nirav Seksaria from Living Root Analytics.
Nirav Seksaria: Sir, you said the capacity utilization for FY '24 was at 86%, and we are going to grow at 8% to 10%, which takes us to a utilization of around 90%. So why are we setting up additional capacities rather we can use the amount to repay our debt, gross debt and reduce it?
Anuj Kathuria : When we talk about capacity utilization 86% is full year utilisation . But if you go into quarter

by quarter or month by month depending on the seasonality. Also, the OEM demand is not the same throughout the year. So there are months where we utilize the capacities even at a higher level. So , this is not something that we can say that you can just rather than going for the expansion, you go for deleveraging . There is a certain headroom also that is always better to have. So overall, I think so, if any company, any organization is having a capacity utilization in excess of 90% is actually a very good number to have.
Nirav Seksaria: Sir, could you give me the breakup of capacity like utilization across TBR and PCR?
Anuj Kathuria : The other thin g is that if we take this number that we quoted is the entire capacity utilization, but the radial capacity utilization is definitely better as compared to bias capacity. But if I take the TBR utilization, it is definitely in the 90 % and PCR is actually in excess of 95%.
Sanjeev Aggarwal : And also, I would like to add, it takes about 2 years to add to capacity. Lead time is high. This is a time taking process .
Anuj Kathuria : We expect that the market will grow at a CAGR of 5% to 6%.
Sanjeev Aggarwal : Yes. A nd if we can capture more, then why not.
Nirav Seksaria: And sir, what's the outlook on the VV cycle?

Anuj Kathuria : So commercial vehicle, the vehicle side, what we are getting the i nputs is that demand will be flat in H1, but it will be better in H2.
Nirav Seksaria: And that will be easily from OEM side?
Anuj Kathuria : Yes, yes. Replacement, we already clarified. Replacement demand is holding up.
Nirav Seksaria: Okay. And sir, just one last question. Could you tell us the expected -- the raw material bask et prices, which is synthetic rubber, carbon black, which the company paid in Q4?
Anshuman Singhania : As, I said that overall basket quarter -on-quarter was flat, we are expecting the raw material basket to increase by 3% to 4% for quarter 1.
Nirav Seksaria: Okay. So sir, in Q1, we are seeing -- expecting a 3% increase, which will be via which input?
Anshuman Singhania : Mostly natural rubber, followed by some small increase in other comp onents .
Nirav Seksaria: And sir, at what level of crude are we r eally comfortable at?
Anshuman Singhania : Up to 8 0 - 85 range.
Anuj Kathuria : While there is a correlation between crude and certain derivatives, but there is no direct correlation as such, and it happens at a lag. So it's very difficult to kind of base yo ur decisions on that.
Moderator: We have the next question from the line of Chirag Jain from Emkay Global.
Chirag Jain: Sir, would you like to spend some time on the new marketing campaign that we have started, Desh Ka Tyre.

And obviously, in terms of how differently we are positioning our products, the overall, let's say, the reviews that you would have received so far in terms of improving the brand perception. Obviously, this is not in isolation. We are also expanding capacity on PCR and also want to exp and or increase the share of SUV tyres. And overall, obviously, this sort of implication in terms of the growth profile and also in terms of margin profile. So maybe some more, let's say, insights on this marketing campaign per se?
Anshuman Singhania : Thank you, Chirag. Last year, we have been able to come out with very innovative product lines, which is a smart tyre and puncture guard, which we had in ATL presence and BTL presence all throughout in India. That was a very strong communication including on the digital front as well. This particular advertisement , we are very proud of f and it has become like a sort of a theme, national anthem type of a theme song for viewers and our followers.
This also represents our whole range right from 2 / 3-wheeler t yre to a farm tyre to LCV tyres to passenger tyres right up to truck and bus tyres and even off -the-road tyres. So , it's is a very holistic ad which depicts our connect to India and from the North, South, West, all corridors.
This ad has been live now on a ir in all the major channels and plus a lot of song in dance in terms of its publicity. So I welcome all of you to please have a look at this ad.

The other part of your question was how are we increasing our margin s. Well, in the passenger car radial, as we've been always saying that we have been increasing our premium isation by moving on the lower rim sizes to higher rim sizes tyres . So above 15 -inch, 16 -inch and 17 -inch sizes, this is definitely adding profitability to our books.
Similarly, also even in the truck radial, our innovative products like XF, XM and XD has also added our premiumization mix in that story. So that is also catching a lot of acceptability in the market, and we would like to take this story forward.

Chirag Jain: So over the medium term, would it be fair to assume that our market share gain story or the outperformance vis -a-vis industry should continue? And even on the profitability side, irrespective of short -term commodity swings, but on a medium -term basis , there would be upward bias to our profitability, given the entire focus on premiumization?

Anshuman Singhania : Yes, the premiumization would definitely have an insulation effect to offset the rise in raw material prices.

Moderator: We have the next quest ion from the line of Nirav Seksaria from Living Root Analytics.

Nirav Seksaria: Sir, just a follow -up, what are we doing to increase the brand visibility like CEAT has partnered up with IPL. Recently, MRF has also taken Virat Kohli for an advertisement. So sir, why don't we do something similar to increase our brand visibility by taking up any celebrity or a known personality?

Anshuman Singhania : It's a very interesting question. Our core has been a motor sports and we have spen t decades in around motor spo rts. We have recently organised run on Dal Lake in Srinagar which was a very big event. We have also done similar kind of event in Bangalore recently . We are shortly going to be doing some more interesting events in Mumbai as well. We have also done in Arunachal Pradesh some of the motorsports rally.

We have been actively participat ing in big events in terms women rally.

Anuj Kathuria : Having said mot or sport is still the main thing. But beyond that, our social media, we have leveraged the social media presence and just latest what we call as the JK anthem has also given a lot of positive feeling, the emotional connect with many of our large customers on Hindustan Jab Mile Hindustan Se. This campaign is also being very well appreciated amongs

t our dealer,
channel partners, among the customers. So, I feel that we are doing the right things on the brand side.

Nirav Seksaria: Sir, but I totally get that , but motor sports is quite niche as a category indiscernible] of the category. And if we get on to celebrities and famous known personality that will skyrocket our brand in advertisement and normally public will also be able to associate with a brand in a mu ch better manner, which will increase the brand awareness.

Anshuman Singhania : Thank you , every company has its own philosophy of endorsements. In the past, we continue to do brand communication by way of endorsements through racers . Not only male, but we have

also promoted a lot of known women rallies also. So, this is completely a company’s decision & policy .

Moderator: We have the next question from the line of Arvind Kedia from MDK & Associates.

Arvind Kedia : Sir, you mentioned abou t motor sport and obviously, JK Tyre has been one of the very few companies that have been promoting motor sport in India. But recently, there have been rumours that MotoGP might not come back to India. And like F1 is also we don't know it hasn't come to India for the past -- more than 10 years. So with the declining interest in motor sport, what are your views on that? And like how are you going to increase the audience's demand in that field?

Anshuman Singhania : You see F1 is not the only motor sports wh ich is the front runner. But all over the world, including in India, there are several other formats. Track race is one format where we are actively participating including rallies on hilly terrains and circuit racing etc. There is lot of following amongst the motor & sports enthusiast . We are very proud that we are leading th is path in attracting the talents .

Women rally is another part, which is also very much at our core, where we nurture the talent .

Moderator: I would now like to hand it over to the management for closing comments. That was the last question.

Anshuman Singhania: Thank you so much for joining us today. We hope that we have clarified all your doubts. Good day.

Moderator: On behalf of DAM Capital Advisors Limited, that concludes this con ference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2024

d(JKTYR=
K & INDUSTRIES LTD.
JKTIL:SECTL:SE:2024 Date: 9th August 2024
BSE Ltd
Phiroze Jeejeebhoy Towers.
DalaI Street,
Mumbai-400 001National Stock Exchange of India Ltd
Exchange Plaza, C -1, Block G,
Bandra –Kurla Complex,
Bandra (E), Mumbai -400 051
Scrip Code: 530007 Symbol: JKTYRE
Dear Sir
ReTranscript of Results Conference Call held on 5th August 2024
- Regulation 30 of the SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015
ll•=====ll•HUnnunn====n=W=======n=====n===nan====== Henan========HUnan====
Further to our letter dated 27th July 2024 re. intimation of schedule of
Results Conference Call, we enclose herewith the transcript of the
Quarter 1, financial year 2024-25 Results Conference Call held on
5th August 2024 at 16.00 Hrs (IST)
Thanking you,
Yours faithfully
For JK Tyre & Industries Ltd.
L
\I
$(PK Rustagi)
Vice President (Legal) & Company Secretary
Encl: As Above
&-Admin. Off.: 3, Bahadur Shah Zafar Marg, New Delhi.110 002, Fax: 91.11-23322059, Phone: 91-11-66001112, 66001122
Regd. Off.: Jaykaygram, PO - Tyre Factory. Kankroli - 313342 (Rajasthan), Fax : 02952-232018. Ph. : 02952-233400 / 233000
Website : www.jktyre.com CIN : L67120RJ1951PLC045966Q
VIKRANT

“JK Tyre & Industries Limited
Q1 FY'25 Earnings Conference Call ”
August 05, 202 4

MANAGEMENT : MR. ANSHUMAN SINGHANIA – MANAGING DIRECTOR –
JK TYRE & INDUSTRIES LIMITED
MR. ARUN K. BAJORIA – DIRECTOR AND PRESIDENT
INTERNATIONAL BUSINESS – JK TYRE & INDUSTRIES
LIMITED
MR. ANUJ KATHURIA – PRESIDENT INDIA BUSINESS –
JK TYRE & INDUSTRIES LIMITED
MR. SANJEEV AGGARWAL – CHIEF FINANCIAL
OFFICER – JK TYRE & INDUSTRIES LIMITED
MR. A. K. KINRA – FINANCIAL ADVISOR – JK TYRE &
INDUSTRIES LIMITED

MODERATOR : MR. BASUDEB BANERJEE – ICICI SECURITIES
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Q1 FY'25 Results Conference Call of JK Tyre, hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Basudeb Banerjee . Thank you, and over to you, sir.
Basudeb Banerjee : Thanks, Shlok. Thanks to the management of JK Tyre for giving us the opportunity to host the call. We have with us the senior management represented by Mr. Anshuman Singhania, Managing Director; Mr. Arun K. Bajoria, Director and President - International business; Mr. Anuj Kathuria, President - India; Mr. Sanjeev Aggarwal, Chief Financial Officer; and Mr. A.K. Kinra, Financial Advis or.
So without wasting any time, I'd like to hand over the call to Mr. Anshuman Singhania for his initial comments. Over to you, sir.
Anshuman Singhania: Yes. Thank you. A very good afternoon everyone. I welcome you all for joining JK Tyre's Q1FY25 earnings call. I am Anshuman Singhania, Managing Director and I have with me Mr. Arun Bajoria, Director & President – International, Mr. Anuj Kathuria, President – India, M r. A.K. Kinra, Financial Advisor and Mr. Sanjeev Aggarwal, CFO of the Company.
Let me start by sharing the highlights of quarter 1 of financial year 2025. We recorded another quarter of profitable growth led by significant expansion in operating margins on year-on-year basis. Overall net profit surged to INR212 crore, a growth of 33% on y -o-y basis. Our strategic thrust on premiumization, brand salience and pricing has enabled us to manage the raw material cost pressures. On revenue front, overall revenues were flattish over the corresponding quarter, primarily due to lower OEM sales, partially offset by higher export sales; while replacement segment sales remained flat.
Net debt at the quarter -end stood at INR3,832 crore. Free cash flows and return ratio s remained healthy with improved leverage ratios. We are committed to continuously deleverage the balance sheet with better cash accruals and higher profitability.
Automotive sales, in volume terms, in India continues to post decent growth in Q1. Commercia l vehicle and passenger vehicle segment posted low single digit growth. M&HCV demand impacted due to slowdown in infrastructure projects on account of general elections. Passenger vehicle sales also moderated during the quarter due to high base effect, how ever, order bookings remained strong in the overall SUV category. The two -wheeler segment witnessed recovery, largely due to improved demand sentiments in rural areas.
We are optimistic about the tyre industry supported by reforms and a focus on infrastruc ture development. Moreover, upcoming festive season and favourable monsoon conditions augur well for the industry.

We are proud to share that JK Tyre was awarded the 'Great Place to Work' in auto & auto components segment. This signifies our commitment in creating & sustaining a high -trust and high-performance culture.
During the quarter, we further expanded our market reach in the replacement segment by adding 44 brand shops, 40+ fleet customers and 2 large accounts in mobility business.
With the continuous evolution of the EV sector in India, the development of EV -oriented technology remains a key focus for the company. Today, there are over 8,100 EV buses registered in India and JK Tyre is the market leaders with major fitment share.
We are partn ering with leading players in the electric mobility sector, offer

ing our
comprehensive Mobility Solutions. Moreover, JK Tyre's Mobility Solutions Business achieved ISO 9001:2015 certification from DNV which is 1st of such type quality certification receive d by any company in Tyre Service industry.
In our continued efforts to offer superior value preposition to our customers, we have introduced the Next -Generation Tyres for Commercial Vehicles to cater to the evolving needs of the transportation sector and t he revolutionary JETWAY JUXe for electric buses.
The recently expanded capacity for TBR and PCR has enabled us to achieve higher levels of premiumization.
The ongoing capacity expansion programs in TBR, PCR and All Steel Light Truck Radial tyres for an ag gregate cost of INR1,400 crore are progressing well.
Our brand -building efforts have been pivotal in enhancing the Company's visibility and engagement strategy. We created innovative digital campaigns that resonated with our target audiences, using compell ing media content to boost visibility across key demographics. Our recent campaign 'Hindustan Mile Hindustan Se - 'Desh Ka Tyre' ensuring effective impact on

all media platforms.
Our focus on ESG and digitalization is driving us ahead towards excellence in this era of sustainable development. We remain committed to strengthen our processes to offer better experience to the customers.
At JK Tyre, we are committed to further reinforce our thrust for premiumization, digitalization, R&D, innovation, sustainabil ity, customer -centricity, and technology -driven manufacturing.
We have welcomed the move of the government, which has recently notified the continuation of the CVD on import of TBR tyres from China. This is a very good move and will go a long way in promot ing the domestic manufacturing and sales of TBR.
Now I would respect Mr. Bajoria to talk about the performance of JK Tornel Mexico.

Arun K. Bajoria: Thank you, MD sir. JK Tornel Mexico registered the quarterly sales of MXN1,234 million, equivalent to nearly INR600 crores, lower by about 13% on a year -on-year basis. EBITDA margins sustained at 8.7%, that is MXN108 million equivalent to INR52 crores. JK Tornel Mexico's financial performance for the quarter was slightly subdued due to general elections in Mexico, lower number of working days on account of the Easter holidays in the first week of April and the peso appreciation impacting exports.
Overall economic situation in Mexico is expected to stabilize in the current calendar year and continues to be buoyant from the perspective of foreign direct investments and government expenditure plans. During the quarter, we have taken strategic price increase across categories in the major markets to offset the impact of rising raw material prices.
Now I would request Mr. Aggarwal to brief about the financial performance of this quarter.
Sanjeev Aggarwal: Thank you very much, sir. So, let me briefly share the key highlights for quarter 1 of FY'25. The consolidated revenues for the quarter were recorded at INR3,655 crore . EBITDA margins during Q1FY'25 were recorded at 14.1%, vis-à-vis 12.5% in the corresponding quarter, which is an expansion of 162 basis points. Profitability at EBITDA level were recorded at INR516 crores as against INR465 crores in Q1 last year, which is a growth of 11% on a Y -o-Y basis.
Cash profit for the quarter stood at INR403 crore s as compared to INR343 crores in Q1 last year, which is higher by 18%. Interest cost stood at INR112 crores, which is lower by 8% over the corresponding quarter. Profit after tax stood at INR212 crores, up by 33% on a y-o-y basis.
Consolidated capacity utilization for the quarter was over 80%.
Consolidated exports stood at INR637 crores, which is up by 9% on a y-o-y basis.
Subsidiary companies, Cavendish Industries and JK Tornel Mexico continued to perform well and contributed sign

ificantly to the revenues and profitability on a consolidated basis.
Cavendish posted a top line of INR975 crores with a n EBITDA of INR139 crores, registering an operating margin of 14.3%.
Earnings per share on consolidated basis improved to INR7.62 per share in Q1 as against INR5.93 per share last year.
Return ratios have significantly improved further. ROCE post-tax is at 15.4% and ROE is at 20%.
Net debt stood at INR3,832 crore s as of June '24, higher by 3% over March numbers due to increase in working capital borrowing . Leverage ratios sustained over March '24 levels. Net debt to Equity and Net debt to EBITDA remained at 0.8 0x and 1.76 x respectively.
So the balance sheet of the company is much healthier and improved -- with improved financial ratios. We have already circulated earnings presentation, which is available on our website as well as on Stock Exchange websit e.

Now we open the forum for Q&A. Thank you.
Moderator: The first question is from the line of Mumuksh Mandlesha from Anand Rathi.
Mumuksh Mandlesha: Congratulations on the good margin performance. Sir, firstly, on the volume growth, sir, this quarter see ms to be muted, sir. Can you explain what led to the volume to be low? And also, can you provide us some numbers around the growth side? How has been overall volume growth and across the various segments, OE and aftermarket and exports?
Anshuman Singhania: In CV segment, where we have the highest share was impacted on account of lower of M&HCV production owing to slowdown in the infrastructure projects on account of the general elections.
Also, there has been a temporary change in the overall CV segment mi x, which has led to the lower OEM offtake during the quarter. So , these were some of the reasons for lower volume

growth . However, we are envisioning that in the second half of the year, the demand will pick up. In fact, in terms of our domestic volume, we remained flat in the replacement market. But in the export market, we had a significant jump of 19% over the corresponding quarter.
Mumuksh Mandlesha: And sir, OEM would be, sir, how much fall, sir?
Anshuman Singhania: OEM degrowth was in the tune of about 5% to 6%.
Mumuksh Mandlesha: Got it, sir and sir, just on the gross margin side, last time you mentioned about 4% increase in the RM basket cost. Can you just reiterate what was the impact this quarter? And also for Q2 , how much further RM cost increase will be expected, sir?
Anshuman Singhania: So the average RM prices quarter -on-quarter basis, we have seen an impact of 3% to 4%. We are expecting the average raw material basket to increase in the range of about 5% to 6 % in quarter 2.
Mumuksh Mandlesha: Okay and sir, on the price hike we have taken in July, sir, how much do you expect that price hike to cover the increase in the Q2 cost, sir?
Anshuman Singhania: In quarter 1, our net sales realization has improved by 2% on a quarter -on-quarter basis which is led mainly by the price increase and better product mix.
Mumuksh Mandlesha: Got it. And just on the price hike, sir, what's the plan to take further price hike to negate the impact, sir? And just on the rubber inflati on, sir, what's your view on continuing increase in the natural India rubber prices, also the international prices also had inched up recently. So how do you see the stabilization there, sir?
Anshuman Singhania: So, we have taken a price increase in the ra nge of about 1% to 1.5% and further we would like to assess the situation. Based on that, we will be able to take the price in the subsequent months for the quarter 2.
Mumuksh Mandlesha: On the natural rubber price increasing happening in the Indian rubbe r prices and also the recently international prices have inched up. So how do you see that stabilization, sir?

Anshuman Singhania: There have been lot of supply chain disruptions in terms of vessel availability etc. So, there has been a little bit of delay in terms of incoming of raw material. So , which has impacted RM prices.
Also, monsoon season which is a lean season in terms of rubber production has also led to increased rubber prices . But we see that in the coming quarter, thi s shall stabilize.
Mumuksh Mandlesha: Got it, sir. And sir, lastly, sir, on the -- what's your take on the competitor not taking price hike in the TBR segment and another peer announcing discounts in that segment. So what would be our approach to this situ ation? Also on the pricing front, how is the price difference on the TBR and PCR with the players like MRF and Apollo?
Anshuman Singhania: Anujji, would you like to take this please?
Anuj Kathuria: As you heard Anshumanji saying earlier that we have focused on our margin expansion. We're also working on product premiumization. So , therefore, we saw that in quarter 1 that we were able to sustain our margins. Going forward, we w ish to do that.
The other thing is that I also strongly believe that from September onwards , the demand in the M&HCV and the CV overall will be quite robust. There will be demand coming up, and we are the market leader as far as the TBR is concerned. So we will be able to secure a decent top line growth as well.
We are also working on a lot of our premiumization also in the TBR, wherein our power SKUs like the energy saver tyres and extra mileage tyres are doing well. So , based on that, we would like to have our own way forward and strategy , wherein we would definitely like to increase the top line, but at the same time would not like to compromise on our margin .
Mumuksh Mandlesha: So is it fair to say, sir, our prices remain stable, and we would keep on increasing the price hike to further compensate the RM cost inflation?
Anuj Kathuria: See, we'll have to watch th e RM basket very carefully. As you know that it has been on upward trend, mainly led by the natural rubber. But once we see that the global supply chain challenges are resolved, availability improves and also our domestic production of natural rubber post the monsoon season should improve .
We will be watching this very carefully and depending on how the raw material basket pans out, we will take further calls and also, we ar e watching the market to see the ability of the market to absorb the increases that we are announ cing.
Moderator: The next question is from the line of Nirav Seksaria from Living Root Analytics, LLP.
Nirav Seksaria: Congratulations for a good set of numbers. Sir, could you quantify the EPR cost for this quarter?
Sanjeev Aggarwal : In fact, as we discussed last time also that we have started passing on the EPR cost and have started charging as a direct line item from the month of May onwards . There is still some cost of about INR25 crores which has been charged to the P&L. Going forward, this will also be passing through this as well.

Nirav Seksaria: Okay. And sir, we are also expecting a 5% to 6% increase in raw material basket in Q2. So would we need an additional price hike to recover that pricing? And if yes, then what is the quantum of that?
Anshuman Singhania: As, I explained earlier that in the month of July, we have already taken a price hike, and we will be subsequently assessing the situation and seeing the r aw material scenario and based on that, we will take the price increase in the remaining 2 months of the second quarter. Secondly, our enriching product mix should also offse t the impact.
Nirav Seksaria: Sir, could you quantify the price hike taken in July?
Anuj Kathur ia: 1% to 1.5%, varies category to category .
Nirav Seksaria: Okay. And so sir, did we stock up on to the

raw material in this quarter in Q1?
Anuj Kathur ia: Yes, we have actually started building a little bit f rom quarter 4 last year itself.
Nirav Seksaria: Okay. Hence, we can see that in Q1, the impact of raw material is relatively smaller?
Anuj Kathuria : Yes.
Nirav Seksaria: Is the same being done for Q2?
Anuj Kathuria : To a certain extent , yes again depends on different commodities in the raw material basket as well as the stocking levels. But overall, it is there .
Nirav Seksaria: Sir, is it fair to assume that we are doing it for natural rubber in a hiking scenario?
Anshuman Singh ania: We are working with our major suppliers and we are strategically keeping our inventory levels so that we may not have any impact on the production . The teams are working very closely with our suppliers to ensure that there is no impact. We don't see any impact of availability in the coming quarters .
Nirav Seksaria: Okay, sure. And sir, could you give the split of capacity utilization in PCR and TBR?
Anuj Kathuria: Overall capacity utilization for radials is 90% plus and overall is 80% plus.
Moderator: The next question is from the line of Jyoti Singh from Arihant Capital Markets Limited.
Jyoti Singh: Sir, if you can expl ain on the premiumization side that has increased, so that led to increase in the content for vehicle side. If you can shed some light on that? And second, on the CV segment side, how much market share we have?
Anshuman Singhania: We have bee n able to continue o ur premiumization thrust. On the passenger car radial side 15 inch and above mix has gone up to almost around 50%. So there has been a significant shift in PCR and as Anujji said that in the truck radial also, we've been able to sell our more premium sizes and the mix is almost around 92% .

Jyoti Singh: Okay. And sir, CV segment market share, how much we have?
Anuj Kathuri a: CV segment overall is very difficult to say, but we are leaders in the TBR domestic market in both OE and replacement put together. We are also leaders in the light truck radial segment and overall, everything put together, even in the CV segment, we are having the leadership position. So this is what we can share with you right now.
Jyoti Singh: And sir, just last question. On the replacement side, we are almost more than 62%. So , what our view on OE demand in future because there will be lot of demand on the replacement side?
Anuj Kathuria: So, replacement versus OE, it keeps on changing a little bit. But generally, OE demand is stronger in the second half of the financ ial year. So , in the quarter 3 and quarter 4, we expect that the demand from OE would be coming back to a better level.
Anshuman Singhania: Just to add, we are very optimistic on the outlook for the tyre demand driven by the policy reforms, including the continued focus of the govt. on infrastructure development and more so the monsoons . The government is already, as you know is trying to mobilize the infrastructure sector.
Moreover, the festive season and good monsoon condition augers well for the industry. So overall, the demand is looking very good.
Jyoti Singh: Yes. And sir, just one more last question. On the 2 -wheeler side, like we still on the consol basis, we are contributing 4% and 2-wheeler side demand is picking up. So are we targeting to increase further on t he revenue mix side, we will be stable in this range?
Anshuman Singhania: You're right, that the 2 -3-wheeler segment has picked -up and we are also part of th is story. But our capacity is very small compare d to the Industry . Presently, w e are selling full given the capacity and utilisation as well.
Anuj Kathuria: Just to add, even in the 2 -3-wheeler segment, we are focusing on certain premium products. We are having the limited capacity, we would like to have more premi

um products. In this direction,
we have launched recently the new range of tyres in this segment.
Moderator: The next question is from the line of Mitul Shah from DAM Capital.
Mitul Shah: Sir, my first question is on Mexico operation for this Tornel. You highlighted that a double -digit decline is because of the various reasons, one of them is election and then holidays and all. But going forward, what is a steady state, whether this can be considered as a onetime effect in this quarter and situation will be much better or still there is an expected slowdown for next 1 or 2 quarters? That is the first part of the question.
Arun K. Bajoria: You rightly said, going forward, things are going to be better and the new government is also going to be in effect in the H2 beginning . Therefore, we hope to signifi cantly improve our business as compared to H1.

Mitul Shah: Sir, on the same line, second question is, as we are entirely into the aftermarket in the Tornel operations and quite a sizable portion is also exported from, so how you see the situation? Or can y ou explain in a bit detail on the domestic market situation as well as those export geographies also for Tornel?
Arun K. Bajoria: In the domestic market, I would like to inform you that in the bias segment, our market share is nearly 100% because there is no other tyre manufacturer in Mexico, who is manufacturing bias tyres . So, we are in a very commanding position, including supplies of to the military segment in Mexico.
On passenger car radials side, we are commanding the highest market share in the Mexico market despite the presence of leading brands of the world .
So, we are in a v ery strong position being the only Mexican manufacturer of tyres in Mexico.
Therefore, going forward, we should now come back to our better earning capacity, better sales and overall performance.
Mitul Shah: And ex port from Tornel?
Arun K. Bajoria: Exports from Tornel have jumped from 40% in financial year '21 to nearly 50% in financial year '24 due to enhanced focus on North America and the Latin American markets. However, I must mention to you our exports did take a little bit of a beating because the dollar -peso rates appreciation. MXN has come down to almost 17.5 viz-a-viz dollar , which was for a temporary period . Again, now in the Q2, we are seeing that the peso has gone back to MXN 18.5 and should stabilize around that level. Therefore, the exports out of Mexico are again now reasonably profitable.
Mitul Shah: So sir, this currency thing is also impacting margins or no major imp act of that?
Arun K. Bajoria: No, certainly, the margins will be slightly better when you have more pesos earning from the exports .
Mitul Shah: Okay. And sir, second question on the domestic market side for replacement, particularly. As you highlighted earlier that there was a slowdown on the commercial vehicle side, particularly OEM. How has been the situation on the replacement side? And again, Q2, Q3; Q2 may be weak because of the monsoon going on for OEM side, but how you would see the re placement side for next 2, 3 quarters for M&HCVs?
Anuj Kathuria : In M&HCV, replacement demand in Q1 was quite okay. Generally , Q1 is okay. Q2 is a slow quarter because of the monsoon. But we expect that once the monsoon is over and the rate movement will pick up. In fact, we monitor the BTK M very closely in terms of rate availability and sales movement. BTKM is showing a positive growth, and we expect that BTKM should be growing very close to the GDP growth rate of 6.5% to 7% which augurs well for the M&HCV segment. So we should be able to see that replacement demand for M&HCV in quarter 3 and quarter 4 should be in that range of high single digits.

Mitul Shah: Sir, a

nd lastly, on the balance sheet side, how is the debt position at the end of quarter? And any change in the capex for this year and next year? That's all, sir.
Sanjeev Aggarwal: On the debt side , there is some increase in working capital loan during the quarter, which led to some increase in gross debt . Net debt stood at INR3,832 crore s as against INR3,704 crore s in the last quarter .
Going forward, we are expecting increase in sales from this quarter onwards and we should be able to manage working capital better , which will definitely reduce the overall debt.
Mitul Shah: On capex , sir?
Anshuman Singhania: PCR and TBR project of INR800 crores has been completed and the ongoing expansion is about

INR1,400 crores project, which is in the TBR , Passenger car radial and All stee l light truck radial category.

Moderator: The n ext question is from the line of Jaimin Desai from Emkay Global.

Jaimin Desai: Congratulations on strong margin performance in the quarter. My first question was related to the outlook for the year. Last qua rter, you had indicated about 8% to 10% consolidated revenue growth expected for this year. Does that still hold?

Anuj Kathuria : If you see, the quarter 1 has been a little more sluggish in terms of the commercial vehicle demand . In quarter 2, we are hoping that the smart recovery would happen. But I think , we should be hopeful for somewhere growth between the middle to high single digit .

Jaimin Desai: Okay. Mid- to high single digit, okay. And sir, on the PCR side, in last quarter, we were expecting about high single -digit growth for PCR replacement. Do we hold on to that guidance as well?

Anuj Kathuria : PCR replacement should be doing well because overall replacement cycle is getting shortened. So in the replacement market, the demand should be good. Also, we saw that a couple of years that the SUVs were becoming the larger population of the overall sales . Going forward, things should im prove further .

Jaimin Desai: Understood. And sir, this quarter, you've seen a good improvement in margin performance of both the subsidiaries, Cavendish and Tornel on Q -o-Q basis. Could you highlight some of the reasons for the same, particularly in Tornel because there we also had lo wer scale sequentially if margins have improved?

Arun K. Bajoria: Well, if you see, we have an element of outsourced tyres also in Tornel. So , if you take profitability of own manufactured products our margins are higher to the extent of about 10 - 11% in th e quarter. But going forward, those margins are expected to improve because we have taken a price increase effective from 1st of June 2024, and that is getting stabilised . Therefore, our margins are expe cted to be better in the second half as well as in the second quarter .

Anshuman Singhania: Just adding to Mr. Bajoria ji's answer , I would like to highlight that in both the subsidiaries from the corresponding quarter and from the sequential , our EBIDT A has increased.

Moderator: So we are awaiting for the participants to enter into the question queue. The next question is from the line of Shruti Mulchandani from Unifi Capital.

Shruti Mulchandani: Sir, basically, I wanted to know what is the contribution of fleet management and mobility services to the consolidated revenue?

Anuj Kath uria: So, if you look at th e mobility and the fleet business, this business is growing very well at a good growth rate. However, as of now, it contributes to around 3% to 4% of the overall top line. But it's a business that is growing at a much faster rate as compared to the other part of the business.

Shruti Mulchandani: Okay. So if you could help me with the business model for the fleet management, do you like to charge the fleet operator on a per tyre basis? Or how is it like if you could help me with that?

Anuj K

athuria : So, as I explained, there are two parts to it. One is called the fleet management, where the fleet owner still continues to buy the tyre upfront, but we also provide the comprehensive service. It's a one -stop service solution. We have got 350-plus touch points where you can avail of the services and these services are available on cashless basis. They enter into an arrangement with us, wherein we this services on Pan-India basis. This is fleet management.

On the other side, on the mobility solutions, that is where we sell the miles. This is on a pay -per- use basis , where the customer gets the tyres fitted on the vehicles and he has to just pay based on th e number of kilometers that the vehicle is driven, and we monitor these vehicles very closely.

We have found acceptance with almost close to 50 m arquee accounts as of now, managing close to a good number of the population of vehicles that are under mobility business .

Shruti Mulchandani: Okay. I understood. That was really helpful. Also, is this segment margin accretive or something like that, sir?

Sanjeev Aggarwal: It is margin accretive.

Shruti Mulchandani: So, the revenue coming from the sales of LCV tyres . So is it a part when you're reporting the revenue, is it a part of the TBR segment or the other segments?

Sanjeev Aggarwal: No, it is part of the others. It's not part of the TBR.

Moderator: The next question is from the line of Aditya Akhani from Omkara Capital Private Limited.

Aditya Akhani : Sir, my question would be what is the revenue mix by market and product line for Indian operations for Q1?

Anuj Kathuria : By Market -wise, the replacement market is close to 60%. OEM is about 25%, and the remaining is exports ar ound 15%.

Aditya Akhani : Okay. And by product line?
Anuj Kathuria : By Product line, total truck & bus is around 60%, passenger line radial is another 25% and others is around 15% including 2 -3 whee lers.
Moderator : There are no further questions, so we request the management for closing remarks.
Sanjeev Aggarwal : Thank you very much to all of you for joining the call . Hope we have been able to clarify all your questions. Thank you so much. Thank you.
Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2024

4(JKTYRr
R & INDUSTRIES LTD.
JKTIL:SECTL:SE:2024 Date: 12th November 2024
BSE Ltd
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai-400 001National Stock Exchange of India Ltd
Exchange Plaza, C -1, Block G,
Bandra –Kurla Complex,
Bandra (E), Mumbai -400 051
Scrip Code: 530007 Symbol: JKTYRE
Dear Sir
Re. Transcript of Results Conference Call held on 6th November 2024
- Regulation 30 of the SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015
=ll•nIl•l•••=WWnW=W=====•ln•lnW=W=n=n===l••••BUM==W==M===n=nUnn HugH===BeInn==nme nIna
Further to our letter dated 29th October 2024 re. intimation of
schedule of Results Conference Call, we enclose herewith the transcript of
the Quarter 2, financial year 2024-25 Results Conference Call
(Group Conference Call) held on 6th November 2024 at 3.30 PM (IST)
Thanking you,
Yours faithfully,
For JK Tyre & Industries Ltd.
st
g(Kamal Kumar Manik)
%ompany Secretary
(k)
Encl: As Above
,©Admin. Off.: 3, Bahadur Shah Zatar Mary, New Delhi.110 002, Fax: 91.11.23322059, Phone: 91.11.66001112, 66001122
Regd. Off.: Jaykaygram. PO - Tyre Factory, Kankro1l - 313342 (Rajasthan), Fax : 02952-232018. Ph, : 02952-233400 / 233000
Website www.Jktyre com CIN - L67120RJ1951PLC045966 a
VIKRANT

"JK Tyre & Industries Limited hosted by Emkay Global
Financial Services "

November 06, 2024

MANAGEMENT : MR. ANSHUMAN SINGHANIA - MANAGING DIRECTOR
MR. ARUN K. BAJORIA - DIRECTOR & PRESIDENT
(INTERNATIONAL BUSINESS)
MR. ANUJ KATHURIA - PRESIDENT (INDIA
OPERATIONS)
MR. SANJEEV AGGARWAL - CHIEF FINANCIAL
OFFICER
MR. A.K. KINRA - FINANCIAL ADVISOR

MODERATOR : MR. CHIRAG JAIN - EMKAY GLOBAL FINANCIAL
SERVICES

Modera tor: Ladies and gentlemen, good day and welcome to Q2 F Y25 earnings conference call of JK T yre & Industries Limited hosted by Emkay Global Financial Services.
As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Chirag Jain from Emkay Global Financial Services.
Thank you, and over to you , sir.
Chirag Jain: Thanks, Nia. Good afternoon, everyone. On behalf of Emkay Global, I would like to welcome you all to the 2Q FY25 Earnings Conference Call of JK Tyre & Industries Limited .
Today , we have with us the Senior Management Team represented by Mr. Anshuman Singhan ia, Managing Director ; Mr. Arun K. Bajoria – Director & President (International Business); Mr. Anuj Kathuria – President (India Operations); Mr. Sanjeev Ag garwal, Chief Financial Officer, and Mr. A.K. Kinra, Financial Advisor.
We'll begin the call with "Opening Comments " from the Management Team followed by the Q&A session. Over to you, sir.
Anshuman Singhania: Good afternoon everyone, and welcome to JK Tyre's Q2FY25 earnings conference call. On behalf of the entire JK Tyre fam ily, I would like to extend warm wishes for a very happy and prosperous festive season in 2024.
To begin, I would like to share the key performance highlights of the Indian economy, and auto sector followed by Quarter 2 business performance.
India continue s to be the fastest growing economy despite geopolitical uncertainties. Key factors like strong growth in manufacturing, robust credit growth & GST collections, rural economy rebounding and stronger exports in services and high -value manufacturing has stre ngthened India's position further.
We firmly believe that India will keep delivering superior performance which would strengthen its position in the global economy.
The automobile industry is one of the key drivers of growth in the Indian economy, However, the performance was a mixed bag during the quarter. While the Commercial vehicle segment de-grew by high single digit on account of extended monsoon and moderation in infrastructure spend post general elections. Passenger vehicle segment sustained on a hi gh base. The 2/3 -wheeler witnessed robust growth of more than 12% in Q2.

JK Tyre, being a CV major, the OE sales was impacted by the drop in CV production during the quarter. However, for the domestic market overall volumes were flattish over the previous quarter. As we move into the second half of the year, we expect demand to improve, driven by festive season, resumption of government infrastructure spend and normalization of construction, industrial and mining activities.
Further, premiumization trend s hall continue across sectors including auto led by increasing aspirations, changing lifestyle and greater availability of easy finance schemes.
Domestic passenger car radials have significantly improved over the previous quarter in the replacement market.
Now coming to Quarter 2 business performance, overall revenues were recorded at Rs. 3,643 crores as compared to Rs.3,905 crore in the corresponding quarter last year. Overall domestic market volumes contracted in the high single digits, primarily driven by the OEM segment.
On export front, volumes remained flat on y -o-y basis but showed sequential improvement in the high single digits.
Export demand continues to recover from all markets like American Continent, Asia & Middle East. Introduction of new produ cts and expansion of footprint in our target markets, we are

confident that this growth will sustain in the second half despite continuing supply chain issues and uncertain geopolitical scenario.
On the margin front, EBIDTA margins contracted sequentially due to higher raw material costs, which increased by approximately 6 -7% compared to Q1. We have been actively working to mitigate this impact through judicious pricing actions and product mix enri chment coupled with operating efficiencies. Presently, we are witnessing correction in RM prices.
During the quarter, we further expanded our market reach in the replacement segment by adding 23 brand shops, 40+ fleet customers and 2 large accounts in mobi lity business.
The ongoing capacity expansion programs in TBR, PCR and All Steel Light Truck Radial tyres for an aggregate cost of Rs.1,400 crore is progressing well.

In our continued efforts to strengthened our brand visibility "JK Tyre has been recognize d as 'Iconic Brand of India 2024' by Economic Times for the 5th time.
At JK Tyre, we have embraced digitalization as a strategic catalyst to enhance operational efficiency across all functions, including Manufacturing, Marketing, and Sales. By integrating digital and predictive technologies with AI, we are accelerating the innovation and product development.

It is indeed a matter of pride that, "JK Tyre has been honored with the prestigious Mahatma Award 2024 for CSR excellence."
JK Tyre, is a Green Company and is committed to reducing carbon intensity by 50% by 2030. Sustainability is at the core of it's activity, be it manufacturing excellence or development of next-generation technological advanced products.
Now, I request Mr. Arun Bajoria to talk about the performance of JK Tornel, Mexico.
Arun Kumar Bajoria: Thank you, MD sir, I will share the highlights of Mexican economy and JK Tornel for the second quarter of FY25.
Mexico's economic activity slowed in the second quarter of 2024 following the establishment of the new government. GDP growth decelerated to an ann ualized rate of 0.8%, down from 1.1% in the previous quarter and employment growth rates also slowed down. Peso weakened against the dollar which should support Exports in coming quarter. The IMF projects Mexico's GDP growth forecast for 2025 at 1.5%.
The positive development for the Mexican tyre industry is that, the Mexican government imposed anti -dumping duties @ 32% on imported passenger car and light truck tyres from China, effective from October 1, 2024. This move is expected to provide a significant boost to JK Tornel's domestic sales of PCR tyres.
Now, coming to quarterly financial performance, JK Tornel, Mexico registered quarterly sales of 1,342 Million Pesos (equivalent to Rs.593 crore), lower by about 8% on y -o-y basis on constant currency terms, EBIDTA margins sustained at 8.0%, i.e., 106 Million Pesos (equivalent to Rs.47 crore). However due to depreciation of Mexican pesos by nea rly ~10% viz-a-viz Indian rupees, the overall revenue and profitability were further impacted in Indian currency.
During the quarter, raw material cost has increased significantly by 11% over previous quarter to offset this impact we have taken strategic price increase across categories and could increase our net sales realization by 9%.
In an effort to boost sales of passenger radial tyres, 18 new SKUs in the premium category were introduced to the market, with plans underway to launch over 14 more premium SKUs by December 2024. These efforts have resulted in increasing PCR capacity utilization to nearly 90%.
JK Tornel is onboa rding new customers in the mobility and mass merchandise segments. Recently, it has started supplying premium SKUs to Walmart.
Now, I request Mr. Aggarwal to brief about the financial performance of the quarter.

Sanjeev Aggarwal: Thank you, sir.

Let me briefly share the key highlights for Q2FY25:
Firstly, c onsolidated revenues for Q2FY25 were recorded at Rs.3,643 crore as compared to Rs.3,905 crore in the corresponding quar ter last year . EBIDTA margins during Q2FY25 were recorded at 12.2% viz -a-viz 14.1% in previous quarter, contracted by 195 bps due to higher RM cost, primarily driven by a significant rise in natural rubber prices, while crude oil prices remained moderate d at present. Profitability at EBIDTA level was recorded at Rs.443 crore as against Rs.597 crore in Q2FY24.
On quarterly basis, Cash profits stood at Rs.323 crore as compared to Rs.488 crore in Q2FY24. Profit after tax (PAT) stood at Rs.144 c rore. Consolidated capacity utilization for the quarter was 83%. The utilization of radial capacities remained strong, ranging between 85 -90% at present. Consolidated exports stood at Rs.693 crore, up by 6% on y -o-y basis.
Subsidiary companies, n amely, Cavendish Industries Ltd. and JK Tornel, Mexico continued to perform well and contributed significantly to the revenues and profitability on consolidated basis. Cavendish (CIL) posted a topline of Rs.957 crore, with EBIDTA at Rs.123 crore registe ring an operating margin of 12.9%.
Earnings per share (EPS) on a consolidated basis stood at Rs.4.93 per share in Q2FY25. Return ratios, ROCE and ROE are within the mid to high teens range.
Net debt stood at Rs.4,340 crore as on September 2024 as against Rs.3,704 crore in March 2024.

The debt levels have risen due to increased working capital borrowings, primarily related to the strategic buildup of key raw materials. For FY2023 -24 th e Company paid the total dividend of Rs.4.50 per share including an interim dividend of Re.1 per share paid earlier and final dividend of Rs.3.50 per share was paid during the quarter.
Leverage ratios, i.e., Net debt to equity and Net debt to EBID TA remained at 0.90x and 2.15x as on September 2024 respectively. The Balance Sheet and return ratios of the company remained within healthy levels.
On September 16, 2024, the Board of Directors of JK Tyre and CIL respectively approved a scheme of am algamation, which involves the merger of CIL into the parent company, JK Tyre. The merger aims to synergize benefits, simplified structure, unlocking value for the shareholders and consolidate tyre operations into a single entity. As per the Swap ratio, shareholders of CIL will receive 92 shares of JK Tyre for every 100 shares they hold in CIL. The proposed merger will go through several approval processes and is expected to be completed within the next 10 - 12 months.
We have already circulated our Earni ngs Presentation, which is available on our website as well as on the stock exchange websites. Now, we open the forum for Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first ques tion is from the line of Amar Kant Gaur from Axis Capital. Please go ahead.
Amar Kant Gaur: Sir, I had two questions. One was regarding the growth that we have seen in the OEM segment quarter -over-quarter. What is contributing to that , because most of the OEMs, we haven't seen a great growth in the production sequentially. And a commensurate decline we are seeing in the replacement segment when sequentially we typically see an improvement in the 2nd Quarter . So, could you shed some light on those numbers , please?
Anshuman Singhania: In the OEM segment , the major decline was in CV segment , especially the MHCV which has shown a decline and has been quite sluggish in H1. In passenger there has been slight growth over the previous quarter, ho wever, it decline d on y-o-y basis.
Amar Kant Gaur: I'm talking about sequentially. From the numbers that I have, there's about Rs. 100 crores of addition, almost 15 %-16% addition in the revenues quarter -over-quarter. Then the gro

wth in 2 -
wheelers might not be that great, maybe around 6 %-8% kind of growth there, and CVs would be largely flat and LCV would be lower. So, would that mean that we have gotten into more OEM, cert ain models where we are present have done relatively better?
Anshuman Singhania: In terms of the numbers , there has been slight degrowth in the OEM on sequential basis . We got impacted because we have the largest participant in t he OEM, in the CV segment and in the passenger car, it has been a minor growth in terms of volumes . This is from the sequential quarter.
Amar Kant Gaur: And regarding replacement, sir?
Anshuman Singhania: In replacement segment , we have grown in volumes both from sequential as well on correspon ding basis .
Amar Kant Gaur: My second question relates to the pricing actions that we are seeing in the market and the competitive intensity that has been relatively high in certain segments and not in others. So, would you please elaborate the kind of competitive intensity you are seei ng in the market as far as pricing is concerned and which segments are the most competitive and how much price hikes have you taken in individual segments over the last couple of quarters?
Anshuman Singhania: We have been able to take price hikes of about 3 % - 3.5% in H1 across various categories .
Amar Kant Gaur: And regarding the competitive intensity, if you can c omment ? Why I'm asking that is because in the past a lot of your competitors have been quite vocal in terms of being very prudent on price increases and protecting the margins. But lately margins have come under pressure quite a lot and we have seen some of the competitors also resorting to some pricing action to protect market share rather than the margins. So , is that something that you are seeing in the market as well or that is something you believe that is a maybe a shorter term phenomena and we might see more price competitiveness coming through going forward?

Anuj Kathuria : It's not just about competition; it's also about the market’s capacity to absorb price increases. We are carefully evaluating this aspect. As you might know, freight rates haven’t risen significantly, which has limited our ability to pass on higher costs, particularly in the replacement market.
On the other hand, in the passenger car segment, we have successfully taken more substantial price increases. We anticipate that as overall demand improves and freight availability strengthens in Q3 and Q4, we will have a better opportunity to implement further price

adjustments."
Moderator: Thank you. The next question i s from the line of Abhishek Jain from Al fAccurate Advisors Private Limited. Please go ahead.
Abhishek Jain: Sir, in CV segment, how's your T BB versus TBR? And how is your market share over there? And what is the outlook for the replacement demand in TBR and TBB?
Anuj Kathur ia: In the TBR segment, the replacement demand is holding steady. Typically, when new vehicle sales are lower, the replacement market tends to see an uptick . However, in Q2, demand was slightly muted due to the extended monsoon, which slowed down construction and mining activities whereas , demand in the long -haul segment remains strong .
For the PCR segment, there is a positive trend, with replacement market demand picking up.
Overall, while there were temporary challenges due to seasonal factors, the underlying demand in both TBR and PCR replacement s egments remains strong.
Abhishek Jain: So, in commercial vehicle, the new contribution is around 53 % to 55% There how much revenue mix for TBB versus TBR?
Sanjeev Aggarwal: In terms of revenue the total t ruck bus accounts for almost say 5 2%-53% for us and there roughly 40% comes from TBR.
Abhishek Jain: And as you are adding the new capacity most probably that this ratio will increase ?
Anuj Kathuri

a : Yes, absolutely. The TBR ratio will further go up because now we are seeing that even in the mining segment the use of TBR is increasing .
Sanjeev Aggarwal : And our capacities are all being set up in TBR, not in TBB.
Abhishek Jain: So, because of the capacity constraints, your T BR percentage overall is low, right?
Sanjeev Aggarwal : Within the segment of truck and bus, The TBR definitely will go up.
Abhishek Jain: And my next question is on the Cavendish. How do you shape a volume growth over the next two years?

Sanje ev Aggarwal : First of all , the overall we consider Cavendis h or JK Tyre like one unit only , but just for the sake of your question clarity , so you are talking about the growth percentage , right?
Abhishek Jain: Yes.
Sanjeev Aggarwal : The growth percentage in JK Tyre will be higher going forward because of the increase in passenger line radial tyres capacity .
Abhishek Jain: Sir, I am asking about Cavendish now. They have achieved a revenue of Rs. 975 crores. So, how do you see the revenue growth over t here and what would be the key triggers of the revenue growth and EBITDA margin over there?
Anshuman Singhania: EBITDA margins are definitely better in the case of Cavendish , presently and going forward we would not like to comment on the EBITDA margins , as the new c apex in passenger vehicle segment at JK Tyre would help in improving margins in JK Tyre.
Abhishek Jain: My next question is on the Tornel Mexico. So, how much export of the Tornel Mexico in the different countries and which are the key markets?
Arun Kumar Bajoria: This is about 50% and the key markets for export from Mexico are Brazil and Latin America. And in Latin America, it is Colombia, it is Argentina, Venezuela, Cuba. So, these are the countries and they keep varying because it depends on the exchange rate of those countries. A s you know, that the exchange volatility, whether it is Brazil, the real was at around 4.7 -4.8 reals to a dollar. Today it is about 5.6 reals to a dollar. So, the import into Brazil has become, to that extent, much more un remunerative , very expensive. And so also the other countries in Latin America. For example, Argentina and Venezuela, the exchange rates are absolutely gone haywire.
Abhishek Jain: So, because of this imposing duty on the Chinese companies by the 32% rate, domestic business will see a significant growth from this quarter onwards?
Arun Kumar Bajoria: Yes. We are expecting our domestic sales to go up significantly going forward. That is from November 24 onwards.
Moderator: Thank you. The next question is from the line of Mitu l Shah from DAM Capital. Please go ahead.
Mitul Shah: Sir, my question again on the Mexico Tornel, s equentiall y Q2 is always stro ng on a Q -on-Q basis. And we have seeing 10%, 15%, 20% type of revenue growth compared to Q1. This time, it is a decline. So, as initially you highlighted about this new government formation related challenge, et c.. But anything one time or it is overall s lowdown which has impact on the Q2 and we'll see similar impact at least for next few quarters?

Arun Kumar Bajoria: We are currently facing challenges in our export sales due to subdued demand in the Latin

American markets. This dec line has impacted our overall sales performance. Additionally, currency depreciation, particularly the weakening of the Mexican peso against the Indian rupee, has further impacted this. Although our sales in peso terms have not decreased significantly, t he issue arises during consolidation. Previously, we converted peso sales to Indian rupees at a rate of around 4.5 -4.6. Now, with the conversion rate at approximately 4.2, we are seeing a 10 -11% impact on consolidated figures due to this currency fluctuati on.

Mitul Shah: On sequen

tial basis sir, Q -on-Q 10 % to 11% you are talking ?

Arun Kumar Bajoria: Yes.

Mitul Shah: And second question is on how much would be roughly intersegment between Cavendish and JKI?

Sanjeev Aggarwal: This is approximately 250 crores. The inter -unit sale you are talking about, right?

Mitul Shah: Yes.

Sanjeev Aggarwal: 250 crores in the quarter.

Mitul Shah: And lastly, sir, any meaningful benefit of this restructuring of Cavendish going forward, merging with the JK?

Sanjeev Aggarwal: The proposed restructuring and amalgamation, approved by the board, will bring multiple strategic benefi ts. Primarily, we expect to realize significant economies of scale, which will enhance overall operational efficiency. Additionally, the simplification of our corporate structure will lower costs and improve ease of doing business. We also anticipate tax b enefits stemming from carried forward losses in Cavendish, specifically for income tax purposes (these losses do not appear on the balance sheet). These carried forward losses can be utilized over the next 1.5 to 2 years, providing a valuable offset and co ntributing to improved financial performance.

Anshuman Singhania: Unlocking value of the stakeholder and consolidating tire operation into one single entity. We see a lot of synergical benefits.

Sanjeev Aggarwal: We thought that this would be the best time and the ideal situation is because now Cavendish Industries is also g enerating a good amount of profitability and business. This has stabilized now more or less. So, it is the best time to reap the benefits of the merger.

Mitul Shah: Sir, can you quantify these losses ? How much would be the most peripheral losses which can be used as a benefit for you?

Sanjeev Aggarwal : That directly would be very difficult. But we will work out and we can discuss separately.

Moderator: Thank you. The next question is from the line of Aditya Akhani from Omkara Capital. Please go ahead.

Aditya Akhani: Could you help us with revenue mix by market and product line for India business for either Q1, Q2 or H1 ?

Sanjeev Aggarwal: By market, the broad numbers I can share with you . The replacement is 60% . OEM is about 26% to 30% and the exports r emain ing.

Aditya Akhani: This is for Q2 or H1?

Sanjeev Aggarwal: This is for Q2 I had talked about. Both are more or less similar.

Aditya Akhani: And revenue mix by product line?

Sanjeev Aggarwal: Revenue mix by product line, truck and bus is again the major contributor to the revenue to the extent of about 60% and passenger car radi als would be about 30% and balance from two - wheeler and non -truck bias.

Moderator: Thank you. The next question is from the line of Amit Ag garwal from Le eway Investments. Please go ahead.

Amit Aggarwal: What is the volume growth, YoY for 6 months?

Anshuman Singhania: In H1FY25 compared to H1 FY24, the domestic sales volume s were lower in mid-single digit.

Amit Aggarwal: Could you define in percentage?

Sanjeev Aggarwal: See, this was not across the categories actually this lower number , in terms of volume .

Amit Aggarwal: That’s okay, but I just wanted to know the exact price rise and volume growth so that I can, you know, it helps me in forecasting the future growth of the company and the capacity utilization of the company.

Sanjeev Aggarwal: To relate that, then it is better to look at the tonnage rather than th e numbers.

Arun Kumar Bajoria: In any case, as we have discussed and Anshumanji talked about in his speech, this quarter is not a real representative quarter for the future growth of the company, sim ply because the OEM was not doing so well, and therefore this is a picture completely different this quarter.

Amit Aggarwal: Sir, I understand, but sir, it's better if you could give me the percentage. Is it 2%, 5%, 6% or 3%? Was it n egative? Beca

use the turnover has been stagnant. So, I just wanted to get an idea what is the price rise and what is the volume growth in Indian operations ?

Anuj Kathuria : So, in terms of market segments we can talk about this. So, replacement is low single digits. OEM is low double digits. And then export is positive high single digits.
Amit Aggarwal: So, what is the capacity utilization of the Indian operation?
Sanjeev A ggarwal : 85 to 90 percent. Again segment wise it is completely different.
Sanjeev Aggarwal: Radial capacity is 90 % and the other overall is 85 %.
Amit Aggarwal: So, what is the increase expected in the capacity in the next two years?
Sanjeev Aggarwal: It will be around 10% on consolidate d basis.
Amit Aggarwal: That is okay, but looking at I think in last concall we s hould look at investing Rs. 900 crore s around for the next two years, so there will be some expansion on the capacity. So, just wanted to know how much will be the expansion of the capacity ?
Sanjeev Aggarwal: We are expanding our capacities m ainly in passenger car radial t yres, Truck bus radials and all steel light truck radial cat egory for an aggregate amount of Rs.1 ,400 crore.
Amit Aggarwal: So, should we expect around 20% increase in total capacity including buses, cars, and scooters?
Sanjeev Aggarwal: Yes, in PCR it will be around 20% and TB R will be around 10%.
Moderator: Thank you. The next question is from the line of Mayur Milak from AMSEC . Please go ahead.
Mayur Milak : So, on the RM basket, sequentially, you said it is u p by about 11%. Am I get it right?
Anshuman Singh ania: Sequentially, in the RM basket, it is an increase of 6 % to 7%. For the H1, it is a bout 13% increase.
Mayur Milak : 13% in H1 you said and 6 % to 7% Q oQ.
Anshuman Singhania : Yes.
Mayur Milak : And i n your previous call, you had mentioned that in 1Q, your price realization increased by about 2% and you had taken a 1 % to 2.5% price hike in the month of July. Now overall, you mentioned that your price hike for the first half has been 3% -3.5%. So, largel y, post -July, we have not really been able to take any price hike because of the softness in replacement demand. Am I reading that right?
Anshuman Singhania: Your numbers are correct. So, by H1, we've been able to take cumulatively about 3 %-3.5% price increase and we are assessing the situation now in this quarter as well . We are assessing the situation and further price increase will depend on market dynamics .

Mayur Milak : But so far till November of this quarter you haven't really taken any price hike ?
Anuj Kathuria : We have announced the price hike in the TBR segment, in the end of October.
Mayur Milak : So, you've taken one already in this quarte r earlier ?
Anuj Kathur ia: Yes, only for the TBR.
Mayur Milak : And sir, coming to overall the demand scenario, I think clearly the industry is reading a typical low single digit demand scenario, which largely means a steady replacement demand and maybe low single digit OE demand . What I understand almost 70 %-75% really comes from replacement. So, any particular reason that you see that why the replacement has kind of been very sluggish ? OE we understand, there's an inventory thing, but why is the replacement not really picked up?
Anuj Kathuria : Replacement demand has not played out to that level as was expected in the beginning of the year and Q2 particular ly was more muted , on account of extended monsoon and the construction and mining activity , which has also had slowed down during this period. Also, because of the election, the infra capex did not happen. So, overall economic activity was slow. The movement of the core sectors, such as cement, steel, even that was also curtailed to a large extent because of the construction

activity being muted.
So, we see that the government spend will be much better in infra in the next half . We will see movement in the core industries. Rural economy also starting to churn . Therefore , overall the economic activity will increase and that would also result in better utilization of the vehicles with more freight availability.
Mayur Milak : But one structural question, if you allow me so the direct freight corridor is pretty much on its verge of getting completed , the Western corridor. What we understand from the experts on railway is largely that there could be a dramatic shift of goods from road to rail, which will have its own fleet impact on the M &HCV industry per se. So, if the overall run were to come off, does it also mean that the replacement cycle in the M &HCV should kind of see a structural slowdown in the next 2-3 years? Any take from your side? Have you done any kind of readi ng into that?
Anuj Kath uria: Currently, the dedicated freight corridors are not fully operational, but we are closely monitoring the situation in dialogue with o ur OEM partners who are also evaluating its impact. Freight

movement typically correlates with GDP growth, and we anticipate an overall increase in total freight availability. OEMs are focusing on reducing per -tonne -per-kilometer road transportation costs by enhancing vehicle dynamics and performance. Similarly, we are working on optimizing tire fuel efficiency and reducing overall costs per kilometer.

While dedicated freight corridors will likely to handle point -to-point shipments (like cement or steel), tra nsshipment -heavy freight will still rely on road transport or a multimodal approach. Even in developed economies like China, road transportation remains a dominant mode, accounting for 60 -65% of total freight movement. With ongoing improvements in national and state highway infrastructure, we believe that while a portion of freight may shift to rail, road transportation will continue to play a major role, supported by better vehicle and t yre performance.
Mayur Milak : So, your view is the industry will continue its CAPEX as anticipated ?
Sanjeev Aggarwal: Yes.
Moderator: Thank you. The next question is from the line of Basude b Banerjee from CLSA. Please go ahead.
Basudeb Banerjee: The raw material basket which moved up 6 %-7% in Q2, how do you see that with today's commodity price come down in Q4 per se , not in Q3, because it will have a lag e ffect. So, this is with respect to the question of further price hike , whether price hike is required at all or not because commodities would have corrected equivalently by Q4 today's price ?
Anuj Kathuria : In Q3, definitely the price hikes would be required, but it will finally find its own level as to the raw material prices will also start softening. So, there will be some lag effect which will go into Q3, but more towards the end of the quarte r, we may see some softening happening. We are considering further price increases; however, the extent of these will largely depend on the market's capacity to absorb them. As mentioned earlier, we already implemented a price hike at the end of October and will continue to evaluate o pportunities for adjustments in other segments as market conditions allow."
Basudeb Banerjee: Second question, t he last time when did the JK or industry in general reduce replacement market prices to pass on commodity price benefit?
Anuj Kathuria : No, there was no significant such thing . It was mostly because , if you remember prior to that there was a sharp increase of 40% plus in the commodities. So, overall if you see we were able to sustain whatever increases we had taken even when the commodity prices had softened after.
Moderator: Thank you. The next follow up question is from the line of Abhishek Jain from Alf Accurate Advisors

Private Limited. Please go ahead.
Abhishek Jain: Sir, as you mentioned that, you are adding the capacity in the TBR and PCR, and these are fully utilized now. So, what will be the incremental revenue in FY26 because of these capacity additions?
Sanjeev Aggarwal : These are all brownfield expansion projects. And we are expecting 1.1 to 1.2 times the investment.

Abhishek Jain: So, when these are getting commissioned ?
Sanjeev Aggarwal : So, these are getting commissioned in different quarters, but you can broadly assume second half of FY26 . All the capacities will start and then ramp up will happen over the next 2-3 quarters .
Abhishek Jain: And sir, also import raw materials to different countries like Indonesia, Vietnam. And so just wanted to understand what is your import requirement ? What is your R M requirement comes from the import and what is the difference in the prices now domestic versus imported in terms of the R M?
Anuj K athuria : If you take the different components in the RM, the import percentage varies from quarter -to-quarter, because the production of the domestic rubber is also not reformed for the year. So, there that is one area, but there are other areas where I think so now the domestic capacities are being set up , for example say Carbon Black. But there again in some cases other than commercial reasons we keep on importing but very difficult to give you the figures because it is str ategic and tactical which changes from every one quarter to the other quarter.
Abhishek Jain: So, import must be around 50% of the total requirement of R M?
Anuj Kath uria: Not really. But again it varies from quarter -to-quarter.
Abhishek Jain: And as the freight rate was very high in the last two quarters, but now it has started to go down. So, because of this, do you give the benefit in other expenditure ?
Anuj Kathuria : You are talking about the what?

Abhishek Jain: International freight rates.
Anuj Kathuria : Ocean freights had gone up but now they have started coming down again.
Abhishek Jain: And my last question on the overall debt, what is the current debt in the company and how is your repayment plan for the next two years?
Sanjeev Aggarwal : So, the debt repayment schedule is being followed as per what we have to pay fully and in next two years basically we will be reducing our debt by almost about Rs. 1500 crore.
Abhishek Jain: And what is the current net debt sir?
Sanjeev Aggarwal : Debt to equity today is 0.90:1.
Abhishek Jain: And i n number terms, sir?
Sanje ev Aggarwal : In numbers terms , the net debt is Rs. 4,340 crores.

Abhishek Jain: And that will reduce to the Rs. 1,500 crores or it will be reduced by Rs. 1,500 crores?
Sanjeev Aggarwal : It will be reduced by Rs.1,500 crores.
Moderator: Thank you. As there are no further questions from the participants , I now hand the conference over to the management for closing comments.
Sanjeev Aggarwal : I thank you for joining Q2FY25 investor s call today and I hope we have provided clarifications to all your questions satisfactorily. Good day.
Moderator: Thank you very much. On behalf of Emkay Global Financial Services, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2025

KJ#fTYR=N & INDUSTRIES LTD,
JKTIL:SECTL:SE:2025 Date: 17th February 2025
BSE Ltd
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai-400 001National Stock Exchange of India Ltd
Exchange Plaza, C -1, Block G
Bandra –Kurla Complex
Bandra (E), Mumbai –400 051
Scrip Code: 530007 Symbol: JKTYRE
Dear Sir,
Re. Transcript of Results Conference Call held on 10th February 2025
- Regulation 30 of the SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015
Further to our letter dated 3'd February 2025 re. intimation of
schedule of Results Conference Call, we enclose herewith the transcript of
the Quarter 3, financial year 2024-25 Results Conference Call
(Group Conference Call) held on 10th February 2025 at 11.30 AM (IST).
Thanking you,
Yours faithfully,
For JK Tyre & Industries Ltd.
V(Kamal Kumar Manik)
9mpany Secretaryl
Encl: As Above
Admin. Off.: 3, Bahadur Shah Zafar Marg, New Delhi-110002, Phone: 91-11-66001112, 66001122
Regd. Off.: Jaykaygmm, PO - Tyre Factory, Kankroli - 313342 (Rajasthan), Fax : 02952-232018, Ph. : 02952-302400 / 330011
Website : www.jkVn.com CIN : L67120RJ1951 PLC045966V)
VIKRANT

JK Tyre & Industries Limited
Q3 FY'25 Earnings Conference Call

February 10, 2025

MANAGEMENT : MR. ANSHUMAN SINGHANIA – MANAGING DIRECTOR , JK
TYRE & INDUSTRIES LIMITED
MR. ARUN K. BAJORIA – DIRECTOR & PRESIDENT
(INTERNATIONAL), JK TYRE & INDUSTRIES LIMITED
MR. ANUJ KATHURIA – PRESIDENT (INDIA), JK TYRE &
INDUSTRIES LIMITED
MR. SANJEEV AGGARWAL – CHIEF FINANCIAL OFFICER ,
JK TYRE & INDUSTRIES LIMITED
MR. A.K. KINRA – FINANCIAL ADVISOR , JK TYRE &
INDUSTRIES LIMITED

MODERATOR : MR. CHIRAG JAIN – EMKAY GLOBAL FINANCIAL
SERVICES

JK Tyre & Industries Limited
February 10, 2025

Moderator: Ladies and Gentlemen , Good Day and welcome to JK Ty re & Industries Limited Q3FY25 Earnings Conference Call hosted by Emkay Global Financial Services.
As a reminder, all participant s' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call , please s ignal an operator by pressing "'*'" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand over the conference to Mr. Chirag Jain from Emkay Global Financial Services. Thank you, and over to you, sir.
Chirag Jain: Thank you. Good morning, everyone. On behalf of Emkay Global, I would like to welcome you all

to the Q3FY25 Earnings Conference Call of JK Tyre & Industri es Limited.
Today , we have with us the Senior Management Team represented by Mr. Anshuman Singhania , Managing Director ; Mr. Arun K . Bajoria – Director and President (International); Mr. Anuj Kathuria, President (India); Mr. Sanjeev Ag garwal , Chief Financial Officer ; and Mr. A .K. Kinra, Financial Advisor .
We'll begin the call with “Opening Comments ” from the Management team followed by “Q&A Session .” Over to you, sir.
Anshuman Singhania : A very good morning to all of you. It is my great pleasure to welcome you all to the JK Tyre ’s Q3 FY25 Earnings Call .
First, of all, I would like to extend my warm wishes to all of you and your family for a very happy new year 2025.
To begin, I would like to share some broad highlights of the Indian economy and then the Auto Sector followed by the Q 3 Business Performance .
The Indian economy continued to maintain its position as a bright spot in the global econom ic landscape. Ho wever, its performance during Year 2024 was a mixed bag. While the economy displayed remarkable resilience in the face of global uncertaint ies, continue d domestic issues impacting sentiments to a certain extent . Going forward , robust tax collection s, government 's thrust on infrastructure and private capex aided by policy reforms i s likely to drive the GDP growth.
As per the RBI forecast, the real GDP growth of the Indian economy for the F Y24-25 is expected to be around 6.6% which continues to remain the fastest growing globally.

The Indian automobile industry is one of the key drivers of growth for the economy , presently the third largest in the world and expected to become No. 1 in the next five years.
The auto sector has started showing signs of recovery. Two & three -wheeler sales have witnessed a strong growth and the passenger car segment continues to grow at a low single digit. Tractor demand is also rising, supported by healthy Agri production. The CV segment is anticipated to benefit from the increased public and private capex and consumption boosting measures announced in the Union Budget .
Coming to our Performance during Q3FY25, we achieved a healthy growth in the replacement market on a QoQ basis . However, modest growth in the OEM limited t he overall domestic growth, which reflected broader economic trend s. Going forward, the replacement market demand remains promising, and the OEM segment is on a recovery path.
Export w ere sustained on Y oY basis despite global uncertainties, trade challenges and supply chain constraints.
In Q3FY25 , operating margins were impacted by increasing raw material cost s, particularly in the natural rubber. To mitigate cost pressure s, the company continues to take necessar y measures including price revisions, enhancing product mix and cost optimization.
TBR and PCR continue s to be critical for the business segment for us and we are strategically enhancing capacit ies in a calibrated manner. Earlier announced expansion projec ts at Banmo re Tyre P

lant for PCR and Laksar Tyre plant for TBR are progressing well with the state-of-the-art equipment being installed.
Our radial capacity continues to be optimally utilized, and our focus is to sweat our access to maximum to generate higher return for shareholders.
Our clear focus on technological advancements in product design and research and development has allowed us to set new benchmarks within the industry. Further, we are strengthening our tech -enabled manufacturing efforts to improve efficiency while ensuring highest quality standards. These efforts are being recognized by the OEM s and are also facilitating the expansion of our global footprint.
As a part of our digita l transformation journey, we have recently established Digital and Analytics Cent re of Excellence to enhance data -driven operational efficiencies.
JK Tyre is the first Indian Tyre company to join the Global RE100 Club, targeting for 1 00% renewable electricity by 2050.

JK Tyre is a sustainably led organization , focusing and investing resources in developing sustainable, innovative, and value -added products and in line with our vision to be a “Green and trusted mobility partner ”, we have tied up tied Sustainability -Linked Loan with International Finance Corporation, a first in Indian t yre industry.
Now I would request Bajoria ji to talk about the performance of JK Tornel Mexico.
Arun K Bajoria : Thank you very much MD sir. I will now share the brief highlights of Mexican economy and thereafter JK Tornel , Mexico for the 3rd Quarter of FY25.
As per the I MF - World Economic Outlook Report, Mexico 's real GDP is projected to grow by 1.8% in 2024 and 1.4% in 2025.

Now , moving on to the financial performance of JK Torn el, revenues for Q3 stood at 1 ,282 million pesos, equivalent to Rs.507 crores compared to 1 ,301 million pesos in constant currency terms. The decline in revenue was primarily due to the Christmas holidays and the appreciation of the Indian rupee against the Mexican peso. However, EBITDA margin remained steady at 7.9%.
High raw material cost, particularly natural rubber prices, continue to be a key area of focus. The overall raw material basket i n Q3 increased by approximately 12% on a quarter -on-quarter basis, which we have largely passed on to the customers . Additionally , the Mexican Peso deprecia ted by 6% against the US dollar in the last quarter, which should support JK Tornel 's exports in the coming quarter s.
Our capacity utilization in the PCR category remained high at 90% plus. To reinforce our dominance, we have launched new premium products in higher rim sizes, further strengthening our product portfolio , catering to the evolving needs of advanced markets like USA including domestic marke t.
As part of our strategy to expand in the domestic market , we continue to expand our distribution network. Additionally, we are supplying more cost -effective products to mass merchandisers.
We are proud to announce that J K Tornel plan ts in Mexico have be en awarded with the prestigious “Sword of Hono ur” award by the British Safety Council. This recognition is a testament to our unwavering commitment to workplace health and safety management .
I would now request Mr. Sanjeev Ag garwal ji to talk about the Financial Performance of this Quarter.
Sanjeev Ag garwal: Thank you , sir. So, let me brief you about the key highlights for Q3F Y25.
The consolidated revenue for the quarter were recorded at 3694 crore s which remained flat on YoY basis.

EBIT DA margins during the quarter were recorded at 9.1% vis-à-vis 12.2% in the previous quarter, which has contracted by 309 basis points due to sluggish demand in OEM and the higher raw material costs , primarily driven by a significant rise in natural rubber prices. Profitability at EBITDA level was recorded at Rs.335 crore s in this quarter. Cash profit stood at Rs. 212 crore s and the profit after tax was recorded at Rs.57 crores .
Consolidated capacity utilization for the quarter was 78%, the utilization of radial capa city has remained over 80% . Consolidated exports stood at Rs.560 crore s, flattish on year -on-year basis.
Subsid iary companies , Cavendish Industries Limited and JK T ornel , Mexico contributed significantly to the revenues and profitability on consolidated ba sis. Cavendish posted a top line of Rs.1,025 crore s, the highest ever for a quarter with EBITDA of Rs.92 crores, registering a margin of 9%.
Earnings per share on a consolidated basis stood at Rs.1.88 per share during the quarter. Return ratios, ROCE and ROE continue to be in double -digit and net debt stood at Rs.4,319 crores for the quarter ended December '24 as against Rs.4,340 crores in the previous quarter. Leverage ratios i.e. N et debt to Equity and Net debt to EBITDA were at 0.89x and 2.4 x as on December '24, respectively. The balance sheet of the company continues to remain healthy.
We have already circulated our earnings presentation, which is available on our website as well as on stock exchange websites , and now we open the forum for the Questions & Answer s.
Moderator: Ladies and gentlemen, we will now begin with the question and answer session. The first question comes from the line of Abhishek Jain from Al faccurate Advisors Private Limited. Please go ahead.
Abhishek Jain: Thanks for the opportunity . Sir, i n this quarter, we have seen a very significant increase in the RM cost despite a small increase in the overall RM basket . So, I just wanted to understand what is the reason of this much of increase - is there any high cost of inventory which is likely to go down in the coming quarter? And the second is that the replacement volume was much better than the OEMs in this quarter despite we have seen a contraction in the margin . So, if you can throw some color on it ?
Anshuman Singhania: Yes, the average raw material prices have increased 2% on a quarter -on-quarter basis and here I would say that the natural rubber prices have actually played little havoc and the reason of which is actually because of the season changing and the climatic impa ct in this availability of natural rubber plus labor availability as well in the Southeast Asia n belt. So , all these has impacted in terms of the increase in the natural rubber prices. So , the whole basket of raw material prices have increased by 2% on a quarter -on-quarter basis.

Abhishek Jain: But in our numbers, basically we see that there is a n impact of 320 b ps on the quarter -on-quarter basis on the RM cost. That is much higher than the increase in the RM basket . So, just wanted to understand , is it because of the higher cost of inventory that was lying at the company or something else?
Anuj Ka thuria: Yes, actually, what happened is that in Q1 and Q2, we had taken some strategic stocking of the material which helped us to evade some of the cost in Q2. But then that strategic inventory had depleted and Q3 saw the full impact of the raw material.
Sanjeev Aggarwal: Okay. If I may add to what Anuj ji has just mentioned, the good thing is that most of the inventory

has already been consumed in Q3, so in Q4, we can expect some improvement in margins unless there is again some increase in raw material prices going forward. Yes, there has been a major impact on EBITDA margin s due to higher raw material cost in Q3 .
Anuj Kathuria : Your other q uestion was on the replacement volumes being higher and still the margins have got impacted in Q3. See, the margins have been impacted overall by the higher raw material cost as we explained. And just to clarify , replacement margins and OE margins are not very different. And in the case of OEMs, al

so the indexation is there with the raw material price increase . Although it comes at a lag, but still, we get it . In the replacement market passing on the raw material is again depending on the market dynamics . So, it has to be seen quarter -by-quarter, but i think so margins are not very different between replacement and OE M.
Anshuman Singhania: Just to tell you that replacement market in terms of the numbers from the previous corresponding quarter , we had grown at 16% and the passenger car radial had grown at 24%.
Abhishek Jain: Okay . Sir, in Mexico , basically there is a significant depreciation of Mexican Peso v ersus INR. So, that has gone down to 5 to 3 .95. Despite that , very strong revenue growth was not seen on quarter - on-quarter in last three, four quarters in terms of the Mexic an Pesos . So, just wanted to understand if we convert into the rupee , we indicated very hard impact on our revenue and the margin, so going ahead, what is your strategy to overcome fro m this problem , is there any hedgi ng policy or anything else, and what is the impact of th is depreciation ?
Arun K Bajoria : We are doing two things : One, straightaway due to the Peso which has gone down to almost 20.5 , in fact the day the president announced 25% import duty from Mexico into USA , the Peso touched 21 Peso to a Dollar. But now it is back to about 20.55 . So, our exports are already taking place, but now we are going to increase our exports many more times so that we can get the advantage of this higher peso earning. So, that is one. And secondly, as I had mentioned that we are now supplying the t yres to the evolving needs of the advanced markets, that is higher rim sizes and that is going to be a little higher profitability margin as comp ared to the present product portfolio where we had higher rim sizes and now we have taken care of that action.

Abhishek Jain: But we have seen that in the last quarter, we have the anti -dumping duties on the Chinese tyres p lus you are talking with the export will grow significantly . Despite all these things we have not seen any improvement on the number s even on the top line or even on the bottom line. So, just wanted to understand how the re sults will come?
Arun K Bajoria : See, the first thing which I had mentioned in my small opening remarks that Q3 typically is a shorter quarter because we have 16 -days of closed plant in December due to Christmas holidays in Mexico. So, we are only working effectively for 2 Months and 17 days. So, that is the main rea son. Despite all th ese, you are seeing a lower top line which you are absolutely right , but that will not happen in the Q4, which is January to March 2025.
Abhishek Jain: Okay. And my last question is on the Cavendish . So, there is strong growth quarter -on-quarter on the Cavendish . Is it because of some benefit of the amalgamation or is there any increase in the capacity utilization plus is there a decline on the margin o n the Cavendish ? So, despite that increase in the scale, there is a significant decl ine in margin, what is the reason for a significant increase in the top line on quarter -on-quarter basis ?
Anuj Kathuria : Cavendish, as we said that it has done the ever best quarterly sales of Rs.1,025 crores. As we had earlier shared , we had a capex plan where the TBR capacity was increased . So, the impact of that is being seen now and going forward further impact will also be seen. On the declining of margins, it on account of impact of the raw material prices , although we have been trying our best to pas s it on to the market. But again, Cavendish also has a sizable amount going into the replacement market. So, that is the reason. Moreover, the other things are exactly in line with the par ent company. A nd on the merger , I don't think so there a re any thing s as of now . Once it happens , then

we will then see the impact of that.
Abhishek Jain: Thank you, sir. That's all for my side.
Moderator: Thank you. A reminder to all participants, you may press '*' and '1' to ask a question. The next question comes from the line of Mithul Shah from DAM Capital. Please g o ahead.
Mithul Shah : Thank you for the opportunity . Sir, just one clarification on this carry -forward inventory of hig h value in this quarter. So, as peers indicated due to raw material pressure Q3 versus Q4 gross margin would be more or less flat tish or maybe even slightly adverse . Compared to that because of those carry -forward inventory , our margin was impacted much in Q3. Do we expect Q4 for JK gross marg in level should be much better compared to Q3 if we assume raw material prices remain at the stable level ?
Anshuman Singhania: Our outlook going forward is that demand in the replacement market is going to be promising. OE sector is right now in the recovery path. We are expecting the demand to improve and pick up in the

government infrastructure, public and private capex cycles also to normalize in terms of the construction and industrial & mining activities. And I think the budget ha s also given lot of impetus to the MSME sector and the increase of spending from the middle class. So , on the whole, we are very optimistic on the outlook . Our thrust on premi umization c ontinues across the secto r.

Mithul Shah: Sir, I am asking for the impa ct of the carryforward inventory on margins Q3 versus Q4.

Anuj Kathuria : I have already indicated that because in Q3 the major impact was of the carryforward inventory. So, that is almost being utilized and unless there is some increase in raw material prices going forward again, so we can expect some improvement in mar gins.

Mithul Shah: Yes, sir. And second question is on Mexico operation . From Mexico how much would be the export to North America right now roughly?

Arun K. Bajoria: North America, about 5% of the total export because we are exporting more to Brazil and to Latin America. But we are now increasing our exports to USA with the higher rim sizes , but then on the other hand, I must tell you that this 25% duty on the imports from Mexico into Amer ica has been put on hold by the President of USA for about one m onth, during which time some negotiations are taking place, because as you would have read from the papers , immediately Mexico has imposed 25% duty on any import from USA into Mexico. So , naturally, now the Americans are reconsidering and let us see what happens. But as of now, there is not much of an impact on the exports to USA from Mexico.

Mithul Shah: Understood. So, 95% of the export is already protected?

Arun K. Bajoria: Yes. Thank you.

Mithul Shah: Last question is again on the replacement side . Within the replacement which segment from FY26 point of view you see to be the highest growth generator be it CV or farm equipment because CV was not great in past one or two years , so o n that base, do you think CVs to come back significantly on the replacement side? I'm talking about the domestic market.

Anuj Kathuria : In the replacement market, we expect both the truck and bus radial as well as the passenger car radial to be the two gro wth segments. We have to wait and watch , because one thing which is clearly coming out is that the number of passenger cars that are getting into the market every month , is at a very high level , also, the replacement cycle is low because of the additi onal running of the veh icles. So, we expect that the total market potential for this year to further grow and with the improving road infrastructure, the government t hrust o n infrastructure for the mining activities will drive the demand for TBR as well. So, these are the two growth segments we look for ward to . Just to add , the two

wheeler also is doing well. So, the two wheelers also will see a very good demand in the market both in the OE as well as in the replacement.

Mithul Shah : Thanks , sir.

Moderator : A reminder to all participants, please press '*' and '1' to ask a question. The next question comes from the line of Chirag Jain from Emkay Global Financ ial Services. Please go ahead.

Chirag Jain: Yes, sir, just wanted to get a sense in terms of pricing action that we have taken in various segments, if you can just share some thoughts over there ?

Anshuman Singhania: We have increased our pricing on a quarter -on-quarter basis to 1% and wherever price revision we could do, we have done that , and also we have improved our product mix. There is still some under recovery of 4%- 5% yet to be done. We have to abide by the competitive market scenario . So, we will take that adequately when the opportunity is there.

Chirag Jain: Okay. And how is the capacity utilization looking like for us in terms of the key product segments including the recent expansion that we have undertaken?

Anuj Kathuria : So, in terms of capacity utilization for radial, we are in excess of 80% , for B us also, utilizations are at around 70 % plus, and this includes whatever capacities have already expanded that have been taken into consideration.

Chirag Jain: And for PCR ?

Anuj Kathuria : PCR, as I said, it is close to 90%.

Chirag Jain: Okay. And do we see further scope for let's say major capex over the next one, one and a half years or we are fairly comfortable in terms of the capacities that we have?

Anuj Kathuria : We a lready have a n ongoing capex program of Rs.1,400 crores , out of which Rs.1,000 crores plus is for the PCR expansion, which we've already shared and another Rs.400 odd crores is a combination of TBR and all steel light truck radi al. That is going on track.

Anshuman Singhania: We are right now under taking the implementation of above project s. We will assess the market going forward and announce capex further.

Chirag Jain: Okay . This capacity utilization numbers that we shared , that doesn't include these two expansion on PCR and all steel radial ?

Anuj Kathuria : No, these are not yet in place.

Chirag Jain: Understood. Understood. Ye s. That's it from my side. I'll fall back in the queue.
Moderator: Thank you. The next question comes from the line of Amar Gaur from A xis Capital. Please g o ahead.
Amar Gaur: Yes. Hi. Thanks for taking my ques tion. I had two -fold questions. One, if you could please break down your growth in India business in terms of volumes and pricing ?
Anshuman Singhania: Can you repeat your question please ?
Amar Gaur: Yes. I just wanted to understand about 2% kind of growth that we have seen in the India business , how much of that was from pricing and how much was volume -led?
Anuj Kathuria : On a comparison with the previous quarter, there has been a growth in the volume by around 2% for the India operations and we have also had a n improvement in the pricing by 1%.
Amar Gaur: Previous quarter you mean, Q2 FY25?
Anuj Kathuria : Yes, as compared to Q2 of FY25.
Amar Gaur: Okay. Could you also highlight which are the segments where you saw higher growth versus slightly lower growth , I know you indicated about OE and replacement, but in terms of end markets?
Anuj Kathuria : So, the growth came mainly from the PCR and the TBR segments and also in the 2/3 wheeler s.
Amar Gaur: So, if I understand that correctly, in replacement , all the segments have done very well, but in OE s most of the segments have seen a decline , would that understanding be correct ?.
Anuj Kathuria : OE, the major decline is in the TBR segment. On a year -on-year basis, actually passenger car was okay .
Amar Gau r: So, on a sequential basis?
Anuj Kathuria : It was better th

an the previous quarter in the OE .
Amar Gaur: Sir, maybe I missed the Cavendish number . Is it close to Rs.1,000 crores ?
Anuj Kathuria : Rs.1,025 crores .
Amar Gaur: And sir, on the RM side, I know you answered this question . Let me ask you a little differently . So, if I look at the RM to sales, it's about 65% for the consolidated business, right, and you are talking about all the higher price RM has already been consumed . So, what kind of improvemen t can we

expect sequentially on the RM side – would it be 100 bps, 200 bps anything you can indicate based on your purchases that have happened over the last two months or so ?
Anuj Kathuria : See, just to clarify , what I said is that in Q1 and Q2, we were c arrying some high cost inventories. I'm talking about raw material inventory. And in Q3, we have seen major impact of the high cost raw material inventory. What is expected is that going forward the RM basket may further likely increase by 1% to 2% in Q4. So, whatever inventories that we have been carrying from Q3 will give some impact in Q4.
Amar Gaur: Understood . And finally, if you can indicate what is the year to date capex that you have done and what you expect from the full year?
Sanjeev Aggarwal: So, a s we discussed earlier, we have been implementing Rs.1,400 crore s worth of capex at this point of time, and majorly this is for the expansion of PCR capacity at about Rs.1,025 crores and the balance Rs.400 crore s is for the Truck & Bus and All steel light struck radial (ASLTR) .
Amar Gaur: I wanted to know year to date how much capex have you done for this?
Sanjeev Aggarwal: This is again on an a nnual basis; the outlay is about Rs.800 crores in th ese three quarters period. We have already spent about Rs.600 crore s.
Amar Gaur: Alright. Thanks. All the best.
Moderator: Thank you. Participants, please press ‘*’ and ‘1’ to ask a question. The next question comes from the line of Abhishek Jain from Al faccurate Advisors Private Limited. Please go ahead.
Abhishek Jain: Sir, how much is the current debt of the company and what is your d ebt reduction plan, and the comp any has taken a loan from the IFC, how much benefit comes in?
Abhishek Jain: How much is the current net debt of the company and what's your d ebt reduction going ahead?
Sanjeev Aggarwal: So, the Net Debt of the company as on 31st Dec’24 was Rs.4,317 crore s which is net of the cash available with the company and the $100 million loan which we have tied up with IFC is for the expansions which are under implementation at this point in time and partly this loan will be used for replac ing the high-cost debt i n Cavendish Industries Limited .
Abhishek Jain: Okay. And our debt reduction plan for the medium term , sir?
Sanjeev Aggarwal: The line is not very clear. Can y ou repeat.
Abhishek Jain: How much is the debt reduction plan in the middle term?

Sanjeev Aggarwal: Debt reduction on the long -term borrowing spaces , we have been going ahead as per schedule and as we envisaged earlier . It's only in the short term the working capital borrowings have gone up in the last nine months period and this is to maintain the strategic inventory and also some finished goods inventory were accumulated but this is going to get corrected in next one or two quarters .

Abhishek Jain: So, that means that finance cost will go down in the next financial year?
Sanjeev Aggarwa l: Yes, w e are hoping for that .
Abhishek Jain: Okay. And sir, with combined install ed capacity is around 35 million tyres per annum , with that around 82 % to 83% capacity utilization currently, the total revenue is around Rs.3,650 or Rs.3,700 crores, if we take the 95% capacity also, peak revenue w ould be around Rs.4,300 crores . So, adding another Rs.1,400 crores kind of the c

apex , so that means the quarterly run rate of that would be around Rs.350 crores . So, can you explain that peak reve nue on a quarterly basis would be around 4,700 crores post this c ompletion of capex ?
Sanjeev Aggarwal : So, two things . One is that the major expansion is for PCR capacities and the total capacity utilization at this point in time in PCR as Anuj ji mentioned earlier was 90% plus and also for the Truck and bus radial is quite high. The overall utilization is at about 80% because of the bias capacity . So, the overall revenue definitely will go up in two year s period almost equivalent to the amount of investments of Rs.1,400 crores plus.
Abhishek Jain: And my last question is on FY'26. What kind of the margin target do you have , given that RM cost will be stable at this point of time ?
Anuj Kathuria : See, what is expected is that it all depends on how the raw material basket plays out. We expect that it should not be as volatile as it was , plus we will also be making our best efforts to pass on whatever is the und er recovery in FY25 to the ma rket and FY26. So, both these efforts on both the sides should help normalization of the mar gins. So, generally, as we had earlier also said that in the longer term the industry is somewhere between that 12 % to 15% range. So, let's see we will have to kind of keep it like that as of now, but maybe in the next quarter , we will be able to give you a sharper number on that.
Abhishek Jain: Thank you. That's all from my side.
Moderator: Thank you. Participants please press ‘*’ and ‘1’ to ask a question. Ladies and gentlemen, as there are no further questions, I would now like to handover the conference to the management for closing remarks .

Sanjeev Aggarwal: Thank you so much for participating in our Q3 Earnings Call today and I hop e we have given you all the clarifications to your question s and I would like to once again thank you on behalf of JK Tyre . Thank y ou very much.
Moderator: Thank you, ladie s and gentlemen . On behalf of Emkay Global Financial Services, that concludes this conference. You m ay now disconnect yo ur lines.

Call: May 2025

4((JKTYR=
R & INDUSTRIES LTD.
JKTIL:SECTL:SE:2025 Date: 26th May 2025
BSE Ltd
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai-400 001National Stock Exchange of India Ltd
1, Block G Exchange Plaza
Bandra –Kurla Complex
Bandra (E), Mumbai –400 051 .
Scrip Code: 530007 Symbol: JKTYRE
Dear Sir,
Re. Transcript of Results Conference Call held on 21;t May 2025
- Regulation 30 of the SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015
Further to our letter dated 14th May 2025 re. Intimation of Schedule
of Results Conference Call, we enclose herewith the transcript of the
Quarter 4, financial year 2024-25 Results Conference Call
(Group Conference Call) held on 21=* May 2025 .
Thanking you,
Yours faithfully,
For JK Tyre & Industries Ltd.
(Kamal Kumar Manik)
Company Secretarya-
P
Encl: As Above
\V
Admin. aff.: 3, Bahadur Shah Zafar Mary, New Delhi-110 002, Phone: 91-11-66001112, 66001122
Regd, 0 K.: Jaykaygmm, PO - Tyre Factory, Kankroli - 313342 (Rajasthan), Fax : 02952-232018. Ph. : 02952-302400 / 330011
Website : www.jkVre.com CIN : L67120RJ1951PLCC>45966 a
VIKRANT

"JK Tyre and Industries Limited
Q4 FY25 Earnings Conference Call "
May 21 , 202 5

MANAGEMENT : MR. ANSHUMAN SINGHANIA – MANAGING DIRECTOR –
JK TYRE & INDUSTRIES LIMITED
MR. ARUN K. BAJORIA – DIRECTOR & PRESIDEN T,
INTERNATIONAL – JK TYRE & INDUSTRIES LIMITED
AND MR. SANJEEV AGGARWAL – CHIEF FINANCIAL
OFFICER – JK TYRE & INDUSTRIES LIMITED

MODERATOR : MR. CHIRAG JAIN – EMKAY GLOBAL FINANCIAL
SERVICES LIMITED

Moderator : Ladies and gentlemen, good day and welcome to Q4 FY 25 JK Tyre and Industries Earnings Conference Call hosted by Emkay Global Financial Services Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask

questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone.
I now hand the conference over to Mr. Chirag Jain from Emkay Global Financial Services Limited. Thank you, and over to you, sir.

Chirag Jain: Thank you, Muskan. Good morning, everyone. On behalf of Emkay Global, I would like to welcome you all to the Q4 and FY '25 Earnings Conference Call of JK Tyre and Industries Limited. Today, we have with us the senior ma nagement team represented by Mr. Anshuman Singhania, Managing Director; Mr. Arun K. Bajoria, Director and President, International and Mr. Sanjeev Aggarwal, Chief Financial Officer. We will begin the call with opening comments from the management team, followed by a Q&A session. Over to you, sir.

Anshuman Singhania: Yes. Thank you. I would like to take this opportunity to extend my warm welcome to you all and thank you for joining JK Tyre's Q uarter 4 th & FY'25 earnings call. It is my great pleasure to be here again to address you and I have with me , Dr. Arun K. Bajoria, Director & President (I nt'l), and Mr. Sanjeev Aggarwal , CFO .

The Indian economy continued to outshine its global peers with its GDP hitting a milestone of USD 4.3 trillion in 2025 doubling from USD 2.1 trillion in 2015 , and there is still a high growth potential going forward . As per RBI's latest estimates, the GDP is projected to grow by 6.5% in FY26.

The Indian economy has shown tremendous resilience and continues to remain less impacted by the external geopolitical environment and US tariffs on account of India being primarily a domestically driven economy with underlying strong domestic capital markets and huge foreign exchange reserves .

We believe US tariffs in the medium to long term , are unlikely to have a significant impact on the auto sector and the tyre industry . However, Indian economy is likely to be relatively better placed in terms of tariffs under FTA which is under negotiation , which will provide significant long-term growth opportunities .

Overall, India's long term growth trajectory continues to remain strong on account of macroeconomic fundamentals and robust domestic demand which makes India an engine of growth despite the emerging trade challenges in the global landscape.

Automotive industry is the cornerstone of India's manufacturing and economic growth, contributing significantly to its GDP. India is the third -largest automotive market in the world which is emerging as a global leader in the automotive value chain.

The year FY '25 remained a progressi ve year for the sector , demonstrated by an overall volume growth of 7.3% backed by double digit growth in 2/3W segment . PV segment continued its upward trajectory and touched an all -time high with sales of 4.3 million vehicles, SUVs being the key growth driver contributing as high as 65% of the total PV sales. In FY25, CVs witnessed a marginal degrowth of 1 -2% on account of long monsoon spell and reduced govt spend on infra due to General elections.

Commercial Vehicle (CV) segment saw a positive momentum in Q4FY25 and the trend is expected to continu e in the 1 st quarter of next financial year on account of pre-buying of CVs as the new regulations for AC cabins is becoming mandatory in June 2025.

Auto sector is expected to grow at 6-8% in FY26 on the back of stable macroeconomic conditions including reviv al in i

nfra structure spend , normal monsoon , easing interest rate scenario and i ncrease in rural and urban disposable incomes .

Coming to JK Tyre's Q4 performance , the quarter has recorded an improvement over the previous quarter . The C onsolidated revenues increased to Rs.3,780 crores. EBITDA stood at Rs.38 4 crores up by 15% on q-o-q basis . EBITDA margin expanded primarily on account of higher volumes and improved operational efficiencies .

I would also like to highlight the double -digit volume growth achieved in both PCR and TBR categories in replacement market on y-o-y basis.

For the full FY25 , Consolidated revenues stood at Rs.14,772 crores . Consolidated EBITDA was recorded at Rs.1 ,678 crores with an EBITDA margin of 11.4% .

In 4th Quarter, Exports were up by 4% on q -o-q basis despite heightened uncertainties and continued volatility in global markets .

JK Tyre remains committed to provide innovative, high quality and technolog ically advanced products , thereby elevating customer experience. We have been consistently investing nearly 1.5% of our turnover annually on strengthening our R&D capabilities , which help us to stay ahead of the curve and deliver superior & innovative products to customers.

We are witnessing a s trong market traction for our premium offerings - Levitas Ultra, Smart Tyre, Ranger series and Puncture Guard Tyre in the passenger vehicle segment , and we have been securing new approvals from OEMs in higher rim sizes in PCR (For instance ; Kia Syros 17''– major s hare of business) and Thar & Thar Roxx (18''), which will drive our sales & improve profitability further.

As part of our premiumization efforts, i n the replacement market , revenue mix of high rim sizes is improving consistently and growing at double -digit in PCR and in commercial segment also XF, XM and XD series tyres are improving the product mix.

Fleet Management & Mobility businesses are expanding rapidly, serving nearly 80% of India's large fleets.

Ongoing projects worth Rs.1,400 crores across PCR, TBR & All Steel Light Truck Radial (ASLTR) segments are progressing well . Further, c apacity utilization levels remain high across all our plants.

JK Tyre remains focussed on sustainable manufacturing across its 11 plants globally with a capacity of 35Mn + tyres annually. We are aiming to cut GHG emissions and raw water consumption by 50% by 2030 as part of its strategy to achieve environmental goals . We are ranked amongst top 3 companies globally in terms of lowest energy consumption and lowest specific raw water consumption.

We are proud to inform you that JK Tyre has commenced production of a new passenger car tyre, 'UX Royale Green', using ISCC Plus (International Sustainable and Carbon Certification) certified sustainable materials. This development marks the introduction of India's first passenger car tyre manufactured with globally certified renewable and recycled raw materials . This represents a defining step in JK Tyre's journey towards environmentally responsible innovation .

JK Tyre has been recogni zed as a "SUPERBRAND" for the 10th time, a milestone that reflects the enduring trust, quality, and leadership our brand commands.

In Q4FY25, w e further strengthened the dealer network by adding 150+ dealers and 25+ exclusive brand shops.

During the quarter, we inaugurated 100th Truck Wheel Centre . JK Tyre has the largest service network in the country for Commercial Vehicles , delivering superior customer service s.

As we step into the FY26, our strategic approach will be to provid e solutions which are innovation driven, collaborative & sustainable to transform challenges into opportunities.
Now, I request Dr. Bajoria to talk about the performance of JK Tornel, Mexico .

Arun Bajoria: Thank you, MD, sir. I would like

to share brief highlights of the Mexican economy for FY25,
followed by JK Tornel 's performance for the quarter 4 and FY25.

The Mexican economy is projected to grow by 1.5 - 2% in FY25 as per the Mexico's Finance Ministry 's data, despite the emerging trade challenges from US tariffs , public spending being identified as the likely driver of this growth .

Mexico's President has also laid down a "Plan Mexico" to support and boost their economy amidst the US president's imposition of tariffs on import of Mexican goods , however, automobile tyres will continue to be exported to USA at zero duty for now.

Mexico is the 2 nd largest e conomy in Latin America and one of the largest trade Partner of USA .

Mexican Peso depreciated against USD by 2% in Q4 FY25 as compared to Q3 which augurs well for JK Tornel exports.

Sales for FY25 was recorded at 4,928 Mn Pesos , lower by about 10% on constant currency basis . In INR terms, sales in FY25 have declined to Rs. 2,147 crores from Rs.2,628 crores recorded last year (lower by 18% y -o-y) mainly on account of depreciation of Mexican peso against INR by 8% (Peso / INR at 4.41 vs 4.78). JK Tornel delivered highest ever supplies to Walmart and mass merchandisers in Q4.

To meet the ever-evolving needs of export and domestic markets, we have launched 34 new products which are well accepted by customers . Further , we are focussing on increasing domestic sales and exports to LATAM and Brazil .

Our PCR expansion project of USD 27 Mn is also progressing well and is expected to be complete d by the end of CY2025.

To increase the profitability, various cost saving measures in areas including logistics an d other overheads have been identified and action is being taken .

Further, we are closely monitoring the evolving situation around US tariffs and will accordingly take the next course of action , mainly for exports to USA.

Now, I would request Mr. Sanjeev Aggarwal to talk about the financial performance of JK Tyre for this quarter .
Sanjeev Aggarwal: Thank you. Thank you very much, sir. So let me briefly share with you the key financial highlights for quarter 4 and financial year '25. So first is the consolidated revenue for quarter 4 were recorded at INR3,780 crores, up by 2% on Y -o-Y basis as against INR3,714 crores in the corresponding quarter last year. Revenue for FY '25 were recorded at INR14,772 crores, marginally lower by 2% against INR15,046 crores in FY '24.

Consolidated EBITDA for Q4 was recorded at INR384 crores versus INR335 crores in Q3 FY '25, a jump of 15%. EBITDA for FY '25 stood at INR1,678 crores. EBITDA margins during Q4 were recorded at 10.2% as against 9.1%, representing an improvement of over 110 basis points over the previous quarter. EBITDA margin for FY '25 stood at 11.4%. Cash profit for Q4 stood at INR264 crores and INR1,202 crores for the full financial year, respectively.
Profit after tax for Q4 stood at INR102 crores and INR516 crores in FY '25, respectively.
Capacity utilization for FY '25 was at 78% on a consolidated basis. However, capa city utilization of radial tyres remained high at over 85%. Export volumes during Q4 remained flat on a Q -on-Q basis despite ongoing geopolitical challenges.
However, exports from India in value terms were up by 4% on a quarter -on-quarter basis.
Cavendish posted a top line of INR1,034 crores in Q4 and impressive growth of 18% on Y -o-Y basis. CIL achieved an EBITDA of INR87 crores in the quarter. Subsidiary companies, Cavendish and JK Tornel, Mexico contributed significantly to the revenue and profitability on a consolidated basis, reinforcing JK Tyres' integrated global strategy and diversified footprint.
Consolidated earnings per share stood at INR3.54 per share in Q4 and INR18.07 in FY '25. The return ratios, ROCE and ROE continues to be in double digits. Net debt

stood at INR4,081 crores
for the quarter as against INR4,319 crores in the previous quarter. So there is a reduction of about INR238 crores during the quarter 4. The balance sheet of the company continues to remain healthy with robust key financial ratios.

Leverage ratios, net debt to equity and net debt to EBITDA was at 0.82 x and 2.4 x as on 31st March '25, respectively. The Board has announced a dividend of Rs.3 per equity share, i.e. 150%. The scheme of amalgamation of CIL with JK Tyre is progressing well and has already been approved by SEBI and the matter is now with NCLT. So with this, I open the forum for the question and answers. And as you must have already read the Q4 earnings presentation, so the forum is open for the Q&A. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Dhanraj Kadam an Individual Investor . Please go ahead.

Dhanraj Kadam : Sir, my question is how is company 's growth in electric vehicle segment?

Anshuman Singhania: Yes. we are present in all EV tyre man ufacturing and have products across all product segments , we are fully ready for the EV tyres. In fact, we are supplying tyres in the electric bus es, and we are the largest in the bus segment with our EV tyres . We are supplying to the leading OEMs like JBM, Tata Motors, Ashok Leyland , Switch Mobility (owned by Ashok Leland), and EKA Mobility etc.

And we are continuously working with other OEMs also. We enjoy almost 70% market share across all OEs. We are supplying ty res in the replacement markets market as well. Even in the last mile connectivity of the SCV, which is small commercial vehicle, we enjoy 50% of the business with Tata Motors ACE, which is an EV variant.

We are also successfully supplying our tyres to 2/3-wheeler OEMs in the EV segment including the Ola Electric, Ather and pure electric compan y. We see that the EV presence is growing in the country. EV bus es are contributing 7% in the total bus industry, and we are expecting that this will go further to 10% by intervention of various government policies . So, we are expecting a growth.

Overall , in th e EV space we are expecting a growth in the passenger car vehicle production, which by 2030, we are estimating around 1.33 million units, which is approximately 20% of the total passenger vehicle production in the country. And we are completely ready, and we are participating and have advanced talks with the OEM players who are into the EV.

Dhanraj Kadam : One more last question. Sir, my question is what is the company 's outlook on raw material cost in upcoming quarters?

Anshuman Singhania: Raw material, we have seen right now on quarter -on-quarter basis from the previous quarter, around 2.5% decline. Going ahead, we are seeing stabilizing of raw material prices with a bias towards marginal decline in forthcoming quarters .

Dhanraj Kadam: Okay, sir. Thank you, sir.

Moderator: Thank you. The next question is from the line of Arjun Khanna from Kotak Mahindra Asset Management. Please go ahead.

Arjun Khanna: Thank you for taking my question. S ir, the first question is on the Mexico business. So if you look at the revenues in Mexico, while in the opening remarks, you did comment on the depreciation of the peso versus the INR, but there would be a volume decline also. And if you look at the tarif fs, etc. that would have actually kicked in possibly at the end. So could you explain why Mexico was so weak, both in top line and margins for the fourth quarter?

Anshuman Singhania: Yes. So , Mexico, as you heard Mr. Bajoria , one of the reasons was the depreciation of Mexico peso vis -a-vis the Indian rupee. The other reason was that there was a complete uncertainty in from Mexico supplying to U.S. because of the Trump tariff s. There was no certaint

y. And every time, the dates were sort of getting shifted.

So, there was a complete uncertainty in the minds of the customers based in U.S.A. So that was another major reason . But having said that, there is a good demand, which is coming our way in Mexico, the local Mexico as well. And with the uncertainty getting behind, the U.S. market is also opening up , which will have a lot of positive impact from Mexico to U.S.

Arjun Khanna: So sir, just to understand this, so in the month of April and May, we have seen almost 20 days. Have we seen sort of a recovery in revenues from the fourth quarter?

Arun Bajoria: Well, not yet to the extent that we are going to achieve performance because you see still the duty structure and all is all getting discussed between the Mexican government and the American government. But in the meantime, we have started selling higher volumes and quantities in the local domestic market. So that will certainly help us. And we are also now focusing much higher in terms of exports to Brazil as well as Latin America.

Arjun Khanna: Sure. And in terms of the way we look at it in terms of margins in Mexico, what would our outlook be?
Arun Bajoria: It would be slightly better than what we have achieved in the financial year '25. But for now, you can take that the performance in FY'26 will be better than what you have seen in financial year '25.
Sanjeev Aggarwal: And just to add to what Bajoria ji said, just one very clear trend what we are noticing today is that because there is no tariff being imposed for exports from Mexico to U.S. on the t yres. So that will help us in exporting the tyr es to the U.S. market in a greater manner going forward.
So, this will definitely improve our profitability, the revenues and we are very hopeful that the margins can immediately improve in the next financial year as compared to what we have seen in FY '25.
Anshuman Singhania: And the trend of raw material also is moving positively, there is a stable guidance for that. So that will also help in margin expansion.
Arjun Khanna: Sure. Sir, just to understand, if there is no tariff on sale of ty res from Tornel to the U.S. market, why haven't our sales come back?
Anshuman Singhania: No. Right now, there is just this clarification being ascertained recently. So , on ground in terms of the U.S. customers, it is still seeping in . And the notifications, etc. are being communicated by us to them. So there will be traction coming in going forward.
Arjun Khanna: Sure. Sir, my second question is regarding the raw materials, which the previous participant also asked. Now you mentioned the first quarter FY '26 should be similar to the fourth quarter FY '25.
Given that I would assume that's because we have some inventories. Given the rupee has slightly appreciated, you have seen the oil prices slightly come off. So does that mean the second quarter FY '26, we should see some margin expansion?
Anshuman Singhania: See, as a trend, I can tell you because there is a lot of volatility, what we have noticed in FY '25 and in the last 1 month also, again, there is a downward movement of the crude oil prices, the synthetic rubber, the natural rubber prices and all. So as of now, what we are seeing is that it is going to be stabiliz e over the next couple of quarters.
But when it will chang e again, we do not know. So , giving a guidance too far beyond maybe first quarter or second quarter would be slightly difficult at this point of time. But we can say that the stabilization of the raw material prices is what we are seeing as of now. I would also like to add that the behaviour of the commodity prices is also softening. So , I don't see that there would be a sort of a surge in prices , which will come immediately.
Arjun Khanna: Sure. Sir, my final question is on our debt level. So this year, we saw

our debt increase on a year -
on-year basis on a net debt basis. How do we look at it over FY 26-27? Also , we've talked about the INR1,400 crores of projects. We spent roughly INR700 crores in FY'25. So what kind of capex do we anticipate in FY '26 and FY'27?

Anshuman Singhania : As you know that we had already announced our capex plans of Rs.1,400 crores , plus we spen d annually Rs.200-300 crores on normal capex. All projects are progres sing we ll as per respective schedul e. At the moment , we are not embarking on any new expansion project.
Sanjeev Aggarwal: To add to what Anshuman ji mentio ned, we will have the capacities available from these projects in this financial year 2026.
Arjun Khanna: Right. So, what would be our capex spend for FY '26? What is the remaining amount?
Sanjeev Aggarwal: Yes, the outgo would be roughly around INR900 crores. Because as you would recall, last year also, we had given you a guidance that INR800 crores to INR900 crores , we roughly spen d on account of the capex outlay. And for the last 2 years, we have been having the same kind of amount.
This year we will be spending roughly around INR900 crores, and we will be completing all our existing projects. And then, of course, the Board may decide to go ahead with some other expansion programs.
Arjun Khanna: Perfect. Thank you very much and wishing you all the best. Thank you.
Moderator: Thank you. Th e next question is from the line of Abhishek Jain from Alfaccurate Advisors Private Limited. Please go ahead.
Abhishek Jain: Thanks for opportunity and c ongrats for decent set of numbers sir. Sir, my first question on the Tornel. So , if you see that Mex ican Peso has appreciated versus INR on a quarter -on-quarter basis, that is 9% up from 3.94 to 4.28. Despi te that, we have seen a quarter -to-quarter degrow th of 11%. And now the Mexican P eso has recovered to the 4.44. So, in this case, what is our revenue guidance for the next two to three quarters on a quarterly basis? Because in this quarter, we understand that because of the uncertainty, there was some issues. But going ahead, what will happen when there is appreciation of the Mexican peso versus rupee ?
Sanjeev Aggarwal: Yes, just now Bajoria ji mentioned that because the uncertainties on account of tariffs is behind

us and also a lot of volatility we have seen in FY '25. So that is also behind us. We are expecting that there will be a good growth in the financial year 2026 on account of the larger exports and the focus, as Mr. Bajoria mentioned earlier, is more on the domestic market , Brazil and L ATAM . Things are expected to improve definitely in this financial year in terms of revenue improvement and the EBITDA improvement as well.
Abhishek Jain: So Mexican peso has already appreciated 12%, 13% in the last 2 months. So in this case, once that quarterly revenue of the Mexico has gone down to the INR450 crores versus that INR600 crores. So can we expect that there will be a revenue growth of 15% to 20% in the next year from the Mexico?
Sanjeev Aggarwal: Two things, just to be clear that Mexican peso when it is depreciating, it is good for our exports, but when we consolidate, then actually, we have to see the movement vis -a-vis the Indian R upee as well , which is also cross currency. So we'll have to see. But the impact of the depreciation of the peso definitely will improve the exports from Mexico. And secondly , as mentioned earlier

that there are no tariffs announced for exports from Mexico to U.S. so far , this will be having a positive impact.
Abhishek Jain: So how is the revenue mix at this point of time in the Mexican business? I think that 50% from the domestic and 50% from the export and out of that, the U.S. contribution is hardly 8% to 10%. So if you see the

impact on the revenue, that is very much high. So just wanted to understand what happened actually?
Sanjeev Aggarwal: Yes, mainly two things again. First is that the major focus would be definitely in the domestic market and then the Latin American markets and then the U.S. markets. So in this order of the focus priority, you will see the improvement. And at present, approximately 60% of the revenue is coming from the domestic markets.
Abhishek Jain: And from U.S.?
Sanjeev Aggarwal: You only mentio ned it is about 8%. See our effort is to have minimum impact due to this tariff structure, which may again come back because right now, there is a lull for about 90 days. And our strategy for this financial year 2026 is to have minimum impact due to any exports to U.S.A.
Abhishek Jain: And in this year, we will get around 10% to 12% benefit on the conversion side because appreciation of the Mexican Peso versus INR, it was hit in the last year. So , can we expect that 15% to 20% growth because of thi s thing in the Mexican business?
Sanjeev Aggarwal: See, the depreciation or appreciation of the currency will definitely have its own impact at the time of conversion of accounts while consolidat ing. But otherwise, we are saying that the quantity itself because of the larger volume exports in the domestic market, larger volume sale will improve.
And because there is also an expansion program, which is going on in Mexico for about USD 27 million which will increase capacities in a phased manner. So , over the next 2 years we will see a positive impact. We will have larger capacities available, particul arly for the larger rim size tyr es, which will fetch better revenue s and profitability. So, things are looking up and hopefully we will see some good numbers going forward.
Abhishek Jain: My next question is for Cavendish . So how is the growth outlook in the calendar ? And as there is a decline in the RM prices, most probably the Cavendish will also get the benefit. So just wanted to understand what are the key figures for the growth in the Cavendish ?
Sanjeev Aggarwal: Cavendish definitely has done well. In the last financial year 2025 , you would have noticed nearly 20% growth in the Revenue and this company has done very well in the last couple of years since the time we acquired it in 2016 from about INR1,000 crores turnover to almost about INR4,000 crores annual turnover no w.
This company has been turned around, making good profits. The margins are also very good on a relative basis . Also, CIL is going to get merged soon with the parent compan y.

Anshuman Singhania: With the confidence of our operational efficiency and the quality of product , we have been serving the OEMs through CIL . So that speaks about our processes and systems are right in place to cater to very stringent norms of the OEMs. Not only in the truck radial, but we are participating with the majority of OEMs who are manufacturing in India includi ng serving to 2/3Wheeler OEMs as well.
Abhishek Jain: Okay. And my last question on the working capital side. So inventory and the debtor days has gone up in this quarter because of the higher raw material prices. And that's why that short -term

borrowings has inched up significantly. So just wanted to underst and what is your debt repayment plan because the inventory prices are going down and most probably this will be prevalent in the debtor days, so just if you can throw some light on the repayment ?

Sanjeev Aggarwal: In Q4, we have actually reduced the number of days of inventory , both raw material and the finished goods. And there has been a reduction in the bank borrowing also on the working capital side and as I mentioned earlier there is an overall reduction in the Net Debt by about INR238 crores in this quarter.

But when we compare it with corresponding q

uarter last year, then definitely there has been some increase in the working capital requirements because of the increase in raw material prices, finished goods prices. But we are on top of it, and we are working hard to get this reduced to a comfortable level . And we can expect that there will be significant improvement in the total working capital and also the working capital borrowings will go down going forward.

Abhishek Jain: Okay, sir. That’s all I have.

Moderator: Thank you. The next question is from the line of Dinesh Kumar from B&K Securities. Please go ahead.

Dinesh Kumar: Okay. Can you share the volume growth across segments ? Like what was the contribution of price versus volume to revenue growth?

Sanjeev Aggarwal: Volume growth for which quarter you are saying?

Dinesh Kumar: Price v/s volume growth in the revenue contribution ?

Anshuman Singhania: On a quarter -on-quarter basis, truck segment comprising TBR & TBB has grown in the range of about 7%. And our passenger line has grown around 1% quarter -on-quarter basis. But in replacement market , our passenger line volumes on a year -on-year basis have grown 23% and our truck radial has grown by nearly 18% .

Dinesh Kumar: Okay. Another question, how has competitive intensity been in the past quarter? Are there any signs of aggressive pricing by peers?

Anshuman Singhania: During the last year FY’25, barring the quarter 4, we've have increase d our selling prices to mitigate the RM cost spikes and we continue to look for more opportunities to increase our prices in the aftermarket, which is the replacement market. And OEM to a large extent, it is index - based.

Dinesh Kumar: Okay. And how are yo u positioned for EV -related tyres demand , like any product launches or partnerships coming?

Sanjeev Aggarwal: I think this we have already discussed in the call today . To reiterate, we are fully geared up for all kind of EV requirements, be it Truck and Bus or the passenger car or 2/3wheeler. We have been supplying to all the companies in this space , and we are growing with the industry. So , as the industry is growing in the respective segments, we are fully ready to cater to thi s evolving demand.

Dinesh Kumar: Okay. That’s it from my side. Thank you.

Moderator: Thank you. Th e next question is from the line of Manju Choudhary from InvestSavvy Portfolio Management. Please go ahead.

Manju Choudhary: I wanted to understand the risk of the Mexico supply to the U.S. Maybe somewhere it's been addressed. But when we are looking at this whole saga between U.S. and Mexico, how is that plant being affected?

Arun Bajoria: You must have just heard that out of our total sales in FY '25, about 8% is the export to U.S.A. So therefore, as mentioned earlier in this call also that our strategy now is that we are increasing our sales in domestic market s, that is number one, and also to Brazil market and Latin American markets.

So really speaking, if the tariffs unexpectedly did not fall in line , it will give us at least some viable alternative and we will not be affected to that extent. So you can be rest assured that the U.S. tariff on Mexican products is not going to hurt us very much.

Manju Choudhary: So you'll be able to send that production at other places?

Arun Bajoria: Absolutely.

Sanjeev Aggarwal: Just to add to what Mr Bajoria mentioned , as we are talking about the exports from the Mexico to U.S. very broadly, I will tell you that the company as a whole on a consolidated basis is exporting to U.S. in a very small percentage, around 8% from Mexico and also similar numbers from India also. So please take note that the exposure to USA is very low .

Manju Choudhary: So, 8% is from Mexico and 8% is from India?

Sanjeev Aggarwal: From Mexico it is.

Anshuman Singhania: We are seeking all opportun

ities to increase our sale s into the U.S. from the Mexico facility.
These tariff related uncertainties are hovering in the minds of customers , we are explaining to them, and the acknowledgment is also coming. So , going ahead we are expecting a positive wave of suppl ies from Mexico into U.S.A.
Manju Choudhary: But total sales to U.S. is 15% of your revenue, 8% from India and 8% from Mexico?

Arun Bajoria: I just want to explain to you that effectively, only 3% of the total revenues on a consolidated basis is exposed to USA .
Manju Choudhary: Sorry, so 16% is the number, right?
Arun Bajoria: So what I'm trying to tell you is that the exposure to the total revenues to U.S. tariff is minimal. It may not be more than 3%.
Manju Choudhary: Okay. Thank you.
Moderator: Thank you. The next question is from the line of Amar Kant Gaur from Axis Capital. Please go ahead.
Amar Kant Gaur: Thanks for taking my question. I have, first of all, a housekeeping question. Could you please tell me what were your exports for this quarter?
Anshuman Singhania: Export for the quarter w ere INR513 crores on a consolidated basis. And for the full FY2025 , it was INR2,378 crores.
Amar Kant Gaur: Now my first question is on growth in the India business, where we have seen much higher growth from Cavendish versus JK in the stand alone. Could you please highlight what would be the difference that is driving that?
Anshuman Singhania: JK Tyre stand alone caters to OEMs in large volumes and particularly to the truck radial OEMs where we are a very strong player. Last whole financial year for the truck especially in terms of the OEMs ha ve seen very muted growth. In fact, 1% to 2% degrowth only. So this was one of the major reasons where the stand alone India JK Tyre was impacted.
But CIL has a mix of Truck radial and 2 /3wheeler where it performed better because it is not only catering to the OEM, but also to the replacement market at large .
Amar Kant Gaur: Okay , from an overall India business perspective, could you highlight what would be the growth in replacement , exports and OE individually?
Anshuman Singhania: In Q4, India operation s in terms of values , replacem ent market growth was 6% and OE market growth of 13% . And volumes wise, our replacement market has been 7% higher. OEM volumes has also been 7% higher , expo rts lower by 9% which effectively makes overall 5% growth.
Amar Kant Gaur: So you said your replacement was up 7% Y -o-Y and OE was also up 7% Y -o-Y.
Anshuman Singhania: Yes.
Amar Kant Gaur: Overall volume g rowth you're saying is about 6%?
Anshuman Singhania: No, it is 5%.
Sanjeev Aggarwal: Because of the exports.
Amar Kant Gaur: You're talking about Q4, right?

Anshuman Singhania: Yes, Q4.
Sanjeev Aggarwal: Q4, Y -o-Y basis.
Amar Kant Gaur: Okay. And on the pricing side, can you quantify what kind of price hikes have you taken in this quarter or the last quarter?
Anshuman Singhania: We have continuously taken price hikes. But in the fourth quarter, we did not take any price hike. However , in prev ious quarters, we were able to pass on, based on the increase in raw material, which was about 10% increase and in te rms of selling price was about 7% for the full year. So we were able to pass on about 4% to 5% and the unabsorbed is still remaining around 3% for the full year.
Amar Kant Gaur: Okay. So sir, just a clarification. Your revenue growth in the India business Y -o-Y is about 6%. Volume growth is 5% and you talked about price increases that you have taken 5% to 6%, but the ASP increase is only 1%. So could you tell me what is that I'm missing?
Anshuman Singhania: See, in terms of the volume growth, our OEM dependency on the truck radial, where we are having a large share of

business, was quite dampened , so the volume growth was mute d and our overall growth was also impacted. But as we ahead, there is a positive sentiment which is coming up in the truck buying. So there, we will be able to gain.
Amar Kant Gaur: Okay. And sir, lastly, in terms of overall pricing environment and competitive intensity in terms of prices now that the RM is going down, do you see any changes in that? Or is it intensifying further?

Anshuman Singhania: No, the raw material prices, as I said, it is in a stable trajectory. Going forward, we are expecting that it should remain largely range bound only. We are not seeing anything which will impact.
In fact, there has been a marginal decline in raw material prices in Q4 compared to Q3. So the trend line is looking to be good with a bia s towards decline .
Amar Kant Gaur : Okay. Thank you so much and all the best.
Moderator: The next question is from the line of Abhishek Jain from Alfaccurate Advisors. Please go ahead.
Abhishek Jain: Thanks for opportunity again. S ir, how much revenue from Cavendish in Q4 and FY '25?
Sanjeev Aggarwal: For Q4, there was a revenue of INR1,034 crores from Cavendish. And for the financial year, it was INR3,991 crores , almost about INR4,000 crores. So the run rate quarterly as of now is about INR1,000 crores.
Abhishek Jain: And will this run rate will sustain in the coming quarter?
Anshuman Singhania: I would just like to add that there was a healthy 18% growth y-o-y in Q4 for Cavendish. And for the full year FY25 , it was a 9% growth.

Abhishek Jain: So, can we expect that 12% to 15% growth going ahead because you are also adding the capacity in the Cavendish and you are very much positive on this so can we expect a 12% to 15% growth going ahead?
Sanjeev Aggarwal: We have been talking about overall growth in the revenues in the double digit, right . So that includes, of course, the parent company, JK Tyre and all put together on a consolidated basis.
So, we are seeing that there is going to be a good growth and the capacities which we have built up in the last 1 year will contribute to this growth .
So those will get utilized. And also, we are in the process of implementing another project, which is yet to be completed in this financial year. We are expecting good growth, which can be like the high single digit to double digit.
Abhishek Jain: Okay. Mexico revenue is a part of the export in the consolidated?
Arun Bajoria: Yes, of course.
Abhishek Jain: Entire number is in the export segment?
Sanjeev Aggarwal: Yes, and as you must have heard Mr. Bajoria already mentioned that the total export are of about INR2,378 crores for the financial year 2025.
Abhishek Jain: Okay. My final question .
Sanjeev Aggarwal: INR1,800 crores of exports roughly are from India and the balance on a consolidated basis , there are some inter-company transfers for exports also. So that gets eliminated wh ile consolidating the numbers and therefore, the total consolidated export is about INR2,400 crores out of which INR1,800 crores is from India.
Abhishek Jain: Okay, sir. Thanks. That's all from my side.
Moderator: Thank you. I now hand the conference over to the management for closing comments. Over to you, sir.
Chirag Jain: Thank you so much for joining us for this Q4 earnings call. And I hope that we have replied to your questions to your satisfaction. And once again, thank you very much for joining us. Thank you.
Anshuman Singhania: Thank you.
Arun Bajoria: Thank you very much.
Sanjeev Aggarwal: Thank you. All the best.
Moderator: Thank you. On behalf of Emkay Global Financial Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2025

4((JKTYn=
R & INDUSTRIES ITD.
JKTIL:SECTL:SE:2025Date: 18*h August 2025
BSE Ltd
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001National Stock Exchange of India Ltd
Exchange Plaza, C -1, Block G
Bandra – Kurla Complex
Bandra (E), Mumbai – 400051 .
Scrip Code: 530007 Symbol: JKTYRE
Dear Sir,
Re. Transcript of Results Conference Call held on 11'h August 2025
- Regulation 30 of the SEBI (Listing Obligations and Disclosure
Requirements) Regulations, 2015
Further to our letter dated 4th August 2025 re. Intimation of Schedule
of Results Conference Call, we enclose herewith the transcript of
the Quarter 1, financial year 2025-26 Results Conference Call
(Group Conference Call) held on 11*h August 2025 at 4.00 PM (IST).
Thanking you
Yours faithfully,
For JK Tyre & Industries Ltd.
(Kamal Kumar Manik)
9ompany Secretary
&bEncl: As Above
Admin. Off.: 3, Bahadur Shah Zafar Marg, New Delhi-110 002, Phone: 91-11-66001112, 66001122
Regd. Off.: Jaykaygram, PO - Tyre Factory, Kankroli - 313342 (Rajasthan), Fax : 02952-232018, Ph, : 02952-302400 / 330011
Website : www.jktyre,com CIN : L67120RJ1951PLC045966Q
VIKRAN T

"JK Tyre & Industries Limited
Q1 FY26 Earnings Conference Call "
August 11 , 202 5

MANAGEMENT : MR. ANSHUMAN SINGHANIA – MANAGING DIRECTOR –
JK TYRE & INDUSTRIES LIMITED
DR. ARUN K. BAJORIA – DIRECTOR & PRESIDENT
(INTERNATIONAL) – JK TYRE & INDUSTRIES LIMITED
MR. SANJEEV AGGARWAL – CHIEF FINANCIAL
OFFICER – JK TYRE & INDUSTRIES LIMITED

MODERATOR : MR. CHIRAG JAIN - EMKAY GLOBAL FINANCIAL
SERVICES

Moderator: Ladies and gentlemen, good day and welcome to the JK Tyre & Industries Limited Q1FY26 Earnings Conference Call hosted by Emkay Global Financial Services Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Shoul d you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I, now, hand over the conference to Mr. Chirag Jain, Deputy Head of Research from Emkay Global. Thank you, and over to you, sir.
Chirag Jain: Thank you, Huda. Good afternoon, everyone. On behalf of Emkay Global, I would like to welcome you all to the Q1FY26 Earnings Conference Call of JK Tyre & Industries Limited.
Today, we have with us the senior management team represented by Mr. Anshuman Singhania, Managing Director; Dr. Arun K. Bajoria, Director & President -International and Mr. Sanjeev Aggarwal, Chief Financial Officer. We will begin the call with opening comments from the management team, followed by the Q&A session. Over to you, sir.
Anshuman Singhania: A very good afternoon to everyone. I welcome you all to the JK Tyre Q1FY26 Earnings Call. I'm happy to be here, and I have with me Dr. Arun Bajoria ji, Director & President, International; and Mr. Sanjeev Aggarwal, who is the CFO.
India continues to remain a bright spot in the world struggling with growing uncertainty and trade -related disruptions. The Indian economy has done incredibly well with the GDP growth of 7.4% in Q4FY'25 , taking the overall FY25 growth to 6.5%, which is double the global average growth, underscoring the country's resilience on back of its robust macroeconomic strength. As per RBI, the GDP is projected to grow at 6.5% in FY26.
Growing private investments and increasing localization ‘Make in India ’ are the key drivers, fostering India into becoming a more meaningful part of the global supply chain. Lower interest rates and improved liquidity situation , declining crude oil prices and normal monsoons augurs well for the growth going forward. However, global fluctuation s due to U.S. tariffs and geopolitical situation continue to pose challenges.
India -U.K. free trade agreement has been recently signed. It is a breakthrough opportunity, which is expected to align customer interest with broader goals of Indian industry as it maintains a balanced approach to tariff commitments, benefiting both India and U.K. manufacturing industry.
Recently U.S. has imposed 50% tariff s on the Indian imports.
In Q1FY26, the performance of the auto industry was relativ ely flat. Growth in tractors, 2 wheeler, 3-wheeler and exports helped in holding the growth in the industry well. Domestic commercial vehicle volumes have remained flat , and export s registered a high growth of 23% on a year -on-year basis. PV segment continues to perform well with an increased share of SUVs, along with overall PV sales crossing 1 million mark is encouraging and increasing the total pool of cars.

With the upcoming festive season, coupled with benefit s of the recent repo rate cuts and favorable monsoon conditions, we expect the consumer sentiments to improve further.
In FY26, Indian tyre industry is expected to achieve 7% to 8% growth on back of the strong domestic replacement demand despite muted OE offtakes. Premiumization continues to play a pivotal role in improving realization s.
Indian tyre industry is an export heavy manufacturing sector with outbound ship ments surpassing Rs. 25,000 crores in FY25, registering a growth of 10% on a year -on-year basis despite global economic uncertainties. This growth is attributed to co

ns istent investment s in
capacity expansion, improvements in manufacturing efficiency and increased focus on enhancing the R&D capabilities.
The Indian mobility landscape is witnessing a radical shift owing to emergence of Artificial Intelligence and Machine Learning, which are regarded as the modern drivers of transformation. JK Tyre is embracing this technological shift by leveraging the use of advanced technologies at every stage of manufacturing and across functions, helping us to deliver best -in-class prod ucts.
With great pride, I would like to share with you that JK Tyre is ranked amongst the top 15 strongest tyre brands globally by brand finance. This recognition marks a significant endorsement of our global competitiveness, technological strength and brand lea dership.
Our core focus is to delivering products and solutions, which offer a seamless blend of comfort and high performance to our customers. Recent expansions in PCR capacities have helped JK Tyre to consolidate its position amongst the top PCR tyre manufacturer s in India.
I'm happy to share that JK Tyre is already moving well ahead on its sustainability path by achieving 70% reduction in GHG emission by 2025, much ahead of the original plan of 50% reduction by 2030.
In this quarter, we deepened our market penetration by onboard ing 240+ dealers and 35 exclusive brand shops across India. Also , 40+ new fleet accounts were added, nearing the 1,500 mark.
Moving on to the financials of this quarter. J K Tyre witnessed the best ever domestic performance. The domestic revenue grew in double -digits with innovative and premium

products. Digitalization and focus on enhancing operational efficiencies are some of the other key drivers , helping the revenue growth.
Volumes in both commercial and passenger category achieved the highest sales in this quarter, driven by strong brand building initiatives, underscoring enhanced customers' trust in our product quality.
To further reinforce our brand credibility, we have launched targeted digital campaigns across the product categories, achieving impression s of over 53 million consumers.

In the mobility space, 125 electric buses from Ashok Leyland Switch were launched in Chennai and w ere flagged off by Tamil Nadu Chief Minister. We are proud that all these buses were equipped with our JUXe tubeless tyres, which reinforces our leadership in the EV segment.
The momentum has been really good in this quarter. We are fully ready to build upon the same going forward with all our effort s dedicated to serve the customers proactively while sustaining profitable growth, benefiting all our stakeholders.
Now I would like to take you through some of the key operational highlights.
1. Best ever performance of India operation s, clocked quarterly revenue s of Rs.3,475 crores, up by 9% on a year -on-year basis as against Rs.3,188 crores in corresponding quarter.
2. The growth momentum in the domestic market remained robust in Q1 with JK Tyre clocking a sales growth of 11% on a year -on-year basis, equally contribut ed by the replacement and OE segment s.
3. TBR volumes in the replacement and OE market grew by 7% on a year -on-year basis.
4. Passenger radial category registered a significant volume growth in the replacement market by 32% on a year -on-year basis. Similarly, export volume s also registered robust growth of 39% on year -on-year basis.
5. Farm category volume s picked up pace with replacement and OE markets achieved growth of 26% and 69%, respect ively , on a year -on-year basis.
6. 2/3-wheeler category volumes registered a robust growth in OEM segment by 53% on year -on-year basis.
7. Raw material and selling price. On a quarter -on-quarter basis, raw material prices have remained flattish, whereas average net sales realization improved by 1.3%, mainly through produc

t mix improvement.
8. As a part of deleveraging journey, we have been cons istently reducing our debt levels. As on 30th June’25, gross debt on a consolidated basis stands reduced by Rs.324 crores.
9. Projects under implementation involving a capex of Rs.1,400 crores are progressing as per schedule. Capex outlay for the full year stands at Rs.900 -1,000 crores.
Now , I would request Bajoria ji to talk about the performance of JK Tornel.
Arun Bajoria: Thank you, MD, sir. I'll start by sharing some brief highlights of the Mexican economy, followed by JK Tornel's performance for this quarter.
Mexico is one of the largest trading partners of U.S. with 80% of its exports going into U.S. Given such huge exposure to U.S., the heightened volatility continues to remain an area of concern. But on the other hand, around 50% of Mexican exports are USMCA i.e. United States - Mexico -Canada Agreement compliant, which are projected to rise to 75% in 2026, attracting 0%

tariff. Mexico's Central Bank is also playing a crucial role in stabilizing the economy by easing the monetary cycle, and it has lowered the policy rates (TIIE) to 8.5% by the end of this quarter.
Further, local currency, Mexican peso has depreciated against U.S. dollar by 13% year -on-year which was 19.5 in Q1FY26 versus 17.25 in Q1 FY'25, which bodes well for our future exports.
Revenues of JK Tornel for Q1FY26 were recorded at Rs.505 crores, up 12% over previous quarter Q4FY25, reflecting continued resilience of our products in domestic and export markets despite the ongoing uncertainties. Further, revenues in constant currency stood at MXN 1,147 million pesos , up by 7% quarter -on-quarter versus MXN 1,234 million pesos in Q1FY25, lower by 7%.
To further strengthen our product portfolio and enhance customer base, we have started the development of ATV, which is all - terrain vehicle tyres, a profitable business in U.S.A.
In addition to above, we are foreseeing a revival of sales in the U.S. markets on account of clarity with respect to non -applicability and further postponement of tariffs on tyre exports from Mexico to about 90 days as of now.

Further, we are fully ready to capture the potential opportunity in passenger and light truck market on account of closure of competing tyre company's Mexican plant.
Now I would request Mr. Sanjeev Aggarwal, to talk about the financial performance of JK Tyre for the first quarter of FY26.
Sanjeev Aggarwal: Thank you very much, sir. I will briefly share the key highlights for Q1FY26.
Consolidated revenue s for Q1FY26 were recorded at Rs.3,891 crores, which is up by 6% on Y -o-Y basis as against Rs.3,655 crores in the corresponding quarter.
Consolidated EBITDA for Q1 FY26 was recorded at Rs.424 crores versus Rs.516 crores in the corresponding quarter last year. However, over the previous quarter, EBITDA improved by about 10%. EBITDA margins during Q1 were recorded at 10.9% versus 10.2% in the previous quarter.
Cash profit for Q1 stood at Rs.309 crores, up by 17% on q-o-q basis. Profit after tax for the quarter stood at Rs.155 crores.
Capacity utilization for Q1 was nearly 80% on a consolidated basis. However, the utilization of radial capacities remained over 85%. Exports remained resilient during Q1 despite the ongoing U.S. tariff related uncertainties and other geopolitical challenges. However, exports of passenger car tyres witnessed strong traction on both y-o-y and q -o-q basis.
Cavendish Industries Limited posted a top line of Rs.800 crores in Q1 and recorded an EBITDA of Rs.51 crores in the quarter.
Both the subsidiaries, Cavendish Industries and JK Tornel , Mexico continue to add significantly to the overall financials of the company.

Consolidated earnings per share nearly doubled at Rs.6.03 pe

r share in Q1 as against Rs.3.54 in
the previous quarte r and the Return ratios viz. ROCE and ROE continue to remain at high levels.
Net debt stood at Rs.3,862 crores for the quarter as against Rs.4,081 crores in the previous quarter, a reduction of Rs.219 crores on a net basis. The balance sheet of the company continues to remain healthy with robust key financial ratios. Leverage ratios, Net debt to Equity and Net debt to EBITDA were 0.74x and 2.4x as on 30th June, respectively.
The scheme of amalgamation of Cavendish with JK Tyre is progressing well and has already been approved by stock exchanges and SEBI. Further, shareholders and creditors' meetings have been convened by NCLT, which are scheduled on 3rd of September this year.
So, we have already circulated the earnings presentation which is available on our website and on the website of stock exchanges. We can now open the forum for question and answers. Thank you.
Moderator: Thank you very much. We will now begin with the question and answer session. T he first question is from the line of Abhishek Jain from AlfAccurate Advisors. Please go ahead.
Abhishek Jain: Thanks for the opportunity and c ongrats on the decent set of numbers. Sir, in this quarter, we have seen that margin has improved basically driven by the standalone numbers. So how the margin trajectory will improve in the coming quarter given that there is a fall in the rubber prices in last couple of months, if you can give some guid ance?
Anshuman Singhania: Yes, there has been a margin improvement in this quarter versus the previous quarter with our new & innovative products which are very well received in the market and are gaining traction along with new OEM approvals . Also, the higher rim sizes tyres in the PCR category are driving good margin expansion in the replacement market as well.
We were up on a y-o-y basis , in terms of the numbers by 32% in the replacement market in the passenger line category and in the Truck & Bus radial segment , we achieved high single -digit volume growth on a year -on-year basis. So , this is giving us confidence that going forward definitely we will see good traction because as you also heard about the recent repo rate cut s with good monsoon , and along with that, the thrust on the infrastructure push by the government is coming in very clearly. So , all this augurs well for the demand ahead .
Abhishek Jain: So, gross margin expansion in the first quarter FY26 was around 120 bps quarter -on-quarter. So how the numbers will reflect in from second quarter onwards as most of the tyre companies are expecting that benefit of the fall in rubber prices will accrue from the second quarter . So, if you can give some guid ance on the gross margin front?
Sanjeev Aggarwal: Yes, you are right. As we mentioned earlier, the raw material price scenario is likely to remain benign. And if this continues then definitely, in the increasing demand scenario, we will be able to increase our prices, which will be support ive, as Anshuman ji mentioned . With the improved product mix and increased volumes , because as you are aware, we have already been implementing projects in PCR, TBR and all steel light truck radial (ASLTR) tyres, which are margin accretive products.

And this will definitely help us in improving the margins going forward. The NSR improvement will happen, and we are expecting that if the raw material prices remain rangebound , we will be able to come back to the guid ance which we have been talking about for the range of margins on EBITDA level.

Abhishek Jain: Okay. And sir, my next question on the Mexico business Rupee v/s Mexic an peso average realization was Rs.4.28 in this quarter, while it has now moved to Rs.4.7 in the last 2 -3 months. So how do you see the benefit of it?

Arun Bajoria: The benefit will occu

r when we convert the Mexican peso to Indian rupees while consolidating the financial statements in India. So certainly, you are right, it is going to benefit us.

Abhishek Jain : And sir what about the export s ?

Sanjeev Aggarwal: Exports will be increased because there is a depreciation of the peso. So that will help us in exporting more. And in any case, you have heard in the opening remarks by Anshuman ji that there is a NIL tariff, which has been imposed on the exports from Mexico to U.S. markets. So , we will have the opportunities to grab actually, and we will increase our exports to North America as well as to other countr ies.

Arun Bajoria: Brazil and LATAM markets.

Sanjeev Aggarwal: Yes, Brazil and LATAM actually. So , we are hoping that in addition to the increased domestic demand, the exports will also help us in improving the volumes and margins.

Abhishek Jain: So, this quarter, despite the topline growth, margin turned negative in Mexico. So , how do you see the numbers in the coming quarter in terms of topline growth and plus that margin improvement? Because this is the first time we are seeing the negative margin in the Mexico business, EBIT margin .

Arun Bajoria: Yes, as you heard our Managing Director mentioning about the disruption in the Mexican market amongst other economies because of the US tariffs, the uncertainties going on around this tariff war and then they shifted the timelines from February to March , then till the end of July and now in August, they shifted by another 90 days.
So, now we are feeling that it is settling down, and therefore, our sales is expected to go up.
Also, our bottom line is going to improve.

Anshuman Singhania: And Mr. Abhishek, just to add, our Mexican revenues were up by 12% sequentially.

Sanjeev Aggarwal: In the first quarter, on constant currency basis, there was an increase in revenue s by about 7%. And overall, the Mexican pesos depreciated vis-a-vis the rupee , it has also helped us on consolidat ed basis. So , the revenue has gone up by 12% in a way. So , going forward as the uncertainties are not there now, we can focus on increasing our exports from the Mexican market.

Abhishek Jain: So that means th e EBIT margin s of this business, which used to be 7% -8% will come back in the coming quarter?

Arun Bajoria: Yes, absolutely, you're right.

Abhishek Jain: Okay, sir. And my last question on the Cavendish. Sir, what was the revenue and EBIT of Cavendish in first quarter?

Sanjeev Aggarwal: Revenues were slightly lower because of somewhat slow demand for the TBR from OEM side. But I think the replacement market has helped us to pick up the volumes. And the EBITDA margin suffered because of th e lower revenue s.
But I think we will come back to almost about Rs.1,000 crores to Rs.1,100 Crores of average revenue for the quarter. Accordingly , allocat ion of expenses will be done over the larger sales figures , and thus the margin s will go back to the same levels as we have seen in the case of JK Tyres on a standalone basis.

Moderator: The next question is from the line of Mitul Shah from DAM Capital.

Mitul Shah: Congratulations on a good standalone performance. Sir, my first question is on the Mexic an operation, whereas previous participant also asked about the losses for the first time after a long time. And we are indica ting normalized profit in next one or two quarters. So which area you think would be the progress in terms of either on the raw material side will get benefited or operating leverage or any other cost -cutting thing bringing down the promotional expense incentive, which are the areas you see scope of improvement on a sequential basis going forward?

Anshuman Singhania: The raw material side will certainly help. We are witnessing a stability in the prices. The other areas like we have expande

d our market within Mexico and our export m arket, which is Brazil
and LATAM , we are continuously engaging with and expanding our dealer s and channel
partners there. This will definitely help us. Also , for US markets we have introduced all -terrain
vehicle (ATV) tyres, which are highly profitable. So , these are some of the areas through which
our margin expansion will come. And the continuous process of achieving operational
efficiency, which we are continuously focused on. Further, t he volume game with
premiumization going forward , is definitely going to help us.
Sanjeev Aggarwal: Our planned capex in Tornel worth USD 27 million is on track, which is adding capacity in the passenger car segment in the Premium category tyres, so it will further improve the margins.
Mitul Shah: So Q2 itself we will see the similar margins, which you used to report earlier, or it will take 2 -
3 quarters to come to normalized level for Mexico?
Sanjeev Aggarwal: Yes, w e will come back to the normal levels of margins in Q2 onwards . Because of the lower revenues , the allocation of the expenses was absorbed fully .
Mitul Shah: Out of this Rs.5 billion revenue for Mexico reported, how much would be, sir, purely U.S.
dependent, how much non -U.S. part?

Sanjeev Aggarwal: Presently about 7 to 8% exports are there to North America from Mexico. And that is going to go up because of the benefits of the postponement of tariff s for another about 90 days and
subsequently also, I think this is going to continue under the USMCA.
Mitul Shah: Okay, sir. And last question on the domestic business side. In replacement, Q2, do you see replacement growth would be higher than the OEM for the industry? And if yes, then within
replacement, which segment should perform or outperform in terms of higher growth, and which
segment will be flattish or maybe decline also or lower growth?
Anshuman Singhania: So, in Q2, there is definitely an element of the festive season, which augurs well for demand . In the passenger line radial , replacement market on a y -o-y basis, we were 32% higher in terms of
the volumes And in the truck radial, we grew in high single -digits. In replacement market only,
in the farm, we were high of 26% on y-o-y basis.
As we go along, we see good growth coming in, particularly in the replacement market. Even in
the 2 /3wheeler space , it signals well that it is on a high single -digit as well. So , on a whole, we
see that the replacement market will grow steadily as we go along in the quarter. The OEM has
remained flattish.
But there is definitely a good sentiment owing to the festive season coupled with new model
launches in the pass enger car. So , passenger should have a growth. And in the commercial
trucks, there is a little bit of flattish movement right now. But going forward, there should be
some pickup, which should come post monsoon.
Moderator: The next question is from the line of Aditya Shah from Omkara Capital.
Aditya Shah: I wanted to understand how is the routine Indian market revenue mix and what are the category
mix that India this quarter?
Anshuman Singhania: Revenue mix has been 63% in the replacement market, 25% in the OEM and export was about 13%.
Aditya Shah: Okay. And how was the category mix in this period?
Anshuman Singhania: In terms of our Truck & Bus (both bias and radial) , it is around 55% and nearly 30% is passenger line radial and other categories including non-truck b ias, which is like the LCVs is around 1 5%.
Moderator: The next question is from the line of Nilesh, who is an Individual I nvestor.
Nilesh: Good set of numbers, sir. Congratulations for that. O n the sequential basis, there is improvement
in margin. But sir, what is the percentage of our premi um products versus regular one, because
that will give you going ahead the margin expan

sion ?
Anshuman Singhania: Yes, premiumization when we are talking about in the passenger car radial, 16 -inch and above in FY'23, we around 18%. And presently, now we are trading at 26% and our new capacities are
also coming in for the passenger car. So , we are planning to increase this 2 6% mix to around
40% in the coming quarters. And secondly i n the truck tyres, our XF series has gained very -well
acceptance in the OEM and as well as gaining a lot of traction in the replacement market. Even

the XD and XM tyre series, which are our premium truck radial offering, is gaining a lot of
traction. So, these are the products in which we are having good sales, which will ultimately
improve profitability , going further.
Nilesh: Whether JK Tyre has any internal target to be debt free in next 3 years or 5 years?
Sanjeev Aggarwal: Basically , this is a capital -intensive industry however w e have been constantly reducing our

overall debt. But at the same time, in order to grow, we have to increase our capacities as well .
And therefore, we have to keep implementing growth capex projects. And I think going forward,
we will be able to increase our margins and increase our profitability.
So, the larger proportion of the projects going forward will be funded through our internal
accruals rather than through loan. And that is the reason why I've been saying that the overall
debt-to-EBITDA should remain within a range of about 1.5x to 1.8x as compared to 4x, which
used to be the case 3 -4 years back .
So, now we are targeting to remain below 2x, and this is a very comfortable range . Rather w e
should take the benefit of the interest rates which are prevalent in India in order to get a better
profitability. So , debt is not always bad, if it is well managed.
Anshuman Singhania: I'd like to add , that we are very much focusing on deleveraging. And we have been able to
significantly reduce our net debt from a peak level in FY20 of Rs.5,400 crores to Rs.3,800 crores
as of 30th June 2025 . So this is a continuous process. And we also have cash over Rs.600 crores
in our books, which will be utilized for our capacity enhancements.
Moderator: The next question is from the line of Nandan Pradhan from Emkay Global.
Nandan Pradhan: Congratulations on a grea t set of results. So just two questions from my side. One would be
because we've seen the RM being flattish this quarter, if you could just quantify the kind of price
hikes that we've been able to take .
And second question was in our Q4 results, we had called out double -digit consol. revenue
growth for the full year largely led by the replacement. So , if you could just shed some color on
what kind of growth we are expecting for the full year in replacement as well as OEM -- or if
you could break it down into purpose of category. That is all from my side .
Anshuman Singhania: Yes, in Q1 the R aw material prices h ave actually declined by nearly 2.5% on a quarter -on-quarter
basis and there has been a flattish net sales realization, which is the price increase on a quarter -
on-quarter basis. Our growth of 11% in the domestic market s is from the volume push, which
has helped, and we continue to do that both in the OEM and in the replacement market, which
has really helped us, and going forward also, we continue to focus on that.
Nandan Pradhan: Sir what is the Full year guidance ?
Anshuman Singhania: And the full year, we see good growth coming in. It is going to be better than last year. As you
know , last year was an election year and then a lot of infrastructure projects, etc. were stalled

and then the CV market was rather muted. So now with the auto industry having good traction,
we are seeing an initial double -digit growth for ourselves.
Nandan Pradhan: And

if I could just squeeze in the last question. We had mentioned that the Rs.1,400 crores of
capex was possibly going to be over by Decem ber. Do we still stand on that, or do we see some
kind of delay in that?
Sanjeev Aggarwal: It is progressing very well and as per schedule. And from the third quarter of this financial year,
we will be starting these projects. And then, of course, ramp -up will happen over the next 6
months period. So , the projects are on. We have been investing money into these projects, and
that is how we are seeing that the volumes will increase going forward and we will get the benefit
of the operating leverage.
Nandan Pradhan: Thank you, sir. That’s it from my side and all the very best.
Moderator: Thank you. A s there are no further questions from the participants, I now hand the conference
over to the management for the closing comments.
Sanjeev Aggarwal: All right, thank you very much to all of you for joining this con ference call and we look forward
to meet you next quarter. Thank you so much.
Anshuman Singhania: Thank you and All the best.
Moderator: Thank you. On behalf of Emkay Global Financial Services Limited, that concludes this
conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

4((JKTYR=
K & INDUSTRIES LTD.
JKTIL:SECTL:SE:2025 Date: 4th November 2025
BSE Ltd
Phiroze Jeejeebhoy Towers
DalaI Street
Mumbai-400 001National Stock Exchange of India Ltd
Exchange Plaza, C -1, Block G
Bandra –Kurla Complex
Bandra (E), Mumbai –400 051 .
Scrip Code: 530007 Symbol: JKTYRE
Dear Sir,
Re. Transcript of Results Conference Call held on 29*h October 2025
- Regulation 30 of the SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015
Further to our letter dated 22"d October 2025 re. Intimation of
Schedule of Results Conference Call, we enclose herewith the transcript of
the Quarter 2, financial year 2025-26 Results Conference Call
(Group Conference Call) held on 29*h October 2025 at 4:00 PM (IST).
Thanking you,
Yours faithfully,
For JK Tyre & Industries Ltd.
(Kamal Kumar Manik)
C_ompany Secretary[
gWEncl: As Above
Admin. Off.: 3, Bahadur Shah Zafar Marg, New Delhi-110 002, Phone: 91-11-66001112, 66001122
Regd, OH,: Jaykaygram, PO - Tyre Factory, Kankroli - 313342 (Rajasthan), Fax : 02952-232018, Ph. : 02952-302400 / 330011
Website : www.jktyre.com CIN : L67120RJ1951PLCC)45966q)
VIKRAN T

JK Tyre & Industries Limited
Q2FY26
Earnings Conference Call

October 29, 2025

MANAGEMENT : MR. ANSHUMAN SINGHANIA – MANAGING DIRECTOR ,
JK TYRE & INDUSTRIES LIMITED
MR. ARUN K. BAJORIA – DIRECTOR & PRESIDENT
(INTERNATIONAL), JK TYRE & INDUSTRIES LIMITED
MR. SANJEEV AGGARWAL – CHIEF FINANCIAL
OFFICER , JK TYRE & INDUSTRIES LIMITED
MR. A. K. KINRA – FINANCIAL ADVISOR , JK TYRE &
INDUSTRIES LIMITED
MODERATOR : MR. CHIRAG JAIN – DEPUTY HEAD (RESEARCH),
EMKAY GLOBAL FINANCIAL SERVICES LIMITED

Moderator : Ladies and gentlemen, good day and welcome to JK Tyre & Industries Limited Earnings Conference Call hosted by Emkay Global Financial Services Limited.
As a reminder all participant s’ lines will be in the liste n-only mode and t here will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance

during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

I now hand the conference over to Mr. Chirag Jain – Deputy Head of Research , Emkay Global Financial Services L imited. Thank you and over to you.

Chirag Jain: Thank you, Samarth . Good afternoon everyone. On behalf of Emkay Global, I would like to welcome you all to the Q2FY26 Earnings Conference Call of JK Tyre & Industries Limited.

Today we have with us the senior management team represented by Mr. Anshuman Singhania – Managing Director, Mr. Arun K. Bajoria – Director & President (International), Mr. Sanjeev Aggarwal – Chief Financial Officer and Mr. A. K. Kinra – Financial Advisor.

We will begin the call with opening comments from the management team followed by the Q&A session. Over to you, sir.

Anshuman Singhania: Thank you, Mr. Chirag. Good evening to everyone. I welcome you all to the JK Tyre 's Q2FY26 Earnings Call . I am glad to be here and I have with me Dr. Arun K. Bajoria – Director & President (International), Mr. A.K. Kinra – Financial Advisor and Mr. Sanjeev Agarwal - CFO.

At the outset, I would like to extend my heartiest greetings for Deepa wali and the festive season to all of you.

To begin, Indian economy maintain ed its position as the world's fastest growing economy as it continues to demonstrate encouraging signs of growth led by resilient service s export, softer crude oil prices, GST reforms and improving trade balances. GDP in Q1FY26 grew by an impressive 7.8% as against 7.6% in Q4FY25 with an outlook of 6.8% for the entire FY'26, reflecting the resilience of Indian economy even as it face s external pressures from US tariffs and stress on trade globally.

Keeping in view the above, India's long -term growth prospect appears to be strong on the back of robust macroeconomic fundamentals, buoyant domestic demand and rising infrastructure development which are further strengthening India's position at the global front.

The government in order to boost consumption ha s reduced the GST on tyres from 28% to 18% and on farm tyres from 18% to 5%. This GST reduction will act as a catalyst for growth across the sectors and is expected to improve the overall auto demand by 8 -9%.

JK Tyre has passed on 100% benefit of GST reduction to its customers.

GST reduction lowered the total cost of ownership for the end consumers which will lead to faster replacement of commercial vehicles on account of increase in consumption across sectors like FMCG, consumer durables, e -commerce and core sectors which will have a positive impact on tyre demand.

We are already witnessing favourable tailwind s in terms of festive demand and overall improved customer sentiment. Auto sales have witnessed a robust volume growth of 10% in Q2. Segment - wise, commercial category grew by approximately 9%, two -wheeler grew by 11% and farm by 28%. Although the passenger vehicle category witnessed a modest growth of 2%, it has now started achieving strong numbers recently.

Going ahead, commercial vehicle and passenger car segment are expected to grow in the mid - single -digit. Farm equipment and 2/3-wheeler categor ies are set to grow at a high single -digit. This growth is led by steady replacement demand and healthy rural income.

EV market is soaring along with IC E vehicles with two -wheeler and passenger car taking the lead. This encourag

ing growth highlights accelerated adoption of electric mobility in India,
supported by new model launches, government incentives and increasing consumer awareness of sustainable tra nsportation solutions.

Export of vehicles greatly contribute s to auto sector. In Q2FY26, export s registered a double - digit growth of more than 20% and outpaced the domestic growth on a Q oQ basis.

The tyre industry has been performing well and it is continuously gaining strength on a Q oQ basis.

I am happy to share that JK Tyre has registered its highest ever consolidated revenue s of Rs. 4,026 crores, up by 10% on a Y oY basis. Consolidated EBITDA for the quarter stood at Rs .536 crores with an improved margin of 13.3%. Improved operational performance is a result of higher sales volumes along with softening raw material prices apart from higher operational efficiencies.

I am delighted to share that UX Royal e Passenger Car Tyre has been chosen as an exclusive fitment in the newly launched Hyundai Creta Knight Edition, which is a testimony of our being the most trusted mobility partner of choice with OEMs.

We are amongst the few companies in India to launch an AI -powered voice bot that uses natural language processing for superior customer interaction and support. At JK Tyre , digital transformation continues to be a strategic priority and as part of our resolve to secure an organizational digital future.

We are proud to share that JK Tyre has once again secured the top -notch CareEdge ESG1 + rating, setting another benchmark in the domain of sustainability. The above ESG rating demonstrates JK Tyre 's leadership position achieved through proactive efforts across key environmental, social and governance themes, underpinn ed by comprehensive policies, advanced monitoring system s and significant investment in renewable energy and decarbonization technologies.
Another noticeable achievement reflecting our commitment towards environment at JK Tyre is that we have become the 1st Indian tyre manufacturer to publish Environmental Product Declaration (EPD) on International EPD System (IES) platform for our three products in PCR and TBR category, enabling customers to make more informed choices and showcasing our commitment towards sustainability.
With the combination of growing consumer demand , technological advancement and thrust on innovation, JK Tyre is uniquely positioned for significant growth in the coming years, while expanding its presence across domestic and international markets.
Now, I would like to take you through some of the key operational highlights :
a) We registered the highest -ever turnover at the consolidated level with quarterly revenue s at Rs.4,026 crores, up by 10% on a YoY basis.
b) Domestic market s registered a growth of 15% in volume s, driven by a noticeable uptick across the segment.
c) Export volume s grew by 13% over the previous quarter despite the uncertainty around US tariff rates.
d) TBR volumes in numbers in the replacement market grew by 22% on a year-on-year basis.
e) Passenger line volumes grew by 16% in replacement market and also its export volume s registered a 6% growth on a YoY basis.
f) Farm category volume s also saw robust growth of 78% in OEM and 12% growth in replacement market on a YoY basis.
g) 2/3 wheeler category volume s in OE segment grew by 155% on a YoY basis.
h) On a quarter -on-quarter basis, raw material prices corrected by 3%.
Now, I would like Mr. Bajoria to take us through the performance of JK Tornel.
Arun K. Bajoria: Thank you, MD sir.
The Mexican economy continued to demonstrate resilience despite the uncertainties around US tariffs. Notably, Mexico has surpassed China and Taiwan as the largest exporters to USA during the first half of 2025.

World Ban

k has raised the GDP growth forecast of Mexico to 0.5% for 2025 as compared to 0.2% earlier and the projection of full year 2026 GDP growth stands at 1.4% which highlights the improved confidence in the Mexican economy.
Bank of Mexico has further cut the benchmark interest policy rate to 7.75% in this quarter which will improve consumer sentiment for overall economic growth.
I would like to highlight that in Quarter 2 , JK Tornel has achieved the highest ever sales compared to last six quarters. Domestic PCR and TBR sales hit their record highs in this quarter and we are focusing to further increase these numbers in the coming quarters. Higher sales was achieved through better market coverage, increase in sales to mass merchandisers and focused sales approach in Brazil and LATAM markets. Exports to USA remained steady despite uncertainties of USA tariffs.
Sales have bounced back to Rs . 639 crores as against Rs .505 crores in previous quarter, a jump of 26% , thereby reflecting our relentless focus and concerted efforts to increase the top line. JK Tornel 's EBITDA for Q2 grew nearly five -fold reaching Rs .49 crores as compared to Rs .10 crores in the previous quarter.
EBITDA margins rebounded to previous levels and stood at 7.6% reflecting an expansion of 560 basis points sequentially. Further, PBT and PAT stood at Rs . 25 crores and Rs .15 crores, both up significantly over the last quarter.
Further, the United States -Mexico -Canada -agreement (USMCA) is due for revision in 2026 and we are watchful for the same as it remains highly crucial to maintain trade relations and diplomatic ties with USA.
And now I would request Mr . Sanjeev Aggarwal to talk about the financial performance of JK Tyre for the 2nd quarter of FY’26. Thank you.
Sanjeev Ag garwal : Thank you, sir. I would like to brief you all about the key highlights for Quarter 2 of FY’26:

a) Consolidated revenues for Q2 FY26 were recorded at highest ever level in a quarter at Rs. 4,026 crores which is up by 10% on Y oY basis as against Rs.3,643 crores in the corresponding quarter.
b) Consolidate d EBITDA for Q2 was recorded at Rs . 536 crores as compared to Rs . 443 crores in Q2FY25, which is an increase of 21% on a YoY basis. EBITDA improved by 26% over the previous quarter.
c) EBITDA margins during the quarter were recorded at 13.3% v/s 10.9% in Q1 representing an improvement of 240 basis points over the previous quarter.
d) Cash profits for the quarter stood at Rs .428 crores, which is up by 38% on a Q oQ basis and 33% on a Y oY basis.

e) Profit after tax for the quarter stood at Rs .223 crores, which is up by 54% on a Y oY basis.
f) Capacity utilization for the quarter was 88% on a consolidated basis. Radial capacity utilization continues to remain above 90%.
g) Exports in Q2 grew by 10% value -wise sequentially despite the tariff -related challenges.
h) Both the subsidiaries, Cavendish and JK Tor nel, Mexico witnessed robust performance in this quarter and added significantly to the overall financials of the company.
i) Consolidated EPS in Q2 improved to Rs .8.08 per share as against Rs.6.03 per share in Q1.
j) Return ratios have been improving continuously viz. ROC E and ROE , both remained robust in Q2.
k) Net debt as on 30th September 2025 stood at Rs .4,201 crores as compared to Rs .3,862 crores as on 30th June 2025, which is up by Rs.339 crores mainly on account of increase in working capital requirement for carrying higher inventories of finished goods.
l) On the other hand, gross debt increased by Rs . 243 crores. This is mainly the f unds which were available with the company and have been utilized for the purpose of the project's implementation.
m) The balance sheet of the company continues to remain healthy with l everage ratios viz N et debt to equity at 0.75 x and Net debt to EBITDA at 2.5 x as on 30t

h September 2025 .
n) Update r egarding the merger , we are just nearing the next hearing date which is scheduled for 30.10.2025 with NCLT , Jaipur and we are expecting the merger to be completed in all respects by end of Nov '25 which will bring a lot of synergies for the merged entity.
Thank you so much . We have already circulated our Q2 Earnings Presentation on our website as well as on the stock exchange websites . Now, we open the forum for questions.
Moderator: Thank you very much sir. We will now begin the question & answer session. The first question is from the line of Mr. Basudev Banerjee from CLSA. Please go ahead.
Basudev Banerjee: Thanks. Congrats for a good set of numbers. Just a few questions. First question is for Sanjeev sir. From the cash flow statement, almost Rs.610 crore s of capex in first half and as you said working capital increased this quarter and that's how one can see gross debt more or less to have remained unchanged. So, what is the outlook for full year capex and how do you see the working capital normalization in coming quarters so that one can see a good free cash flow generation in second half?
Sanjeev Aggarwal: Thank you. So, this is regarding the total cash available what we have incurred so far in the first half of FY2026 which is about Rs.610 crores and almost the equal number which is about Rs.600 crores roughly is going to be spent in the second half as we receive machines for the projects which are under implementation. So , Rs.1,200 crores of the total cash outflow is scheduled for this year and this includes some amount towards the normal maintenance capex as well. And as far as the working capital is concerned th ere was intentional addition to the finished goods because we wanted to be ready for the festive season but I think going ahea d, the working capital

reduction would be there and we are hoping that with working capital will come back to its normal level s.
Basudev Banerjee: And can you give some breakup of the growth capex which segments you are investing in using this Rs. 1,200 crore s?
Sanjeev Aggarwal: So, we have been implementing three projects , one is for the Passenger Car Radial (PCR) at a cost of Rs.1,025 crore s at our Ba nmore plant in Madhya Pradesh. The second expansion is for Laksar tyre plant in Uttarakhand and this is for TBR category at a cost of Rs.261 crore s and the third one is for the All steel light truck radial tyres (ASLTR) of Rs. 112 crores which is going on at Vikrant tyre plant , Mysuru . So, these three projects put together will come up for production in the Q3 and the full ramp up will then gradually take place over the next 6 months period.

Basudev Banerjee: And overall utilization as of now would be what close to 85 %?
Sanjeev Aggarwal: Capacity Utilization is more than 90 % for the radial categories where we are expanding and this is going on very well in fact.
Basudev Banerjee: Second question , as you mentioned about raw material basket was down 3% QoQ and one can see that natural rubber prices are down to Rs.185/kg from Rs.205 approx. in August. So how do you see in December & March quarter other than the crude price correction, which is pushing up the margin now , the natural rubber price correction should aid margin improvement further , any comments on that?
Anshuman Singhania: Yes, we expect the raw material price to remain rangebound in the coming quarters and definitely it will help us in the margin expansion.
Basudev Banerjee: Last question , has there been any price cut s to pass on the raw material reduction in last quarter in any segment in the replacement market ?
Anshuman Singhania: No, there has been no price revision .
Basudev Banerjee: Okay sir thanks that's all for my side.
Anshuman Singhania: Thank you.
Moderator: Thank you . The next question is from the

line of Rehan Syed from Trinetra Asset Managers .
Please go ahead.
Rehan Syed: Good afternoon to the team and thank you for giving me the opportunity. I have only one question , I want to understand regarding the export s side. So , your export grew 14 % QoQ despite the US tariff uncertainty. I want to understand what is your plan B in case tariff strength wasn't

in current year '26 and are you reallocating volumes to other geographies or increasing product mix of higher margin SK Us to offset the impact & What is the management 's view on this?
Anshuman Singhania: Export grew by 13% QoQ and our export s to USA are only approx. 3% from the total revenue which we have successfully diverted to other countries where we are already supplying , namely Mexico, Latin America, Brazil . We have been able to divert these supplies and our strong markets being Middle East and even Southeast Asia which we are exporting and we are also exploring new markets like EU and UK and even Africa. So that will be our continuous focus going ahead .
Rehan Syed: So, do you think it will compress our margin s?
Anshuman Singhania: No, it will not impact our margins rather it will improve the margins.
Sanjeev Aggarwal: Just to clarify that because we have already diverted a lot of our exports which were going earlier to US market , as Anshuman ji mentioned , we are also eyeing on the proposed trade deal with USA which will act as an additional opportunity for us to export to that market.
Rehan Syed: Okay . I want to ask i f you could give any guidance for EBITDA margin that you can sustain over the next two to three quarters?
Anshuman Singhania: So, margin s are going to be in the range of 13 % to 15 %.
Rehan Syed: Okay tha t's it from my side and tha nk you so much and good luck for the coming quarter.
Anshuman Singhania: Thank you.
Moderator: Thank you. The next question is from the line of Abhishek Kumar Jain from Al fAccurate. Please go ahead.
Abhishek Jain: Thanks for the opportunity and congrats for the strong performance. So, my first question is on the Mexico business . What was the average realization in terms of the rupee versus Mexican peso in this quarter and now that rupee versus Mexican peso has moved at around INR 4.8 in last 2-3 months which is very much positive for your company. Just wanted to understand what benefit you will get because of this currency movement.
Anshuman Singhania: In rupee terms , our revenue growth has been 26 % on a QoQ basis and in terms of constant currency i.e. Mexican peso , growth has been 20 % on a QoQ basis and we have seen that depreciation of Rupee to Mexican peso by around 7%.
Abhishek Jain: So, what was the average realization then?

Sanjeev Aggarwal: Average realization because there are number of SKUs , number of products so this is not possible but definitely it has gone up and we have taken the benefit of depreciation of rupee and going forward also if this continues then I think we will gain further.
Abhishek Jain: How is the demand scenario in domestic and exports side both?
Arun K. Bajoria: It is very good , it is improving further and we are expecting that the Mexican exports to USA should be better because Mexico is now going to conclude a deal with USA and as I mentioned in my opening remarks about US-Mexico -Canada -agreement (USMCA) , we are hopeful that going forward we will be able to maintain and improve our sales as well as our margins.

Anshuman Singhania: And adding to that , we are strengthening our push within Mexico itself and to Brazil and LATAM which we are exporting from Mexico . We are expanding by adding new channel partners as well , so we see a good opportunity in terms of higher demand coming in from these countries.
Abhishek Jain: So, what s

ort of value we can see in the Mexican business in the coming quarter s, we have seen very good growth in this quarter i.e. 8% YoY growth. B ut if we see the past number then we were doing around Rs.700 crores kind of the revenue from the Mexico 1.5 years back , so can we achieve that number again ?
Anshuman Singhania: We see a continuous growth , as I and Mr. Bajor ia already said that we are finding new market opportunities to expand our dealer base and looking for white spaces in Mexico and new export countries from Mexico . We are also enlarging our offerings by development of newer products , so we see a healthy growth coming in for the whole year.
Abhishek Jain: My next question is on the domestic side; we have seen very strong growth in the replacement business that has gone up by around 2 2% YoY in this quarter and basically T BR replacement demand was very much strong so what are the green shoots visible in the T BR replacement segment and how it will be sustainable?
Anshuman Singhania: So, we have seen a comeback of OE demand in the CV segment (for LCV/ SCV bias tyres) , which was earlier muted . We see that in the replacement market right now the inventories of tyres which the dealers were carrying in , that has been flushed out and thanks to GST 2.0 it has brought in a lot of demand surge there and we see with the better monsoon and better infrastructure push by the government , clubbed with rural demand coming in , a positive trajectory of demand . So, all that augers well in terms of demand for our truck radial tyres . Going forward , we see all categories should do well in the replacement as well.
Abhishek Jain: So, in the overall T BR business how much contribution of LCVs in your segment?
Anshuman Singhania: Our CV segment contributes almost around 60% .

Abhishek Jain: How much contribution of the LCV in overall segment?
Sanjeev Aggarwal: Overall , 60% is contributed by commercial vehicle as MD sir said and out of which LCV, SCV and MHCV there are various segments . Broadly, the LCV& SCV space contributes mid -single digits to the India revenues.
Abhishek Jain: And how is the mix in the T BR versus TBB?
Anshuman Singhania: TBR is around 40 % to 45 % and TBB would be around in the range of about 10 % to 13 %.
Abhishek Jain: Thank you, sir, that's all.
Anshuman Singhania: Thank you.
Moderator: Thank you. The next question is from the line of Aditya Akhani from Shah Capital. Please go ahead.
Aditya Akhani: Thank you for the opportunity. Two questions from my side. I wanted to understand market and product category mix for Q2F Y26 of India operation .
Anshuman Singhania: So, value wise the category mix is around 57% in truck space (TBB & TBR) , around 30 % passenger line radial , 2/3w at 4% and Non truck bias would be about 10 %.
Aditya Akhani: And market mix?
Anshuman Singhania: Replacement is 6 3%, OE is about 24% and our export would be about 1 3%.
Aditya Akhani: Standalone number shows drop of Rs.173 crore s versus Q1 while India revenue has moved up by Rs.63 crore s in same period. Can you throw some light on Cavendish performance?
Sanjeev Aggarwal: There is no specific reason between the two quarters , let's say if the demand for the product by the OEM f rom JK Tyre is higher or it could be higher for the CIL tyre s. So, in order to remove this kind of confusion this entity will get merged by the next quarter and there will be only one company. So, this depend upon the OEM requirements to be catered to from which company. For us it is the same thing India operations.
Aditya Akhani: Okay thank you.
Moderator: Thank you. The next question is from the line of Krish Jain from NAFA Asset Managers . Please go ahead.

Krish Jain: Thank you for the opportunity and congr

atulations on a good quarter. My question is regarding JK T ornel . I wanted to understand what is the capacity right now and what is the capacity utilization as well?
Sanjeev Aggarwal: The installed capaci ties are around 59 lakh tyres and the overall utilization including radial and

bias is approximately 80% but the radial utilization is higher at nearly 88 % in JK Tornel, Mexico.
Krish Jain: In the next round of Capex how much will this capacity increase by?
Anshuman Singhania: It will increase by about 15 %.
Krish Jain: And this is all for passenger car radial , right?
Sanjeev Aggarwal: PCR that is correct.
Krish Jain: And this will be achieved by December?
Sanjeev Aggarwal: No, it will be available from Q4'FY26.
Krish Jain: Okay thank you.
Moderator: Thank you. The next question is from the line of Puneet Javeri from Javeri & Companies . Please go ahead.
Puneet Javeri: Thank you so much for the opportunity. I just wanted to understand because of GST rate cuts what has been the market share gains for you in any other segments especially regarding OEMs. Have you seen an increase in market share especially for passenger car? Could yo u give us some perspective?
Anshuman Singhania: GST 2.0 has definitely brought in a lot of cheers to tyre segment , particularly for JK Tyre . Our share of business in the OEMs particularly in the CV is the highest. We are seeing a good pull from the vehicle manufacturers. Also, we are seeing good traction coming in from the replacement side as well. So, we see this segment to do well in the coming quarters. We are out of the monsoon as well and there is a lot of infrastructure push and rural demand coming in our way. In the passenger car as well , there has been a good traction in the entry level space where we are also participating. And we've seen our numbers in the PLT go up. There is a good demand coming in for the passenger as well in the replacement market. So , it augurs well in both the CV and passenger car. Further , we have seen a good mix in terms of higher rim sizes i.e. 16 inch and above. That is called premiumization. There also we have seen the mix improving in both OE and replacement. Plus, the farm segment is also performing really well . So there also we are likely to get good traction.

Puneet Javeri: And is there any kind of quantification that you can give for the market share gain in these segments? Anything on passenger cars as well as CVs that you can provide right now?
Anshuman Singhania: So, we don't really quote any market share but definitely , our volumes have grown and we definitely have gained markets.
Sanjeev Aggarwal: Just to give you an idea in the replacement market as Anshuman ji mentioned earlier that in TBR we have grown by 22% and in passenger car by 16% QoQ, I think this is more than the market growth rate. So , you can very well assume our market share has gone up.
Puneet Javeri: And just one clarification, you mentioned about the capacity of JK To rnel. Could you just repeat the number please?
Sanjeev Aggarwal: The installed capacit ies at JK Tornel stands at 59 lakh tyres.
Puneet Javeri: All right. Thanks so much for answering the questions and all the best.
Moderator: Thank you. The next question is from the line of Mitul Shah from Dam Capital. Please go ahead.
Mitul Shah: Thank you for the opportunity and congratulations for a really great sequential improvement on top line as well as margin. One clarification, if I do the OEM calculation, it is showing double digit decline, whereas this Q2 OEM production seems to be quite strong. So , anything I am missing out or is it because of the Tornel replacement increasing? So how one should read about this?
Sanjeev Aggarwal: In number terms, if you see OEM we are talking about the overall increase across segments put together that h

as gone up because there is a significant increase in the non-truck , tractor and also in 2/3w heeler segments . If you compare the OEM numbers in terms of rupees crores, this is 2% increase approximately. This is almost flat, but volumes are up mainly on account of 2/3w and the tractor, there has been some good increase.
Mitul Shah: So overall OEM volume s are more or less flattish, we can say or revenue decline is something 11%?
Sanjeev Aggarwal: When you compare the overall OE volumes, then it is not comparable. In some segments, it may have gone down. In some segments, it may have gone up. So that is why I am saying segment wise, we will have to see.
Mitul Shah: Revenue wise as per your calculations , is it a growth ?
Anshuman Singhania: In terms of overall volume s, we have grown 43% YoY in the OEM (including 2/3w, farm, PLR, T&B)

Mitul Shah: It's coming 11% decline as per presentation.

Sanjeev Aggarwal: With 2/3w segment , if you see, then OEM is almost like 43% increase YoY and if the volume s of 2/3w are not taken into account , then OEM volume s have increased by about 4% to 5% , since there is a significant increase in 2/3wheeler nos. this quarter on YoY basis.
Mitul Shah: Second question on the Tornel side, that there is a decent Y oY growth. Even if we adjust for the currency, there is some growth on the revenue side. But margin improvement on a Y oY basis, it's a contraction. So, anything to do with the raw material or we having previous quarter's high value inventory or anything on the other expense side?
Sanjeev Aggarwal: Mitul ji, there is a very small variation between the two quarters on Y oY basis. And that is because o f the trading component difference. So last year, the trading component was lower and it is slightly more in this quarter. Although the margins are not very different, this is between 7% to 8% range only.
Mitul Shah: Last question on the India operation side. In FY24, we really gained market share and outperformed strongly to the peers. But since last five -six quarters, if I take the India operations revenue growth, it seems to be underperform ing versus industry as well as peer group. So, any market share loss one should think of or it is a product mix related challenge or anything else? And what is the strategy to rectify that going forward? This is the last question, sir.
Sanjeev Aggarwal: No, there is nothing like that. We have already mentioned 15% volume growth on YoY basis in the domestic market s. Taking into account the exports as well , the total volume growth comes at 14% YoY. Further on QoQ basis, volumes are up by 11%. So, there is no question of any contraction in terms of the volume s.
Mitul Shah: If I take the revenue growth of India operations, which you have mentioned in all the results, that is coming much lower than the reporting for the India domestic business. So, is it like a commercial vehicle not doing great and we are stronger on the commercial vehicle side? So that is like a product mix impact or market share ?
Sanjeev Aggarwal: It is m ainly because of the PCR since you are aware that in PCR, the selling prices are linked to the increase or decrease in the raw material prices. So that adjustment might have reduced the number s on account of the value.
Mitul Shah: Understood, sir.
Anshuman Singhania: To add to this, the net revenue s of India operation s it is 10% up on YoY basis.
Mitul Shah: Yes, it is slightly lower than the peers in earlier quarters. That was the question basically but understood the point.

Sanjeev Aggarwal: I don't think we will be able to compare. 2/3w prices might have gone up or may be some other segment ’s prices. Also, product mix difference would be there. So, it is not str aight . Hence, w e a

re not actually making the comparison with other companies. And as of now, only one or two companies have declared the results for this quarter .
Anshuman Singhania: And adding to Sanjeev ji, I must mention here that CV OEM s have picked up in this Q2 only, where in we are very strong. So, looking at previous or corresponding quarters, they were not as strong in terms of their production if compare d with th ese Q2 numbers .
Mitul Shah: That is, I think, right analysis or understanding that because of the commercial vehicle, which might have slight impact on overall industry and that has affected. Great, sir. All the best !
Sanjeev Aggarwal: Thank you.
Moderator: Thank you. The next question is from the line of Maitri Shah from Sapphire Capital. Please go ahead.
Maitri Shah: Firstly, congratulations on Rs.4,026 crore s top line. My question is on the revenue. So, what sort of guidance do you have for the second half of this year and also for the next financial year on the revenue?
Anshuman Singhania: So, as I was addressing the other investors that we see a good trajectory of demand going ahead , we are very confident that we will be able to achieve double digit growth on the revenue s going forward.
Maitri Shah: That is great to hear. And secondly, you previously mentioned about the three capex projects under implementation . Could you please mention them again with the amount of capex that you are investing?
Anshuman Singhania: Total of Rs.1,400 crores worth of expansion. TBR, which is the truck & bus radial which we are expanding in Laksar, CIL with Rs.261 crores. All steel light truck radial, which we are expanding in Mysore, Rs.112 crores and Passenger line expansion, which is Rs.1,025 crores, in our Banmore plant. The start of production is from the end of Q3FY26 with ramping up by next financial year.
Maitri Shah: That is great. And this does not include the USD 21 million for the Mexico capex that we are doing , correct?
Anshuman Singhania: Yes, that Mexico capex is separate.
Maitri Shah: And that is going online from the 1st Quarter of next year?

Anshuman Singhania: Yes, that is right.
Maitri Shah: That's it from my side. Thank you and all the best.
Anshuman Singhania: Thank you.
Moderator: Thank you. The next question is from the line of Nandan Pradhan from Emkay Global.
Nandan Pradhan: Good evening, sir. Congratulations on a great set of numbers for this quarter. So just a small question from my side. So, in Q1, we expected the tyre industry to grow by about 7 % or 8% for the full year. And we have already sustained our guidance of double -digit revenue growth for FY26. So, because of the recent GST cut and the festive surge that is going on, do you see any uptick in the guidance or would you sustain the same as the last quarter?
Anshuman Singhania: No, we would like to stick to our numbers in terms of the 10% growth guidance. Though w e are seeing a good surge coming in and surely this momentum will carry on but we will stick to the numbers which we have already said.
Nandan Pradhan: Thank you so much. That answers my question.
Moderator: Thank you. Th e next question is from the line of S .B. Bhaiya , as an individual investor.
S.B. Bhaiya: Congratulations to you for a nice set of numbers. I have got only one question , with such a robust demand scenario which you have painted. How prepared you are from supply side till the time actually your new capacity comes in?
Anshuman Singhania: Our capacities are coming at different time lags across PCR and TBR. So, these expansions together will inch up our capacities by 12% to 13%. And that's how we will be able to cater to our increased demand.
S.B. Bhaiya: But as I understand your new capacities are coming in only in the last quarter of this financial year or by 1st Quarter of next

financial year. So , till that time, do you think you will be able to meet the surge in demand?
Sanjeev Aggarwal: Our new c apacities for PCR, TBR and All steel light track radial tyres are coming in India in the 3rd Quarter. And in fact, the PCR capacity has already started in the month of October, but the ramp up will happen by March '26. So, we are fully geared up to take up any surge in demand and we are ready to supply, we will not let any loss of sales on account of the capacity shortage. So, it will definitely get addressed. And as far as the Torne l is concerned, we will be ready by the 4th Quarter of this financial year. But in between when we start, we start with smaller capacities and then of course full ramp up happen over a period of 3 to 6 months depending upon the product.

Anshuman Singhania: Plus, capacity utilization is also increasing.
Sanjeev Aggarwal: We are already operating at about 8 8% capacity and we are full ready to cater to any increased demand.
S.B. Bhaiya: Great sir. So , you are not seeing capacity as a constraint to meet the demand?
Sanjeev Aggarwal: Absolutely not.
S.B. Bhaiya: Thank you, sir.
Anshuman Singhania: Thank you.
Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.
Sanjeev Aggarwal: Thank you so much for joining this call and we are quite happy to have shared all the numbers and I hope all the questions have been fully addressed. Thank you very much for this and we look forward to the next quarter . Good day!
Moderator: On behalf of Emkay Global Financial Services Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2026

JKTIL:SECTL:SE:2026
BSE Ltd.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai-400 001.
Scrip Code: 530007
Dear Sir, Date: 13th February 2026
National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra -Kurla Complex,
Bandra (E), Mumbai -400 051.
Symbol: JKTYRE
Re. Transcript of Results Conference Call held on 9th February 2026
-Regulation 30 of the SEBI (Listing Obligations and
Disclosure Requirements) Regulations , 2015
Further to our letter dated 2nd February 2026 re. Intimation of
Schedule of Results Conference .Call, we enclose herewith the transcript of
the Quarter 3, financial year 2025-26 Results Conference Call
(Group Conference Call) held on 9th February 2026 at 4:00 PM (1ST).
Thanking you,
Encl: As Above Yours faithfully,
For JK Tyre & Industries Ltd.
(Kamal Kumar Manik)
Company Secretary
(/) Admin. Off.: 3, Bahadur Shah Zafar Marg, New oelhi-110 002, Fax: 91-11-23322059, Phone: 91-11-66001112 , 66001122
Regd. Off.: Jaykaygram, PO-Tyre Factory, Kankroli. 313 342 (Rajasthan), Fax: 02952-232018, Ph.: 02952-233400 / 233000
Website : www.jklyre.com CIN: L67120RJ1951PLC045966 VIKRANT

“JK Tyre & Industries Limited
Q3FY'26
Earnings Conference Call ”

February 09, 2026

MANAGEMENT : MR. ANSHUMAN SINGHANIA - MANAGING DIRECTOR ,
JK TYRE & INDUSTRIES LIMITED
MR. ARUN K. BAJORIA - DIRECTOR & PRESIDENT
(INTERNATIONAL), JK TYRE & INDUSTRIES LIMITED
MR. SANJEEV AGGARWAL - CHIEF FINANCIAL
OFFICER , JK TYRE & INDUSTRIES LIMITED
MR. A. K. KINRA - FINANCIAL ADVISOR , JK TYRE &
INDUSTRIES LIMITED
MODERATOR : MR. RONAK MEHTA - ICICI SECURITIES LIMITED

Moderator : Ladies and gentlemen, good day and welcome to JK Tyre & Industries Limited Q3FY '26 Earnings Conference Call host ed by ICICI Securities Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the management remarks concludes. Should you need assistance during this conference call, please signal an operator by pressing “*” then “0” your

touchtone phone. Please note that thi s conference is being recorded.
I now hand over the conference to Mr. R onak Mehta from ICICI Securities Limited. Thank you and over to you, sir.
Ronak Mehta: Thank you, Rudra. Good evening, everyone. On behalf of ICICI Securities Limited, I would like to welcome you all to Q3FY '26 Earnings Conference Call of JK T yre & Industries Limited.
Today, we have with us the Senior Management team represented by Mr. Anshuman Singhania – Managing Director, Mr. Arun K. Bajoria – Director & President - International , Mr. Sanjeev Aggarwal – Chief Financial Officer and Mr. A. K. Kinra – Financ ial Advisor.
We will begin the call with the opening comments from the management team followed by Q&A session. Over to you, management team. Thank you.
Anshuman Singhania: Thank you and very good evening to all of you. I welcome you all to JK T yre's Q3 FY '26 earnings call.
Firstly, I would like to extend my heartfelt and warm wishes to you and your famil ies for a very Happy New Year. I am glad to be here, and I have with me Dr. Arun K. Bajoria – Director & President (International), Mr. A. K. Kinra – Financial Advisor, and Mr. Sanjeev A ggarwal – CFO.
The Union Budget 2026 reinforces India's commitment to manufacturing -led growth. The continued drive on capital expenditure with infrastructure allocation exceeding INR 12 lakh crores will improve cost efficiency and support demand momentum in the auto and tyre sector.
The Indian economy picked up pace in the 2nd Quarter of FY '26 as it exceeded the expectation s by achieving GDP growth of 8.2%, signaling a clear and a broad -based uptick in the economic activity. This expansion also marks the highest growth in the last six quarters on the back of a strong rebound in domestic consumption, resilient rural demand, higher government capex coupled with GST reforms and strong festiv e demand.
Recent trade deals with the EU and USA have been announced, which will integrate the markets with above FTA countries and provide India the benefit of market diversification.

Indian auto industry continues to ride a wave of strong momentum with pent up demand. The year FY '26 will be marked as a year of historic performance for the Indian automotive industry as robust growth is being witnessed across sectors. In FY '26, CV sales are expected to exceed its previous record high of over 1 million units, which was achieved in FY '19, driven by infrastructure development, increased freight movement, GST reforms and lower interest rates.
PV has also recorded the highest ever sales of 4.3 8 million units. While SUVs continue to dominate the PV sales, small cars also rebounded strongly. Two -wheeler sales also surpassed the 20 million mark .
In Q3FY '26, auto industry witnessed a record -breaking performance in both domestic and export markets across segments with high double -digit growth. As we enter Q4, the momentum looks strong , backed by firm demand across segments along with fresh pipeline of new launches and an overall imp rovement in customer sentiment s.
Talking about JK Tyre's Q3 financials , we have recorded the highest ever revenue of INR 4,235 crores at a consolidated level, up by 15% on a year -on-year basis. EBITDA stood at INR 583 crores with a margin of 13.8%, reflecting a strong year -on-year expans

ion of 470 basi s points.
This growth was driven by JK Tyre's continued focus on product premiumization , operating leverage along with execution excellence. Raw material prices also contributed favorab ly. Profit after tax surged 3.7x to INR 209 crores. In Q4, the raw material price scenario is expec ted to remain range -bound (1 - 2% increase).
JK Tyre ha d introduced Embedded Smart Tyres for passenger cars to deliver real -time data on tyre operating conditions. The launch of embedded smart tyres marks a defining milestone in JK Tyre's innovation journey while supporting safe driving along with improving vehicle performance and efficiency.
Electrification continues to stead ily gain momentum on a continuous basis , and I am proud to announce that JK Tyre has secured new OEM approval s for supplying EV tyres to Hyundai Creta and Tata Punch for their electric variants. Recently, Renault Duster has also been launched with our Ranger HP e tyre, demonstrating a long -standing faith of customers in our offerings.
Also, four new types of OTR tyres have been launched for industrial and mining applications. These tyres are capable of sustaining harsh environments while continuing to deliver superior durability, stability and traction.
During the quarter under review, we have further expanded our market footprint by adding nearly 200 dealer s pan India in order to serve the growing domestic demand and 35 pit stops for enhancing customer services. Further, 25 + new fleets have been added to the total count. In order to cater to the rural demand, the rural distribu tion network is being expanded.

Indian tyre industry is witnessing a strong demand across segments. In order to capitalize on the significant market opportunit ies, the company has decided to further expand its capacit ies across TBR, ASLTR and PCR categories through expansion s at various locations for an aggregat e cost of INR 1,130 crores. This will increase our overall capacity by nearly 7%.
We are proud to share that JK Tyre has earned the prestigious “Silver rating ” in the latest EcoVadis ESG assessment, placing the Company amongst top 7% companies globally. This recognition reflects our strong performance across all sustainability pillars and reinforces our unparalleled effort s towards the vision of be coming a green company by 2050.
During the quarter, we completed the merger of our subsidiary company Cavendish Indust ries Limited with JK Tyre after securing all statutory approvals. CIL has undergone a remarkable transformation under JK Tyre's leadership. JK Tyre provided all the necessary technical, financial and managerial support and capacity utilization was scaled up from around 30% to over 95%, ma king it JK Tyre ’s yet another successful turnaround acquisition after Vikrant Tyre and JK Tornel , Mexico. I would like to bring to your a ttention , that this merger is going to be a highly value enhancer and will bring a lot of operational and financial synerg ies through pooling of resources.
We are delighted to announce our long -standing association with the prestigious and highly coveted awards i.e. ICOTY (21st edition) and IMOTY (19th edition) were presented.
Here are some of the few operational highlights :-
1) Domestic markets recorded a healthy volume growth of 16%, contributed by replacement segment by 11% and OE segment by 24% (except 2/3W) on a YoY basis.
2) Exports demonstrated resilience and grew by 9% in volume terms despite geopolitical uncertain ties.
3) TBR volumes in the replacement market grew by 15% and in the OEM market by 33% on a year -on-year basis.
4) Passenger line volume grew by 18% on a year -on-year basis, contributed by replacement market growth by 11% and a strong OEM growth of 24% and export volume grew by 40% on a year -on-year basis.
5) Farm category volume on a year -on-year basis als

o saw significant growth majorly contribut ed by the OEM and replacement markets.
6) 2/3W segment volume in OEM also grew by 30% on a year -on-year basis.
Now I would like to request Dr. Bajor ia to talk about the performance of JK Tornel.
Arun K. Bajoria: Thank you, MD sir.

Mexico's economic growth in 2025 remained steady despite heightened uncertainty over U.S. tariffs and persistent macroeconomic headwinds. Further, as per the International Monetary Fund's World Economic Outlook (WEO) report, GDP growth for the full year 2026 is now projected at 1.5%, supported by gradual monetary easing.
The Bank of Mexico has further cut the benchmark interest rate (TIIE) to 7%, its lowest level since 2022, driven by continued remittances from the U.S. into Mexico. These rate cuts are aimed at stimulating economic growth amid sluggish GDP performance and ongoing uncer tainty related to U.S. tariffs.
Coming to JK Tornel's performance in Q3 FY '26, Revenues were recorded at INR 616 crores as against INR 507 crores in the corresponding quarter, reflecting a robust 21% year -on-year growth, thereby reaffirming the continued customer preference enjoyed by JK Tornel in Mexico.
We are proud to share that we have achieved the highest ever sales in Q3, reaffirming JK Tornel's strong market position. In addition, we have once again recorded the highest ever sales to mass merchandisers.
JK Tornel's EBITDA for Q3 stood at INR 58 crores, up by 45% on a year -on-year basis as against INR 40 crores in Q3 FY '25. EBITDA margins reached a level of 9.4%, registering an improvement of 148 basis points over the corresponding quarter, led by product mix improvement and benign raw material prices. PAT stood at INR 42 crores, significantly higher than the corresponding quarter.
We would like to assure you that dedicated efforts are underway to continuously enhance sales and profitability, even as we remain cautiously optimistic for the year 2026.
We continue to closely monitor the upcoming revision of the United States -Mexico -Canada Agreement (USMCA) in July 2026, as this will be important for sustaining and strengthening our business with the USA.
And now , I would request Mr. Sanjeev A ggarwal to talk about the financial performance of JK

Tyre for the 3rd quarter of FY '26.
Sanjeev Aggrawal: Thank you Bajoria Sir .
Let me briefly share the key financial highlights for Q3 FY'26 :
1) Company recorded its highest ever consolidated revenues of INR 4,235 crores up by 15% on YOY basis as against INR 3,694 crores in corresponding quarter.
2) EBITDA for Q3FY'26 was recorded at INR 583 crores, as compared to INR 335 crores in the corresponding quarter, an increase of 74% on YOY basis.

3) EBITDA margins during the quarter were recorded at 13.8%, vis-à-vis 9.1%, representing an expansion of 470 basis points.
4) Cash profit for the quarter more than doubled and stood at INR 478 crores, as against INR 212 crores in the corresponding quarter.
5) Profit after tax for Q3 jumped by 3.7x and stood at INR 209 crores, as against INR 57 crores in Q3 FY '25.
6) Government of India on 21.11.2025 notified four new Labor Codes , consolidating the earlier 29 Labor Laws and has comprehensively defined the term wages a nd accordingly, there is an incremental financial implication to the extent of INR 56.75 crores towards the retiral obligation s, which has been considered and has been shown as an exceptional item in the statement of P&L.
7) Radial tyre capacity utili zation remained high beyond 95% and overall , India capacity utilization touch ed 90%. Capacity utili zation at consolidated level remained over 85%.
8) In Q3, export volumes from India remained steady despite the uncertainties and have grown by 9% in terms of volume on Y oY basis.
9) As

informed earlier, our subsidiary company CIL has been merged into JK Tyre in December 2025 with effect from the appointed date of 1st of April 2025.
10) Another s ubsidiary JK Torn el, Mexico witnessed a significant improvement in its financial performance and has added to the consolidated financials.
11) EPS in Q3 jumped 4x to INR 7.29 per share as against INR 1.85 per share in the corresponding 3rd quarter.
12) Return ratios ROCE and ROE have been very stable and continue to be in the comfortable zone (mid double -digit level s).
13) Net debt as on 31st December stood at INR 4,183 crores as compared to INR 4,201 crores as on 30th September 2025. Fresh disbursements were taken for expansions which increased the term loans. On the other hand, some working capital loans of CIL were repaid to avail working capital in JK Tyre at better interest rates post -merger.
14) The balance sheet of the Company continues to remain healthy with robust key financial leverage ratios with Net debt-to-equity at 0.71x and net debt to EBITDA at 2.17x .
We have already circulated the Q3 earnings presentation which is available on our website as well as on the stock exchange websites . We will now open the forum for question and answer session. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question comes from the line of Bharat Bhagnani from Living Root Analytics. Please go ahead.
Bharat Bhagnani: Hello. I want to understand what is the capacity utili zation we are operating at and also if you can give some color on the mix of volume and pricing in the revenue growth this quarter ?
Anshuman Singhania: Okay. So, the capacity utili zation has been at a level of 90 % plus. Can you please repeat the next question?

Bharat Bhagnani: So, Anshuman ji, I am basically asking the growth that we have achieved 15 %. So, within this how much have we got in terms of volume growth and how much have we got in terms of pricing growth by taking a price hike?
Sanjeev Aggrawal: Majorly it is because of the volume growth with some price increases in certain selective SKUs only. So, majorly it is because of the volume.
Anshuman Singhania: To add to this, domestic volume growth has been 16% with replac ement volume growth at 11% and OE at 24% (except 2/3 W volumes) and export s have grown by 9% , YoY .
Bharat Bhagnani: Right. So, there is not much of pricing growth , right? and you ha ve not taken any price hikes?
Anshuman Singhania: No, very minor , I believe.
Bharat Bhagnani: And given the raw material scenario we are at currently, where do you see margins for this year and the next qu arter or next couple of quarters?
Sanjeev Aggrawal: Raw material basket is expected to remain rangebound as I said and it is expect ed to be inching

up by 1 - 2% going ahead but the margins are going to be intact because there is a lot of volume push in this and our premiumization will also play a key role in the margin expansion . Also, the higher capacity utilization will also play a role in that.
Bharat Bhagnani: And sir, final question. You know, one of our competitors CEAT, they almost reported like a 25% growth on a similar base because the other companies have a higher base than us and we reported around 15 %. So, is the management targeting a higher revenue growth going forward?
Sanjeev Aggrawal: We are targeting a double -digit revenue growth and since you mentioned about the competition, particularly CEAT, please be aware that they have a larger base of 2/3W as well and also support from a recent acquisition.
Arun K. Bajoria: They acquired one Company Camso and t hat company has added to the ir overall revenue s.
Bharat Bhagnani: Okay . But we are targeting like, are we targeting in terms of the mid -double -digit, high -double -digit, low -double -digit in

terms of revenue growth?
Anshuman Singhania: We are exp ecting a mid -double -digit growth, just as we have seen in this last quarter, if the momentum continues, which is expected to be more likely .
Bharat Bhagnani: Okay. Thank you so much and all the best.
Moderator: Thank you. Our next question comes from the line of Aditya Akani from Shah Capital. Please go ahead.

Aditya Akani: Congratulations for a good set of numbers. I want to understand the revenue mix on a standalone basis in terms of category and market. Also, what was the percentage drop in the raw material cost on quarter -on-quarter ?
Anshuman Singhania: On a quarter -on-quarter basis , the overall raw material basket from Q2 to Q3 was flattish and can you please repeat your next question ?
Aditya Akani: My question was about t he revenue mix on a standalone basis ?
Anshuman Singhania: Okay , Truck & Bus is 58%, Passenger car line is 27% , non-truck b ias is 11% and remaining 4% is 2/3W .
Aditya Akani: Okay. And in terms of market ?
Anshuman Singhania: Market wise- Replacement is 63%, OE M is 26% and rest 11% is export s.
Aditya Akani: Okay. Thank you.
Anshuman Singhania: Thank you.
Moderator: Thank you. Our next question comes from the line of Ronak Mehta from ICICI Securities Limi ted. Please go ahead.
Ronak Mehta: Thanks for the opportunity and congratulations on good performance. My first question is on your Mexico business. So, what was the average realization in terms of Indian rupee versus Mexican peso for this quarter? Now that rupee versus Mexican peso has moved over 5 in the last 2-3 months, which is, I think, positive for the Company. So, we just wanted to understand on that benefit because of this.
Arun K. Bajoria: The net revenue s has gone up by 21% on a year-on-year basis. As I mentioned, from INR 507 crores in Q3FY25 , it has gone up to INR 639 crores in Q3 this time.
Sanjeev Aggrawal: In constant currency terms , the revenue s of JK Tornel has been flattish.
Ronak Mehta: Understood the entire benefit is from the rupee depreciation .
Ronak Mehta: So, my second question is on the demand scenario. So, now that GST benefit has already come through in the replacement segment, do you see that continuing even post the 4th Quarter? Because most of the companies are guiding for double -digit growth for the 4th Quarter , but do you see that this demand sustaining in the replacement market even beyond the March quarter?
Anshuman Singhania: So, we are entering the Quarter 4, which is expected to be very strong , and we are very confident about the healthy growth coming across the sector s. GST has definitely boosted the affordability,

but other macro tailwinds are supporting as well , which are rural demand, positive consumer sentiment, and lower interest rate s which gives a very positive momentum to the demand . And we see that continuing momentum into FY '27.
Ronak Mehta: Understood. Okay. So, one last question from my side. Sir, you along with some of your peers across the industry have announced new CAPEX. And the size of the CAPEX is large for everyon e and most of the companies have been reporting almost 90% utilization level like you. So, do you see a scenario that in the near term, say for next 12 months, where there is capacity constraint and the industry is looking to take price hike just because th ere is no capacity available. So, pricing -wise, I think the scenario is favorable for the industry ?
Anshuman Singhania: Look, everybody is announcing at the different capacity levels, capacity growth. And as I told you, the domestic market is looking to be very buoyant in the coming year. So, the appetite of

commercial vehicles have come back after a long pause. So, this will continue. And plus, plea

se
note that domestic markets are one consumption point. The other is the export market at large, which is a big consumption point for t yres. And right now, as you know that the EU and US FTAs are almost getti ng finalized. We are expecting that t yre should be given that importance and we will benefit from that for export s. So, the capacities will be needed as we go forward becaus e of the robust demand overall.

Ronak Mehta: No, sir. So, my question was more from the pricing point of view. So, given that the demand is pretty strong and the capacity is almost near peak utilization level, in case of a higher raw material pricing scenario, do you think that the price hikes could be much more easier this time given that recently because of GST there was a price cut and industry also does not have adequate capacity? So, pricing wise, is it easier? Do you think that it will be easier for you as well as other industry pla yers to take price hikes in the near term?

Anshuman Singhania: Keeping in view the demand supply situation and the overall market dynamics, whatever necessary price revisions may have to be undertaken going ahead will be done.

Ronak Mehta: Understood. Thank you , sir.

Moderator: Thank you. Our next question comes from th e line of Abhishek Jain from Alfaccurate Advisor s Private Limited. Please go ahead.

Abhishek Jain: Thanks for the opportunity and congrats for a strong set of numbers. Sir, my first question on that demand scenario on the Mexican business. So, just wanted to understand how much the volume growth, YoY and on QoQ basis in Mexico and what are the levers for the business growth over there?

Anshuman Singhania: JK Tornel, Mexico on a year -on-year basis has seen a jump of 21% in revenue s. As we go along , we see a good traction coming in from Mexico itself because the economy is picking up there.

The other thing is also that we are continuously exploring the US markets under the USMCA. Right now, no duties have been announced, and we are taking advantage of that by exporting into the US. Also , we see that Brazil and LATAM are also showing a steady demand. Next, we are also finding newer spaces to increase our through -put in terms of volumes. And as I told you that we are constantly increasing our foothold in Mexico, appointing dealers and higher volume s through mass merchandise rs as well. So, we are seeing a good throughput coming in from there.

Abhishek Jain: So, in Mexican business, how much is the contribution of the export right now?

Anshuman Singhania: It is nearly 40%.

Abhishek Jain: 40% exports and 60% is the domestic ?

Anshuman Singhania: Yes, right.

Abhishek Jain: And sir, in the domestic market, there is also that the Mexican government has imposed duties on the many countries. So, just wanted to understand what is the benefit to you because your plant is over there. So, is there any benefit goes to you because of this?

Anshuman Singhania: Yes, the benefit is because we are having local production capacities there in Mexico , we get the benefit of a low -cost base and that's why we've been able to supply t yres into the local market and export as well . So, yeah we do get that benefit.

Abhishek Jain: So, from here on, what kind of the growth we are looking in the domestic Mexican market and export market in Mexico business in the next one year?

Anshuman Singhania: We are looking at the mid-single digit growth.

Abhishek Jain: Okay. Got it. And how much margin expansion you're looking over there?

Anshuman Singhania: We are looking in the range of about 1% to 2% .

Abhishek Jain: Got it, sir. That's all from my side. Thank you.

Anshuman Singhania: Thank you.

Moderator: Thank you. Our next question comes from the line of Nandan Pradhan from Emkay Global Financial Services. Please go ahead.

Nandan Pradhan: Hello. Good

afternoon to the team and thank you for taking my question. Congratulations on a great set of numbers. And I just had two questions. One is the INR 14 billion CAPEX that was undergoing. We had mentioned that it would come on stream from Q3 and I think PCR had

started from October. So, I just wanted to know the status on that currently ? That's the first question.

Anshuman Singhania: So, our PCR expansion at Banmore is already under ramp up. It is already completed and it's going to attain its full capacity by July '26 and for TBR capacities at Laksar by April '26. ASLTR

expansion in Mysuru has already been completed .
Nandan Pradhan: Thank you, sir and my n ext question, we had also called out EBITDA margin guidance of 13 % to 15 %. I think we are already towards the upper band and with Q4 RM basket seen going upwards of 1 % to 2%, the impact of that would largely flow through in Q1 FY'27. So, do we still stand by the guidance of 13 % to 15 %?
Anshuman Singhania: Yes, we will because there is a lot of robustness in terms of the OE demand and we are the largest in the truck and bus. So, there we are seeing good throughput coming in and it is going to be sustained even in the F Y'27. And we also see a good traction in the passenger car line as well, where our pre miumization is playing an important role in terms of margin expansion. Last year the contribution of 16-inch & above PCR tyres in our mix was around 27% and today we are at nearly 31%. So, that is also panning out for us. And we are also expanding the capacities as I mentioned by INR 1,130 crores, where we are also undertaking more expansion in the passenger line, which will further enhance the higher rim size capa cities .
Nandan Pradhan: Thank you for such a detailed answer. So, just one last question. We had spoken about a INR 50 billion CAPEX over a period of next five years. So, this INR 1,130 Cr would essentially form a part of that plan, if I am not wrong?
Sanjeev Aggrawal: Yes, INR 1 130 Cr is a part of that only and this will take somewhere between 1 - 2 years to complete th is project.
Nandan Pradhan: Got it, sir. Thank you for taking my question. Thank you.
Moderator: Thank you. Our next question comes from the line of Kuber from Axis Securities. Please go ahead.
Kuber : Congratulations, sir, for a good set of numbers. Just two questions from my side. F irst one is , what kind of demand traction we are witnessing in the verticals? Is it more from trucks? Is it more from passengers? That is one question. Or any other verticals? And secondly, you said that 40% of the dependency is on Mexico. So, are they going to reduce in near future?
Anshuman Singhania: No, that 40% is not the contribution of Tornel to overall revenue s. It is actually JK Tornel's export s at 40% and rest 60% it sells domestic ally.

Kuber: Okay. And in terms of demand, where we are witnessing more traction and in next year as well, what we see in terms of demand?
Anshuman Singhania: We are witnessing a good demand across the segmen ts. There has been a sharp demand which is coming in from the OEM in the CV s, i.e. in the truck and bus segment. As I said earlier that in FY'26, truck category is about to cross i ts FY '19 high numbers in terms of their sale s. And we see that continuous traction going forward in the next year. We are also seeing a good traction coming in from passenger category . Further, we are participating closely with the OEM s with new and exciting product launches in the passenger car segment. We also see the same traction in the farm sector and as well as two-three wheeler on the back of rural income picking up.
Kuber: Okay. Got it. Thank you. That's it from my side .
Moderator: Thank you. Our next question comes from the line of Bharat Bhagna

ni from Living Root
Analytics. Please go ahead.
Bharat Bhagnani: I think this question is for Sanjeev ji, can you just explain the current tax and deferred tax calculation which is there and what is the tax rate for us?
Sanjeev Aggrawal: As you must be aware we are in the process of implementing certain expansion projects, therefore some kind of deferred tax increases every year , and this gives us the benefit in income tax to defer some amount w.r.t new projects. But we are broadly under 25% tax bracket in the new regime. So, 25% is the effective tax rate for us.
Bharat Bhagnani: Okay. And in this particular quarter, how much is the effective tax rate that we have paid?
Sanjeev Aggrawal: That will be the same, except the fact that we were also carrying some brought forward losses in the books of Cavendish in income tax. So, that some benefit might have come actually our way from CI L.
Bharat Bhagnani: Net tax rate, what is that in this quarter?
Sanjeev Aggrawal: Around 25%, that is the effective tax rate. It will be divided between the deferred tax and actual tax payment and overall will remain 25%.
Bharat Bhagnani: And the exceptional items also you have given the note for that, so going forward the exceptional won't come, right?
Sanjeev Aggrawal: So, there are three exceptional item in this note, one is the stamp duty, which is because of the merger activity and is One time. The other one is foreign exchange losses, as you would know, there was a huge volatility during the quarter. And this is also not the realized loss, this is mark -to-market partly. And the third one is because of the labor code s, and it is also a one-time charge .

Bharat Bhagnani: So, all of these are one time, I think, apart from foreign exchange.
Anshuman Singhania: Yes, these two major ones are one time charge . And forex losses today could be forex gain tomorrow. But this is mostly the mark -to-market one.
Bharat Bhagnani: Okay. And Anshumanji, one final thing from my side, the rubber prices have gone up a bit. So, till what level of rubber prices are we comfortable that we will be able to maintain the margins?
Anshuman Singhania: Rubber prices are inching up. And as I said that our total raw material basket will be hovering by 1% to 2%. So, that will not make much of an impact because there is a lot of volume push with enhanced capacity. Utilization is also at its full.
Bharat Bhagnani: So, you are okay with these kinds of prices as well, right? You are confident that you will be able to maintain margins?
Anshuman Singhania: We will plan accordingly in terms of the competitiveness of the market for any price revisions .
Bharat Bhagnani: Okay. Thank you so much. Thanks.
Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participants, I would now like to hand the conference over to the management for closing comments.
Sanjeev Aggarwal : Thank you so much for joining this conference call for Quarter 3. And I hope we have given answers to all your questions satisfactorily. Good day and t hank you so much.
Anshuman Singhania : Thank you.
Arun K. Bajoria: Thank you.
Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jun 2026

KJ!+TYR=R & INDUSTRIES LTD.
JKTIL:SECTL:SE:2026 Date: 2'd June 2026
BSE Ltd
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai- 400 001National Stock Exchange of India Ltd
Exchange Plaza, C - 1, Block G,
Bandra – Kurla Complex,
Bandra (E), Mumbai – 400 051
Scrip Code: 530007 Symbol: JKTYRE
Dear Sir
Re Transcript of Results/Earnings Conference Call held on
27'h May 2026
Regulation 30 of the SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015
EncFurther to our letter dated 21=t May 2026 re. Intimation of Schedule
of Results Conference Call, we enclose herewtth the transcript of the
Quarter 4 and Financial Year 2025-26 Results/Earnings Conference Cal
(Group Conference Call) held on 27th May 2026 at 4:00 PM (IST), which is
also available on the website of the Company at the following link:-
https://jktyre.com/investor/investor-presentations
Thanking you,
wb
Yours faithfully
For JK Tyre & Industries Ltd.
(Kamal Kumar Manik)
CAmpany Secretary
1: As Above
Admin. aff.: 3, Bahadur Shah Zafar Marg, New Delhi.110 002, Phone: 91-11-66001112, 66001122
Regd. Off.: Jaykaygram, PO - Tyre Factory, Kankroli - 313342 (Rajasthan), Fax : 02952-232018, Ph. : 02952-2334(X) / 233000
Website : www.jktyre.com CIN : L67120RJ1951PLC045966©
VIKRANT

“JK Tyre & Industries Limited
Q4 & FY26
Earnings Conference Call”

May 27 , 2026

MANAGEMENT : MR. ANSHUMAN SINGHANIA - MANAGING DIRECTOR , JK TYRE & INDUSTRIES LIMITED
MR. ARUN K. BAJORIA - DIRECTOR & PRESIDENT (INTERNATIONAL), JK TYRE & INDUSTRIES LIMITED
MR. A. K. KINRA - FINANCIAL ADVISOR , JK TYRE & INDUSTRIES LIMITED
MR. SANJEEV AGGARWAL - CHIEF FINANCIAL OFFICER , JK TYRE & INDUSTRIES LIMITED
MODERATOR : MR. CHIRAG JAIN – DEPUTY HEAD (RESEARCH), EMKAY GLOBAL FINANCIAL SERVICES LIMITED .

Moderator: Ladies and Gentlemen , Good Day and Welcome to the JK T yre & Industries Limited Q4 & FY26

Conference Call hosted by Emkay Global Financial Services Limited.
As a reminder, all participant lines will be on the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Chirag Jain, Deputy Head of Research from Emkay Global Financial Services Limited. Thank you and over to you, sir.
Chirag Jain: Thank you, Jitesh. Good afternoon everyone. On behalf of Emkay Global, I would like to welcome you all to the Q4FY26 Earnings Conference Call of JK T yre & Industries Limited.
Today , we have with us from the senior Management Team , Mr. Anshuman Singhania – Managing Director ; Dr. Arun K. Bajoria – Director & President , International ; Mr. A.K.Kinra – Financial Advisor ; and Mr. Sanjeev Ag garwal – Chief Financial Officer.
We will begin the call with opening Comments from the Management Team , followed by Q&A Session . Over to you, Anshuman S ir.
Anshuman Singhania: Good evening everyone !! I welcome you all to JK Tyre's Q4 & FY26 earnings conference call.
Firstly, as we enter the new financial year, I would like to wish everyone a very successful FY27. I am glad to be here, and I have with me Dr. Arun K. Bajoria, Dir ector & President (Int'l), Mr. AK Kinra, Financial Advisor and Mr. Sanjeev Aggarwal, CFO.
Indian economy demonstrated strong signs of resilience in a turbulent global landscape by achieving a GDP growth of 7.5% during FY26, as strong domestic demand remained the key growth engine, which kept the economic momentum high, despite some slowdown tow ards the end of financial year on account of West Asia crisis, which has led to disruptions in supplies of crude oil, petro chemicals and other critical commodities, leading to an unusual surge in prices, thereby creating a highly inflationary environment.
GDP growth for FY27 is expected to be moderate at 6.9%, supported by healthy private consumption.
We are hopeful that the peace talks between US & Iran emerge successful, bringing back much awaited normalcy in energy markets and restoring the global supply chains by H2FY27.
FY26 has been a remarkable year for the Indian auto industry as it witnessed a robust double -digit growth, supported by a series of structural policy reforms including GST and personal tax reforms,

softer interest rate scenario, improved rural incomes, robust festive season and continued focus of govt. on infrastructure investment, thereby improving the demand sentiments and consumer confidence.
Similarly, export of vehicles from India have also performed exceedingly well and has registered a growth 24% on year on year basis. India's electric transition has accelerated in FY26 as EV retail sales grew by 25% YoY across all segments including passen ger, commercial & 2/3Ws.
Q4FY26 emerged as one of the best quarters in recent times for auto sector with all major OEMs posting their ever highest sales with robust year -on-year growth, across segments.
Currently, the auto & tyre sector is going through a rough patch owing to the geopolitical instability & economic turbulence on account of West Asia crisis, posing challenges in availability and surge in prices of key inputs, thereby significantly increasi ng manufacturing costs and impacting the operating margins. However, the macro fundamentals of the auto industry remain healthy , and we expect the demand momentum to continue in FY27.
Coming to JK Tyre, I am delighted to share that FY26 h

as been a landmark year for JK Tyre. We
delivered record volumes across segments, attaining the highest ever annual consolidated revenue of Rs.16,384 crore, a healthy double -digit growth of 11% and achi eving an EBITDA of Rs.2,089 crore, an increase of 25% over the previous year. We are glad to share that we have crossed a record Rs.1,000 crore Profits Before Tax (PBT) in FY'26. This performance reflects the strength of our brands, operational discipline and an unwavering focus on value creation.
We recorded a consolidated revenue of Rs.4,233 crore in Q4FY26, up by 12% on YoY basis.
Consolidated EBITDA for Q4 stood at Rs.546 crore, registering a 42% growth. EBITDA margin was recorded at 12.9%, an expansion of 270 basis points. This growth was drive n by higher volumes, an improved product mix and sustained cost optimization initiatives.
In Q4, our average raw material basket witnessed an increase of 1.3% on QoQ basis, while on YoY basis, raw material costs remained rangebound.
There has been a pressure on input costs due to the ongoing West Asia crisis and weakening of rupee.
Keeping in view the ongoing situation, raw material prices are expected to go up by 18 -20% in Q1FY27 from Q4.
To mitigate increase in raw material prices and sustain profitability margins, we have started increasing selling prices in a staggered manner. We have already taken a hike of 4 -5% across products in replacement market and 5 -7% in export markets. The situa tion is being actively monitored for

necessary further price hikes to offset the increase in raw material prices (further hike of 5 -6% is underway). OEM price increases will take place with a lag effect.
During FY26, we have further strengthened our sales network and enhanced our market reach by adding 50+ new brand shops. Further, we have secured new approvals from India's leading OEMs including Tata Motors, Ashok Leyland, Mahindra, Switch Mobility, VECV, Euler Motors etc. for their new vehicles.
During Q4, company has further expanded its premium range of farm tyres by launching "Shresth Plus", reinforcing the company's commitment to advancing innovation for modern agricultural applications to meet the evolving needs of modern farming.
JK Tyre remains committed to sustainability and continues to make measurable progress in its net zero journey. During FY26, we have been recogni zed amongst India's Most Sustainable Companies, ranking top 5 in automotive sector, highlighting responsible manufacturing practices.
At JK Tyre, premiumi zation represents bot h the market opportunity as well as the strategic direction. With evolving customer expectations, there has been a clear shift towards high performance & technology -led products and thus we are consistently investing in R&D to deliver differentiated offerings across segments, including several p atent filings.
At JK Tyre, we see immense potential for AI application. We have been implementing the usage of AI in manufacturing, progressing towards paperless and connected plants, with end -to-end digitization. Across functions, we are expanding the deployment of Agen tic AI solutions to augment decision -making and automate workflows. AI -driven personalization and advanced analytics are enabling deeper engagement across our sales ecosystem. Collectively, these efforts are being pursued as a part of multi -year Digital & Analytics transformation journey, fostering scalable and sustainable value creation and positioning JK Tyre as a future -ready organization
Now, I would like to take you through some of our key operational highlights for Q4: -
1. Domestic markets recorded a healthy volumes growth of 21%, led by a robust 42% growth in OE Market.
2. Exports demonstrated resilience, despite geopolitical uncertainties. However, on a full year basis, export volumes increased by 5%.
3. TBR volumes in replacement m

arket grew by 19% and OE market by 53% YoY .
4. Passenger line volumes grew by 16% YoY, contributed by replacement at 10% and OE at 26%. For the full year, exports of passenger tyres grew by 20%. This growth has been contributed by

increased sale of premium tyres (16' & above) which have grown by 13% in domestic markets (FY26 v/s FY25)
5. Farm category volumes also saw a significant growth of 58% YoY with 30% growth in replacement segment and OE volumes nearly doubled. Exports also surged by 44% YoY.
6. 2/3W category volumes in OE segment registered a high growth of 72% & exports jumped by 31% on a YoY basis. Replacement volumes grew by 39% QoQ.
I am pleased to inform you that seeing the momentum in demand growth, the Board, in addition to the expansion projects of Rs.1,130 crore under implementation, has approved to undertake further brownfield expansions for PCR and TBR segments at an aggregate cost of Rs.4,980 Cr in phases until 2029. This will increase TBR & PCR capacities by 24%
And now I would like to request Dr. Bajoria to talk about the performance of JK Tornel.
Dr. Arun K. Bajoria: Thank you , M.D. sir.
I will begin with a brief overview of the operating Environment in Mexico .
For current year 2026, Mexico's GDP growth is projected in the range of 1.5 % to 1.8% , driven by steady domestic consumption and a revival in investments. Additionally, the reaffirmation of Mexico's sovereign credit rating at BBB + by S&P underscores confidence in the country's macroeconomic stability and long -term growth prospects.
On the monetary front, the Bank of Mexico is expected to resume its rate cut cycle with policy rates likely trending towards 6.5% , which should further support economic activity and liquidity in the system.
Manufacturing activity in Mexico continues to demonstrate notable resilience despite the ongoing geopolitical uncertainties. We expect a gradual recovery going forward , supported by increasing investments in technology and infrastructure sectors.
JK Tornel delivered a resilient performance in FY26 , making a meaningful contribution to JK Tyre's consolidated results. This was driven by a favorable product mix, robust domestic demand and improving customer sentiment across key segments. For FY26, revenue remained stable at Rs .2,138 crores compared to Rs .2,147 crores in FY2 5, reflecting business resilience in a challenging

environment.
Our wide product portfolio continues to strengthen customer preference and market positioning. JK Tornel continues to enjoy the highest market share in mass merchandise business.

EBITDA in FY26 stood at Rs.141 crores and PBT grew by 63% to Rs.61 crores, while PAT grew by 91% to Rs.42 crores over the previous year. In the 4th Quarter of FY26, revenue stood at Rs.378 crores with EBITDA of Rs.24 crores, marking a 36% year -on-year increase highlighting improved operational efficiency.
We are developing a new passenger -line tyre tailored for both Mexican and the US markets which will strengthen our product portfolio and market reach. Additionally, we have identified a new growth opportunity in our trading business through potential sourcing from Southeast Asia and we have already initiated concrete steps in this direction.
In line with our commitment to digital transformation, we are implementing a Cloud -based AI - enabled platform which will streamline processes, enhance automation and significantly improve productivity and decision -making capabilities.
Looking ahead, trade ties with the United States remain strong and we are optimistic about a favorable extension of the USMCA agreement which is due for review in July 2026.
With that, I would like to invite Mr. Sanjeev Aggarwal to take you through the Financial Performance of JK Tyre for the Q4 as well as full F

Y26.
Sanjeev Aggarwal : Thank you, Dr. Bajoria.
Let me share the Key Highlights for Q4 and full year FY26.
The company recorded a consolidated revenue of Rs.4,233 crores in Q4FY26 , up by 12% on YoY basis as against Rs.3,780 crores in the corresponding quarter. For FY26, we achieved the highest ever consolidated revenue of Rs.16,384 crore, marking an increase of 11% v/s FY25.
Consolidated EBITDA for Q4 was recorded at Rs.546 crores as compared to Rs.384 crores, an increase of 42% on YoY basis, and for the full year, EBITDA stood at Rs.2,089 crores, which is up by 25%. EBITDA margin in Q4 were recorded at 12.9% versus 10.2% in Q 4 of FY25, representing an expansion of 270 basis points, and for the full year , EBITDA margin stood at 12.8%.
Raw material cost in Q4 was up by 1.3% on a sequential basis , however, for the full year it remained benign on YoY basis.
Cash profit for Q4 FY26 surged by 69% and stood at Rs.446 crores as against Rs.264 crores in the corresponding quarter. For the full year, the cash profit was Rs.1,661 crores, which is up by 38%.

Profit before tax for the financial year was up by 46% and stood at Rs.1,043 crores as against Rs.713 crores in FY25. Profit after tax for Q4 jumped by 83% and stood at Rs.188 crores as against Rs.102 crores in Q4 of last yea r. For the full year, the profit after tax stood at Rs.774 crores , which is up by 50%.
Installed capacities were fully utilized across segments and for the full year at India level, the utilization was recorded at above 90%.
In Q4, export volumes from India remained steady despite geopolitical uncertainties including the ongoing West Asia crisis. However, in FY26 exports volumes were up by 5% vis-à-vis last year.
J.K. Tornel, Mexico contributed significantly to the consolidated financials of the company.
Consolidated earnings per share in Q4 stood at Rs.6.65 per share as against Rs.3.47 per share last year. Return ratios viz. ROCE and ROE continued to remain robust and stood at 16.8% and 14% respectively.
Consolidated debt as on 31.03. 26 stood at Rs.4,445 crores vis-à-vis Rs.4,081 crores as on 31.03.25 , up by Rs.364 crores as we have availed term loans for expansion projects under implementation. Out of the total debt, working capital borrowings reduced from Rs.2,378 crores to Rs.1,808 crores , which is a significant reduction highlighting efficient working capital management and f urther, I would like to bring to your attention that the cash balance of Rs.711 crores as on 31 .03.25 which included the funds whi ch we raised through QIP in Dec ’2023 , has been mostly utilized for the expansion projects and thus cash balance as on 31 .03.26 stood at Rs.301 crores .
The balance sheet of the company continues to remain healthy with robust key financial ratios. Leverage ratios net debt -to-equity and net debt -to-EBITDA have improved compared to last year to 0.73x and 2.13x as on 31 .03.26.
We have already circulated our “Earnings Presentation” which is available on our website as well as on the stock exchange website. You can now please continue with Q/A session . Thank you.
Moderator: We will now begin with the question -and-answer session. The first question is from Aditi Prajapati from Shah Capital. Thank you. Please go ahead.

Aditi Prajapati: Hello, sir. Congratulations for a good set of numbers. I want to understand the market mix for Q4 and category mix for Q4 ?
Anshuman Singhania: Market mix in Q4 was 63% replacement , OE at 27% and remaining around 10% for the export s.

Aditi Prajapati: Okay . In terms of category mix?
Anshuman Singhania: Truck and bus was around 56%, PLR is about 27%, and non -truck bias is about 13% and remaining is 2/3 wheeler approx. 4% in Q4FY26.
Aditi Prajapati: This is on the basis of consolidated revenue?
Anshuman Sin

ghania: Yes, it is on consolidated basis.
Aditi Prajapati: And what was the mix on standalone terms ?
Anshuman Singhania: On standalone basis, Truck and bus is 59% and PLR is at 25% and non -truck bias is about 12% and 2/3W is about 5%.
Aditi Prajapati: And o n standalone basis, what is our replacement & OE share ?
Anshuman Singhania: On standalone basis, replacement is 61% and OE is 30%
Aditi Prajapati: Thank you so much, sir.
Moderator: The next question is from the line of Vijay Pandey from A xis Capital. Please go ahead.
Vijay Pandey: Hi, sir , thank you for taking my question. Sir, a couple of questions. I wanted to check about the Mexico business. So, I see quarter -on-quarter there was a significant decline in the number. So, just want to understand what is the driving factor because EBITDA you said in the opening remarks that it was going good. So, was there any impairment or anything that led to a decline in EBITDA , if you can comment about Mexico.
Anshuman Singhania: Yes, our Mexic an subsidiary did witness a little sluggish growth this quarter . This was mainly due to the heightened geopolitical volatility and trade uncertainty owing to US tariffs. But despite the challenging environment, the revenue of JK Tornel for FY26 remained steady at Rs.2,138 crores v/s Rs.2,147 crores in FY25.
Vijay Pandey: Okay and for the domestic India business, what was the price increase and were they taken in the 4th Quarter or it mainly came only from April ’26 onwards?
Anshuman Singhania: So, we have already taken a price hike of about 4 % to 5% across several SKUs in the replacement market and 5 % to 7% in the export market , and for OEM, price increase comes at a lag effect , and further, we have planned another 5 % to 6% price increase.

Vijay Pandey: But all of this came in the 1st Quarter or was some part of it in the 4th Quarter as well?
Anshuman Singhania: Mainly in the 1st Quarter .
Vijay Pandey: Okay. So, about the capex plan, what is your expectation for the next two years , because this Rs.50 billion capex , this will be including Rs.11.3 billion capex already announced in Q3 ? And also, if you can give a guidance about FY27 capex guidance and how do you plan to fund it like will it be totally debt-funded ?
Sanjeev Aggarwal : Vijay, Sanjeev Aggarwal this side and maybe I can guide you. See, we had declared about Rs.1,130 crore s of expansion plans in Q3 for TBR mainly and PCR as well . And this was done because we are running at almost full capacity utilization as we mentioned earlier. And now seeing the momentum in the demand growth we have announced another Rs.50 billion expansion plan s, to be completed in three phases over the next three to four years. So, these total expansion s of Rs.6,110 crore s will be completed by FY29.
Total cash outlay on yearly basis would be roughly around Rs.1,200 crore s and this will not put any dent on the cash availability with the company , which is going to be even much more stronger.
To answer your next question, y es, we are going to take debt, but this debt will be supported by a higher amount of the EBITDA, which we are expecting to generate over the next three to four years. So, the leverage situation of the company will remain quite comfortable , and the leverage ratios as well will remain as what we have seen in the last 2-3 years .
Vijay Pandey: Okay. Just wanted to check on the other income. So, other income was down for the 4th Quarter . So, just want to understand if there’s any specific reason.
Sanjeev Aggarwal : So, the other income is down because , as I mentioned earlier, we had some Rs.700+ crore s available earlier, which was invested in fixed deposits and we raised this fund through QIP in De c'23, marked only for the purpose of expansion s. So, at that time we invested that fund and now we have gradually w

ithdrawn that fund from the fixed deposits for deploying it for the expansions purpose for which it was actually raised. So, that is the reason why the other income (interest income) is appearing down compared to last year.

Vijay Pandey: Okay. Thank you, sir.
Moderator: The next question is from the line of Nandan Pradhan from Emkay Global. Please go ahead.

Nandan Pradhan: Hello, sir. A very good evening to the team and congratulations on a good set of performance. So, the first question from my side would be on the demand front. So, if you could shed some color on how the demand is trending in the underlying markets across CVs, PVs, what are you hearing from the fleet operators ? How is the order book coming through for the OEMs?
Anshuman Singhania: So, the demand in the tyre industry is expected to remain buoyant for FY27 on the back of healthy growth in both the replacement and OE market s. We have not seen any order books getting cut from any of the OEM, be CV s, passenger or any other line. However, o n account of geopolitical uncertaint ies, definitely there has been a little bit of uncertainty in the market , some supply chains have disrupted , but the underlining structural demand remains intact , and we continue to be optimistic about FY27. Though the auto industry ha d a double -digit growth overall in FY2 6, going ahead in FY27 we see a strong and a mid -single digit in some categories. I think there is a very good momentum and expect it to continue.
Nandan Pradhan: Thank you, sir. And the second question would be on the capex . I mean, as you mentioned about Rs.1,200 crores of outlay every year , so, this Rs.5,000 crores essentially also involves the Rs.1,130 crores that we had already announced and would be underway at the moment ?
Anshuman Singhania: Yes, the Rs.5,000 crore worth of capex is in addition to Rs.1,130 crore expansion plan.
Nandan Pradhan: Okay and that Rs.1,130 crores is getting completed this year ?
Sanjeev Aggarwal : No, this Rs.1,130 crores will get completed by Q3 o f FY28. We started working on it and it is under implementation.
Nandan Pradhan: Understood. Got it, sir. And lastly, like you mentioned on commodities, we do see some pressure. So, how are we looking at in terms Q1 and Q2, I mean, just to give some context, I think a peer had highlighted that there could be some demand moderation because of the price hikes that are being taken , so, if you could share your thoughts on the same in Q2 or H2?
Anshuman Singhania: On the raw material prices, we are seeing an increase of nearly 18% to 19% in Q1 FY27 , and going forward, actually, it will be depending on the war , but we are seeing some softening to an extent in the crude oil prices. This may have a positive impact on bringing down the overall raw material prices as we go forward beyond Q2 onwards.
Nandan Pradhan: Thank you, sir. That is it from my side.
Moderator: The next question is from the line of Chirag Jain from Emkay Global . Please go ahead.

Chirag Jain: Good evening, sir. Sir, just wanted to understand the pricing action. You mentioned about close to 5% price hike we have taken in the domestic market. How the overall industry has responded? Have the other players also taken sort of similar price hike? Any thoughts on the competitive scenario on the ground?
Anshuman Singhania: Yes, the competition has also taken price hike s, and I would say they are also in the same range as what we have taken .
Chirag Jain: Understood. And we have seen one or two large players looking to enter the tyre industry ; one of the off-highway player s has announced big plans over the next few years with respect to TBR, PCR and two wheeler. So , how do we defend our competitive positioning over the next three to five years , can you share some thoughts over here?
Anshuman Singhania: In the CV segment , we are serving approx. all the large OEM s and fleets in India , and we have a very strong share of business with them , plus, we are commanding a lot of premium positioning in terms of innovative products which we have given to the market . We are very successfully running a fleet management program , and we call it selling miles, which is the mobility solution business, that is a star product and offering to the consumer. And there we have definitely created a lot of strong boundaries and walls for the other players to duplicate that. And we are actually accelerating that offering i n the market with lots of digital interventions. So , I think this is the piece of the CV. And in the passenger car, we are serving all large OEMs , and their norms are quite stringent, so you have to invest in technology across the products actually to come to their norms. There we have also given the market a lot of innovative products like puncture guard, smart tyres and even our premium offering Levitas Ultra , and we are well established in the domestic market , and are continuously investing in our brand as well. So , I guess these are some of the areas in which we are definitely having a leadership position and have created a significant entry barrier.
Chirag Jain: Understood. And just lastly, our expansion plan for the next five years, as you highlighted, has been largely cent ered around TBR and PCR, which is obviously our core areas. But , any thoughts on the two-wheeler space or on the off -highway space , do we have any major plans to ramp up that part of

the business?
Anshuman Singhania: Yes, sure. We are growing steadily in the 2/3W category . Right now , we are increasing our productivity in our given space , and also we are outsourcing tyres in the 2/3W segment , and we plan to expand our outsourcing further to increase our presence in this space in the coming quarters.
Chirag Jain: Understood, sir. Thank you so much.
Moderator: The next question is from the line of Vijay Pandey from Axis Capital. Please go ahead.

Vijay Pandey: I just want to clarify that you mentioned cash outlay for this year will be around Rs.1,200 crores , but like the capex plan for the next three years comes out to be around Rs.6,000 crores. So just want to understand how do you plan to do this?
Sanjeev Aggarwal : I mentioned Rs.1,200 crores for FY27. And of course, if there is a requirement to spend more, that is definitely possible as you can very well see the kind of cash generation which we have today. And even in FY26, we had cash generation of more than Rs.1,600 crores. Seeing all that, we expect this cash generation over the next 3 -4 years to increase further. Please note that the total amount of outlay also includes the loans which we will take. So , the total amount of Rs.6,110 crores of projects will have the debt -to-equity which we have anno unced of about 2 :1. So , we have to take the funds from the bank plus our internal accruals , and therefore, the total amount of the cash outlay of about Rs.6,000 crores is definitely possible in the next three to four years.
Vijay Pandey: Okay, thank you very much.
Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments.
Anshuman Singhania: Yes, thank you. I think we have been able to resolve and address all your queries, and this has been a very good interaction. And I would like to thank you once again for all these questions and you can get back to us in case of any further clarification required through e -mail which is already in the public domain. Thank you so much and I would now close the call.
Moderator: On behalf of Emkay Global Financial Services Limited, that concludes this conference. Thank you for joining

us and you may now disconnect your lines.